

Deductibility of accident compensation levies [¶10-110]

[¶10-110]

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Levies and premiums paid to the Accident Compensation Corporation (ACC) by an employer or a self-employed person can be expected to be allowed as a deduction under the general permission. For the employer, the levies and premiums are additional forms of payments of employment income that are normally deductible. For the self-employed person, the levy is a statutory requirement imposed because income-earning activities are being conducted.

If deductible, the levy or premium is generally allowed as a deduction in the income year in which it is due and payable. However, if the deduction has been allocated to an earlier income year, and the time bar prevents the Commissioner changing the deduction to the year the levy or premium becomes due and payable, the deduction in the earlier income year stands. [Schedule 3, pt A, column G](#) governs timing when deductions are due and payable for a taxpayer with a balance date between 1 October and 6 April (both dates inclusive).

See also [¶31-070](#).

Law: IT07 s [EF 3](#)

Last reviewed on 31 December 2025

Deductibility of ACC rehabilitation payments [¶10-112]

[¶10-112]

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When an ACC claimant receives a personal service rehabilitation payment (including backdated payments) from the accident compensation corporation and the amount is assessable income, the person is allowed a deduction for the amount paid by them to a rehabilitation service provider to the extent of the personal service rehabilitation payment received. This provision supplements the general permission and overrides the capital limitation and the private limitation. The other general limitations still apply.

See further at [¶13-180](#) and [¶15-303](#).

Law: IT07 s [DF 4](#)

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Deductibility of accommodation costs [¶10-113]

[¶10-113]

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Short-stay accommodation

IR released a number of items that deal with the different circumstances in which short-stay accommodation is provided. “Short-stay accommodation” is defined in all of these items to mean accommodation provided for up to 4 consecutive weeks, in a dwelling that is not the guest's ordinary residence, and does not include accommodation provided to residential tenants, boarders or care home residents, nor student or emergency accommodation.

The items explain a person's tax obligations if they rent out their home, a room in their home, or a separate residential property or dwelling. These items focus on short-stay accommodation provided through peer-to-peer platforms such as Airbnb or Bookabach. Each of the items is discussed briefly below.

GST and flat-rate credit scheme

The flat-rate credit scheme applies where short-stay accommodation is listed on an electronic marketplace such as Airbnb. The scheme has an impact on whether expenses may be claimed by a person who provides short-stay accommodation via an electronic marketplace on a GST-inclusive or GST-exclusive basis.

For GST-registered taxpayers, expenses are deductible on a GST-exclusive basis.

A taxpayer who is not GST registered and rents out their property through an online marketplace will receive a flat-rate credit. From 1 April 2024, the taxpayer may either treat the flat-rate credit as excluded income (s [CX 1B](#)) or treat it as assessable income (s [CH 5B](#)). If the taxpayer chooses to treat the flat-rate credit as assessable income, expenses may be deducted on a GST-inclusive basis. Conversely, if the taxpayer treat the flat-rate credit as excluded income, expenses are to be deducted on a GST-exclusive basis. The flat-rate scheme is discussed further at [¶32-640](#).

For guidance on the GST issues arising from short-stay accommodation, see [QB 19/09](#) and [IS 20/04](#) discussed at [¶32-052](#).

Simplified rules for some short-stay accommodation hosts

Determination [DET 19/02](#) “Standard-cost household service for short-stay accommodation providers” provides simplified rules for hosts who provide short-stay accommodation in their own home but who do not rent out rooms for more than 100 nights in the income year. The determination sets standard costs that can be treated as expenditure incurred in deriving income from providing the short-stay accommodation service. For any income year, a person can choose to use the standard costs instead of their actual expenses (thereby avoiding apportionment calculations), provided the criteria in the determination are met. The standard costs for the 2024–25 income year are \$63 a night if the host owns their own home and \$57 a night if the host rents their home (after CPI adjustment). The determination is discussed further at [¶15-695](#).

Renting out your own home

[QB 25/01](#) “Income tax – Which rules apply if I rent out my home, part of my home, or a separate dwelling on my property as short-stay accommodation?” explains how the income tax rules apply if a person occasionally rents out their home, a room in their home or a separate dwelling on their property for short stays. [QB 25/01](#) replaces [QB 19/05](#).

If a person rents out their home (or part of their home) as short-stay accommodation, any amounts received from guests will be income. However, if the standard costs approach in Determination [DET 19/02](#) (above) is adopted, the income up to the level of the standard costs will be treated as exempt. Only rental income

in excess of the standard costs would have to be declared. If the person is unable, or chooses not, to use the standard costs approach, then all the income will be taxable and deductions will be based on the actual costs related to earning the income. Apportionment of some of these expenses will be necessary, as they will also relate to the private use of the home.

If a separate dwelling on the same property as the person's home is rented out for short-stay accommodation, different tax rules will apply depending on the situation. If the separate dwelling is only rented out and never used privately, all of its rental income will be taxable and all of the deductible expenses in relation to the dwelling may be claimed (subject to the interest limitation rules before 1 April 2025. See [¶10-814](#) and commentary below). If, in addition to sometimes renting out the dwelling, it is also sometimes used privately, the dwelling may be subject to either the "mixed-use asset" rules or the standard income tax rules. To work out which rules apply, see [QB 25/02](#) discussed below.

Expenses that are identified as relating solely to the rental activity include:

- # advertising costs
- # any commission or fee paid to an advertising platform or transaction facilitator (this does not include any service fee the guests pay the platform)
- # supplies used solely by paying guests
- # any additional insurance premium paid because of the rental activity, and
- # any additional rates paid because of the rental activity.

Expenses that will generally need apportioning because they relate to both the rental activity and the private use of the home include:

- # power bills
- # internet expenses
- # interest on home loan (subject to the limitation rules)
- # property insurance
- # repairs and maintenance, and
- # rates.

In most situations where all or part of a home is rented out, the following will have to be taken into account to work out what proportion of these mixed expenses may be claimed:

- # the floor area of different parts of the house, and
- # the number of nights during the year that the room was rented out.

Generally, mixed expenses should be apportioned based on the floor area that the guest has exclusive use of, as a proportion of the total floor area of the house. A reasonable amount based on the guest's access to common areas may also be added. IR will accept 50% as a reasonable amount in most situations (see Examples 1–2 in [QB 25/01](#)).

Deductions may also be claimed for the depreciation of the chattels in the home that paying guests can use. If the chattels are **only** used by guests (eg chattels in a bedroom only used for renting out), the full amount of depreciation will be deductible. For "mixed-use" chattels, however, only part of the depreciation may be claimed (see Example 6 in [QB 25/01](#)).

See discussions above regarding the income tax treatment of any flat-rate credits received and Example 5 in [QB 25/01](#).

Choosing between mixed-asset rules or standard tax rules

If residential property use changes, a change may be required to the deductions rules that apply. See [¶10-037](#) for the income tax implications of moving between the standard tax rules and the mixed-use asset rules.

[QB 25/02](#) "Income tax – Which rules apply if I have a dwelling I sometimes rent out as short-stay accommodation and also sometimes use privately?" considers whether the mixed-use asset rules or the

standard tax rules apply to claim expenditure for property that is used both privately and for providing short stays to other people. [QB 25/02](#) replaces [QB 19/06](#).

The rules that apply will determine the tax treatment for the dwelling. Different rules can apply each year, so at the end of each income year it must be determined whether the “mixed-use asset” rules or the standard tax rules apply for that year. The main difference between the mixed-use asset rules and the standard rules is how the proportion of the costs to be deducted can be calculated. [QB 19/06](#) helps determine which rules apply.

A dwelling will be a “mixed-use asset” if, during the year:

- # it was partly used to earn income
- # it was partly used privately (this includes use by family members, or by friends renting it for “mates’ rates” that are less than 80% of the market value rent), and
- # it was not used for at least 62 days in the year.

The QWBA notes the 2 situations in which a taxpayer may opt out of the tax rules altogether for the rental income from the dwelling. These are if:

- # the rental income for the year (not including income from renting to associated natural persons or to friends at “mates’ rates” of less than 80% of market value rent) from the dwelling is under \$4,000, or
- # a loss was made from the dwelling and some of the deductions would be quarantined (that is, where the income from renting was less than 2% of the property’s value and the deductible expenses exceed the income, the excess deductions are quarantined, meaning they are carried forward to a later income year).

If a taxpayer chooses to opt out of the tax rules for the rental income from the dwelling, the income is exempt. This means that no tax is paid on it and no deductions can be claimed for expenses related to the dwelling.

Applying the mixed-use asset rules

If, after applying [QB 25/02](#) above, a person concludes the mixed-asset rules apply, then [QB 25/03](#) will apply. [QB 25/03](#), “Income tax – How do the mixed-use asset rules apply if I provide short-stay accommodation?” discusses the application of the mixed-use asset rules to property that is used both privately and for providing short-stay accommodation. [QB 25/03](#) replaces [QB 19/07](#).

If the mixed-use asset rules apply, rental income from the dwelling will generally be taxable. However, there are 2 exceptions:

- # income from renting the dwelling to associated persons or to others at “mates’ rate”, which is exempt income
- # any flat-rate credits the taxpayer receives from an online marketplace operator which the taxpayer has opted to treat as excluded income.

The mixed-use asset rules set out how to determine the costs that may be deducted against the income from providing the short-stay accommodation ([110-035](#)).

Costs that are solely related to renting out the dwelling are fully deductible. Costs that are solely related to the private use of the dwelling are not deductible. Other costs are partly deductible — the deductible amount is based on the number of rental nights relative to the total number of nights the dwelling is used. Only days the dwelling is actually used are counted, so days it is available to be rented out but isn’t actually rented out don’t alter the proportion of expenses that may be deducted. If a loss is made from renting out the dwelling, not all of the expenses may be deductible that year — some might be carried forward to future years.

[QB 25/03](#) modifies the formula in s [DG 9](#) of the IT07 to refer to “nights” as the appropriate measure for accommodation. Therefore, the formula would be:

$$\text{your expenditure} \times (\text{income-earning nights} \div (\text{income-earning nights} + \text{counted nights}))$$

See Table 1 in [QB 25/03](#) for examples of what constitute “income-earning nights” and “counted nights”.

If the expenditure quarantine rules apply, expenses may only be deducted up to the amount of the rental income from the dwelling. Any deductions in excess of that are carried forward to future income years until they're able to be offset against any future profits from the dwelling (whether the mixed-use asset rules or the standard tax rules apply in the year that a profit is made from the dwelling).

The expenditure quarantine rules apply if:

- # the income from renting out the dwelling during the income year was less than 2% of the property's value, and
- # the deductible expenses for the year exceed the income, ie a loss was made.

See discussions above regarding the income tax treatment of any flat-rate credits received and Example 2 in [QB 25/03](#).

Applying the standard rules

[QB 25/04](#) "Income tax – How do the standard tax rules apply if I provide short-stay accommodation?" explains how the standard income tax rules apply to a dwelling sometimes rented out as short-stay accommodation. QB 25/04 replaces [QB 19/08](#).

If the standard tax rules apply, rental income from the dwelling will generally be taxable, including "mates' rates" rental income. The only exceptions are:

- # minor contributions to expenses from family and friends as these are exempt income.
- # flat-rate credits received from an online marketplace operator which have been treated as excluded income.

Costs that relate solely to renting out the property are fully deductible. Costs that relate solely to the private use of the dwelling are not deductible. Other costs are partly deductible — the deductible amount is based on the number of nights the dwelling is rented or available to be rented relative to the total number of nights in the year.

If a loss is made from renting out the dwelling, not all of the expenses may be deductible that year — some of the deductions might be carried forward to future years.

See discussions above regarding the income tax treatment of any flat-rate credits received and Example 3 in [QB 25/04](#).

Renting out property held in trust

[QB 25/05](#), "Income tax – If property held in a trust is rented out for short-stay accommodation, who declares the income and what deductions can be claimed?" explains how the income tax rules apply for a property held in a trust that is rented out as short-stay accommodation and specifically which party should return the income when a trust property is rented out. [QB 25/05](#) replaces [QB 19/15](#) and [QB 19/16](#).

If the property is rented out by the trustees, the rental income will have to be declared in the trust income tax return. However, some or all of the rental income may be allocated as beneficiary income. See Table 1 in [QB 25/05](#) which summarises the tax treatment of income and expenses for when the rental income is derived by the trustees.

If the trust property being rented is a beneficiary's home (or the beneficiary has a right to possession of the property), the rental income should be returned in the beneficiary's income tax return (see paras 1–6 of [QB 25/05](#)). See Table 2 in [QB 25/05](#) which summarises the tax treatment of income and expenses for when the beneficiary rents out a property that's their home.

[QB 25/02](#) should be applied to determine if the mixed-use asset rules or the standard tax rules apply. If the mixed-use asset rules apply, then [QB 25/03](#) discusses in more detail what will be income or exempt income under those rules. See also [¶5-232](#).

If a beneficiary is living in the trust property and also using it to derive short-stay accommodation rental income, [QB 25/05](#) notes that the Commissioner would not apply s [GC 5](#) to deem there to be adequate rent

paid by the beneficiary to the trust (see paras 78–82 of [QB 25/05](#)). The provision of rent-free or less than market value accommodation to a beneficiary of a complying trust will result in an exempt distribution (ss [CW 53](#) and [HC 20](#)). However, for a foreign or non-complying trust, a taxable distribution will arise.

See discussions above regarding the income tax treatment of any flat-rate credits received and examples in [QB 25/05](#).

Renting out property held in a close company

[QB 25/16](#) “Income tax – How do the income tax rules apply when a close company provides short-stay accommodation?” explains the income tax implications when a close company provides short-stay accommodation. The item provides guidance on when and how the mixed-use asset rules and the standard tax rules apply, and when income arises for shareholders or employees from their use of the property. See [QB 25/16](#) for detailed commentary and examples.

When the mix-used asset rules apply, a close company cannot choose to opt out of these rules.

When shareholder or employees use the property without paying market rent, the shareholders are treated as receiving non-cash dividends and the employees (including shareholder-employees) are treated as receiving employment income.

See discussions above regarding the income tax treatment of any flat-rate credits received.

Motels, hotels and boarding houses

[QB 21/10](#) “If I run a hotel, motel or boarding house and live on site, what expenditure can I claim?” provides guidance on how to apportion expenses commonly incurred by hotel, motel and boarding house proprietors who live on site when the expenses have both a business and private character. While expenses incurred that relate solely to the running of the business are fully deductible, where expenses relate to both private quarters and the business, the 2 types of expenses need to be separated out (as will be appropriate with, for example, an itemised invoice or bill). See Table 1 of [QB 21/10](#) for examples of different types of expenses and the tax treatment.

If the mixed expenses cannot be separate out, apportionment will be required using a fair and reasonable method. Generally, using a space and time calculation will be appropriate for calculating the business use of certain areas of premises. However, if another method is easier or more accurate in particular circumstances, that method may be used instead. Records must be kept to support the method used for apportionment.

The item applies from the 2021–22 income year.

Interpretation statement on application of interest limitation rules and short-stay accommodation

Note: From 1 April 2025 the interest limitation rules are repealed.

[IS 23/04](#) “The interest limitation rules and short-stay accommodation” considers how the interest limitation rules under subpt [DH \(110-814\)](#) apply to property used to supply short-stay accommodation. The statement only applies to natural persons and trustees that own property used for short-stay accommodation (being 4 consecutive weeks or less).

The statement is divided up according to the type of property being used as short-stay accommodation. These may be:

a person’s holiday home — the interest limitation rules will apply, unless the holiday home qualifies as new build land ([110-818](#)) based on the fact that the property will qualify as disallowed residential

property. The interest limitation rules override the ability to deduct interest under the mixed-use asset rules ([¶10-035](#))

a person's main dwelling

a separate dwelling on the same land as a main home

a separate property only used as short-stay accommodation

a farm or lifestyle block.

The degree to which interest is deductible, if at all, will depend on when the loan which incurs interest was drawn down or refinanced ([¶10-814](#)).

A loan may need to be apportioned depending on the loan structure. If there is one loan covering both the main home and the separate short-stay dwelling then apportionment is required. Application of the mixed-use asset rules also need to be considered if there is private use of the short-stay dwelling. See the commentary on holiday homes above. A deduction for interest expenditure connected to the main home is denied under the private limitation.

A summary of the various rules is set out in the table below. See [IS 23/04](#) for detailed commentary.

Type of property	New build	Interest limitation rules	Apportionment rules	Ring-fencing rules
Holiday home	No	Apply	Yes, apportionment required if: # there is private use, and # loan is grandfathered, and # disposal of property is taxable	Only apply if: # the mixed-use asset rules don't apply, and # the rental activity runs at a loss
Holiday home	Yes, new build land	Do not apply, therefore interest is deductible subject to the apportionment rules and the ring-fencing rules	Yes, either under mixed-use rules or general deductibility rules	Only apply if: # the mixed-use asset rules don't apply, and # the rental activity runs at a loss
Main dwelling		Do not apply. See QB 19/05	Yes, apportionment required	Do not apply if more than 50% of land is used as main home
Separate dwelling on same land as main dwelling	Short-stay dwelling is not new build land	Apply	Do not apply to main home but applies to separate short-stay dwelling if: # there is private use, and # loan is grandfathered, and # disposal of property is taxable See IS 23/04 at [93]	Unlikely to apply. Will apply if: # separate dwelling takes up more than 50% of the land, and # no private use of the short-stay dwelling, and # the rental activity is loss making

	Yes, short-stay dwelling is new build land (one loan)	Do not apply to short-stay dwelling portion	Yes, loan interest needs to be apportioned	Unlikely to apply, but will apply if: # separate dwelling takes up more than 50% of the land, and # no private use of the short-stay dwelling, and # the rental activity is loss making
	Short-stay dwelling is not new build land (separate loan)	Apply to short-stay dwelling and interest is denied for main home under the private limitation	Apportionment must take place if: # there is private use, and # loan is grandfathered, and # disposal of property is taxable Note: the interest limitation rules override the mixed-use asset rules. Despite interest being denied, it is important to still do the apportionment calculation as the disallowed apportioned interest component may still be deductible on disposal of the property if such disposal is taxable under one of the land taxing provisions (17-025 – 17-165)	Unlikely to apply, but will apply if: # separate dwelling takes up more than 50% of the land, and # no private use of the short-stay dwelling, and # the rental activity is loss making
Separate property only used as short-stay accommodation	Short-stay dwelling is not new build land	Apply	Not applicable as no private use	Apply if the rental property is making a loss
	Short-stay dwelling is new build land	Do not apply	Not applicable as no private use	Apply if the rental property is making a loss
Farm or lifestyle block		Do not apply	Applies if there is private use of the short-stay dwelling. Apportionment is either under the mixed-use asset rules or standard	Do not apply

			deductibility rules. See IS 23/04 at [187]	
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Law: IT07 ss [CH 5B](#), [CX 1B](#) and [DB 2\(2B\)](#)

Last reviewed on 31 December 2025

Deductibility of advertising and sponsorship expenses [¶10-117]

[¶10-117]

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Expenditure on advertising and sponsorship can be expected to be allowed as a deduction under the general permission. That outcome applies to marketing costs which may be regarded as part of the ordinary process of selling the goods and services of the business: *BP Australia Ltd v C of T of the Commonwealth of Australia* [1966] AC 224. On that basis:

- # a motor vehicle dealer was allowed a deduction for the costs incurred in engaging in go-karting activities: Case L7 [\(1989\) 11 NZTC 1,052](#)
- # the sponsorship of horse races may be allowed as a deduction: Case M131 [\(1990\) 12 NZTC 2,850](#)
- # a courier company was allowed a deduction for the cost of participating in national motor racing events: Case P16 [\(1992\) 14 NZTC 4,107](#)
- # a joint venturer in a mining project was allowed a deduction for the cost of holding a golf day at which executives of potential customers played: *Cliffs International, Inc v FC of T* [85 ATC 4374](#).

The form of the advertising expenditure in some cases may suggest the application of the capital limitation. The cost of the construction of a permanent sign or a neon sign may be of a capital nature. The cost may give rise to a deduction by way of a depreciation loss.

The form of the advertising expenditure may also raise the possible application of the private limitation. The issue was raised, but rejected on the facts, in Case [L7](#), where the Taxation Review Authority found that a shareholder's personal enjoyment from participating in go-kart races was incidental to the company's predominant objective of expansion of its business.

Expenditure on advertising may constitute entertainment expenditure subject to deductibility of only 50% ([¶10-402](#)).

Interpretation statement — deductibility of sponsorship expenditure

Interpretation statement [IS3229](#) "Deductibility of Sponsorship Expenditure" indicates that:

- # a deduction may be allowed for sponsoring a sporting team where the business name is displayed on players' jerseys
- # a deduction is allowed for the cost of reimbursing a sporting team for its purchase of, for example, a van that displays the sponsor's name
- # a deduction may be allowed for the cost of sponsoring a sporting competition named after the sponsor
- # a deduction may be allowed for an accounting firm that sponsors performances of an opera to gain exposure to likely attendees of the performances
- # an upfront sponsorship payment covering a 3-year advertising period may be subject to the rules on prepayments spreading the deduction allowed
- # the rules on prepayments may not apply to a contribution to the construction of a swimming pool complex in return for naming rights for 10 years
- # a deduction may not be allowed for a gift to a school attended by the donor's child, where the school is in another district away from where business activities are conducted
- # a deduction may not be allowed for the sponsorship of a sporting activity that is a hobby of the business proprietor, but which is a completely different activity from the business.

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Deductibility of aircraft overhaul and maintenance costs [¶10-127]

[¶10-127]

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From 1 April 2017, provisions have been introduced relating to the timing of aircraft engine overhaul deductions. The provisions apply to aircraft operators who use engine-powered aircraft and who are required, under Civil Aviation Rules published by the Civil Aviation Authority, to carry out scheduled overhauls on an aircraft from time to time. The main aspects of the provisions are:

- # the engine overhaul component is no longer treated as part of the aircraft as a whole for depreciation purposes
- # the cost of the aircraft engine overhaul component and subsequent overhaul of that component is an allowable deduction, allocated to an income year on a time-in-service basis (ie a spreading method)
- # a deduction is allowed in transition equal to the undepreciated amount of the cost of an existing aircraft that relates to the engine overhaul component
- # accrued provisions for future overhaul expenses, as at the beginning of the 2017–18 income year, will be offset against those future overhaul expenses, when incurred
- # the general deductibility and timing rules continue to apply to all maintenance and overhauls other than expenditure incurred for the engine overhaul component, and
- # when an aircraft (or engine) is disposed of, engine overhaul deductions are recovered in a manner consistent with the application of the depreciation recovery rules.

As a consequence, the administrative practice of accepting the accounting practice of valuing overhaul deductions under a provisioning methodology has ceased.

The provisions change the income tax treatment of the acquisition cost of aircraft by:

- # estimating the value for an aircraft's engine overhaul component at acquisition and excluding that value from the aircraft's base value under the depreciation rules
- # treating the acquisition value of the engine overhaul component as an allowable deduction, subject to a timing rule
- # providing that the capital limitation is overridden in determining this deduction, and
- # clarifying that the cost of overhauling an engine overhaul component is an allowable deduction, and that the capital limitation is overridden, unless the overhaul includes a significant upgrade in engine performance.

The provisions include a timing rule to allocate, on a time-in-service basis, allowable deductions for both the engine overhaul component at acquisition and for subsequent overhauls. Relevant use measures for the time-in-service basis are to be determined from current regulated practice.

Aircraft operators having just one aircraft may elect to opt out of these spreading rules and instead apply the general deductibility and timing rules for timing overhaul deductions. This election is not available for an operator that, together with associated persons, owns more than one aircraft.

On disposal of an aircraft, ss [CG 9](#) and [EJ 27](#) apply in a manner consistent with the depreciation recovery rules that apply to the aircraft, not including the engine overhaul component.

For further discussion, including examples of how the rules operate, see *Tax Information Bulletin* [¶295-106 Vol 29, No 5](#), June 2017 at 117–132.

Law: IT07 ss [CG 9](#), [CZ 34](#), [DW 5](#), [DW 6](#), [DZ 22](#), [DZ 23](#), [EA 2\(1\)\(fc\)](#), [EA 3\(4B\)](#), [EE 7\(fb\)](#), [EJ 24–EJ 27](#), [FA 9\(5\)](#), [FA 10\(7B\)](#), [FA 11\(8\)](#), [YA 1](#) (“[aircraft engine](#)”, “[aircraft engine overhaul](#)”, “[scheduled overhaul period](#)”, “[unpriced aircraft engine](#)”)

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Deductibility of annuities [¶10-129]

[¶10-129]

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As a supplement to the general permission and overriding the private limitation, a deduction may be allowed in certain circumstances for the payment of an annuity charged over income-producing property.

Law: IT07 s [DX 1](#)

Last reviewed on 31 December 2025

Deductibility of bad debts [¶10-152]

[¶10-152]

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A person is denied a deduction for a bad debt, except to the extent to which the debt is written off as bad during the income year (s [DB 31\(1\)\(a\)\(i\)](#)). This provision authorises the deduction of bad debts that reflect income that was not financial arrangements income.

A bad debt deduction is also available where the debt may not be written off during the income year but it is remitted by law (on liquidation or bankruptcy) (s [DB 31\(1\)\(a\)\(ii\)](#)), or the debtor company has been released from making all remaining payments under an agreement of composition (s [DB 31\(1\)\(a\)\(iii\)](#)). These provisions apply where the person is required to calculate a base price adjustment for the debt.

A debt is bad when a reasonably prudent commercial person would conclude that there is no reasonable likelihood that the debt will be paid: *Budget Rent A Car Ltd v C of IR* ([1995](#) [17 NZTC 12,263](#)). In *Graham v C of IR*; *Edwards Graham Ltd v C of IR* ([1995](#) [17 NZTC 12,107](#)), the High Court accepted that a debt was bad when the taxpayer reached the stage of recognising that the debt was unlikely to be recovered.

The deduction is for a bad debt comprising an amount of income. The deduction is not for a bad debt of a capital nature: *Mitsui & Co (NZ) Ltd v C of IR* ([1995](#) [17 NZTC 12,112](#) (unlimited credit granted by a parent company for goods sold to a subsidiary)).

Bad debts must be formally written off as bad (ie the balance in the debtors' ledger reduced, or otherwise recorded if a debtor's ledger is not kept) and this must be done prior to the balance date in order to be deductible for that income year.

Public ruling on bad debts

The topic of bad debts is addressed by the Commissioner in [BR Pub 18/07](#), "Income tax and goods and services tax — writing off debts as bad". The commentary on the ruling states that the following factors assist in determining if a debt is bad:

- # the period the debt has been unpaid
- # steps taken to collect the debt
- # knowledge of the debtor's financial position
- # whether the debtor is deceased, cannot be traced or is in receivership or liquidation, and
- # when the debt will become statute barred.

The commentary acknowledges that it is not necessary for the debtor to be insolvent before a reasonably prudent commercial person would conclude that a debt is bad. Similarly, it is not necessary for the creditor to commence legal proceedings to recover the amount owing (provided sufficient information is held to support the conclusion that the debt is bad). There are a number of examples in [BR Pub 18/07](#) to illustrate the application of the rules.

To be allowed as a deduction, the debt must be written off. This requires something more than the decision that a debt is bad. The appropriate bookkeeping entries would be necessary in most cases: Case N69 ([1991](#) [13 NZTC 3,541](#)). In Case S73 ([1996](#) [17 NZTC 7,454](#)), a letter to the Commissioner was accepted as evidence of the write-off of a debt. Case T48 ([1998](#) [18 NZTC 8,325](#)) reached the same conclusion in relation to a business that wrote "written off" on its ledger cards, which recorded the debts owed.

The ruling states that the bad debt must be "written off", in accordance with the accounting and record keeping systems maintained by the taxpayer, in one of the following ways:

- # in the case of a taxpayer who maintains a computer-based accounting software system, an authorised person has made the appropriate entry in that system recording the debt as written off

- # in the case of a company taxpayer (other than one set out above), an executive or other responsible officer of the company with the authority to do so, has made the appropriate bookkeeping entries in the company's account books recording the debt as written off
- # in the case of a taxpayer (other than a company) who maintains double-entry accounts, an authorised person has made the appropriate bookkeeping entries in the business's account books recording the debt as written off, or
- # in the case of a taxpayer who is an unincorporated sole trader or small unincorporated business taxpayer who does not maintain double-entry accounts, the taxpayer has made a note in their bookkeeping records setting out the amount owed by the bad debtor, stating that the debt has been written off, and recording the date of the writing off.

Financial arrangements income

A person who derives assessable income from a financial arrangement is allowed a deduction for an amount owing under the financial arrangement to the extent that the income has been written off as a bad debt or the debtor has been released from making all remaining payments (s [DB 31\(2\)](#)). This provision allows a deduction for interest recognised as income by the lender under a spreading method, but which is not paid by the borrower. From 1 July 2017, to obtain a deduction under the section, the lender must also not be associated with the borrower or the borrower must have no deductions for the financial arrangement.

A deduction is allowed for an amount owing under a financial arrangement to the extent to which it is written off as a bad debt or the debtor is released from making all remaining payments where:

- # the taxpayer carries on a business that includes dealing in or holding financial arrangements that are the same or similar to the financial arrangement, and
- # the financial arrangement is not with an associated person.

This provision permits a deduction for a loss of principal under a financial arrangement (s [DB 31\(3\)](#)). However, the important qualification is that the taxpayer's business must include dealing or holding financial arrangements of the kind in question. Effectively, that qualification limits the deduction for a loss of principal to financiers. The capital limitation is overridden in relation to a deduction for a bad debt of the principal amount of a financial arrangement held as part of a business that includes dealing in or holding financial arrangements.

The deduction available to taxpayers who are in the business of dealing or holding financial arrangements is limited to the true economic loss suffered. For example, where such a taxpayer acquires a debt for less than its face value, a deduction will only be available to the extent of the consideration paid. An anti-avoidance measure ensures that a holder of debt who deals in or holds the same or similar financial arrangements will only be able to take bad debt deductions for the true money at risk. This means that if the purchase of a debt was funded by a limited recourse arrangement, a bad debt deduction will only be allowed to the extent to which the limited recourse arrangement does not relate to the debt.

A deduction is allowed for a bad debt that is written off and that relates to an amount owing under a financial arrangement that is an agreement for the sale and purchase of property or services. This is provided the taxpayer's business includes dealing in the property or services that are the subject of the agreement (s [DB 31\(4\)](#)).

Following the adoption of International Financial Reporting Standards (IFRS) ([16-135](#)) the accounting treatment for credit impairments of financial assets is governed by NZIAS 39. A complete alignment of the tax treatment of bad debts and the accounting treatment of credit impairments under NZIAS 39 would mean that all provisions for doubtful debts would become deductible for taxation purposes. However, the government issues paper on the tax consequences of adopting IFRS concluded that this would carry significant revenue costs that were unacceptable. It is therefore currently proposed to maintain the existing tax treatment for bad debts. A credit impairment under NZIAS 39 will only be allowed as a deduction for tax purposes if the bad debt deduction rules in s [DB 31](#) are satisfied.

A bad debt deducted as a tax loss

A deduction is not allowed to the extent that the debt relates to an amount that the borrower, or another company, has included in a tax loss that has been offset with another group company under s [IC 1](#) (s [DB 31\(5\)](#)). This provision evidently prevents 2 deductions for what may be regarded, in substance, as one loss.

Debt owed to an estate

A debt that is written off as bad by the trustee of a deceased estate may be allowed as a deduction to the extent of trustee income for the income year. If that income is insufficient to absorb the deduction, the deduction may be allowed against the year's income of a beneficiary who has a vested interest in the capital of the estate, with any residue of the debt to be carried forward to the following income year and subject to the same treatment until fully deducted (s [DB 32](#)).

Law: IT07 ss [DB 31](#), [DB 32](#)

Last reviewed on 31 December 2025

Deductibility of bloodstock [¶10-162]

[¶10-162]

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No deduction is allowed for an expenditure or loss incurred in relation to the racing of bloodstock. The notion of bloodstock refers to a standardbred or thoroughbred horse ([¶27-300](#)). The inability to claim a deduction reflects the treatment of income from racing as exempt under s [CW 47](#).

The above rule is subject to some exceptions. First, a deduction is allowed if the person is in the business of breeding bloodstock, the expenditure is incurred in preparing for disposal bloodstock they are preparing for racing and they do not race the bloodstock. Second, a person, such as a trainer, who prepares bloodstock for racing is allowed a deduction for the outgoings incurred in generating income from that activity.

From 1 January 2019, changes to the bloodstock tax rules have enabled new investors in certain bloodstock yearlings to claim tax deductions in relation to that bloodstock as if they had an existing bloodstock breeding business ([¶27-305](#)).

Law: IT07 ss [DW 2](#), [YA 1](#) (“[bloodstock](#)”)

Last reviewed on 31 December 2025

Deductibility of books and periodicals [¶10-172]

[¶10-172]

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A deduction may be allowed for the cost of:

- # newspapers, journals and periodicals
- # an updating service for a publication
- # a book under the \$1,000 threshold for a low-value item excluded from the depreciation regime (¶13-054).

The Commissioner's views on this topic are published in *Tax Information Bulletin* ¶103-105 Vol 10, No 3, March 1998 at 3 and *Tax Information Bulletin* ¶109-114 Vol 10, No 9, September 1998 at 11.

Example:

An accountancy practice subscribes to CCH, *New Zealand Tax Cases*. The annual subscription price includes approximately 22 updating reports throughout the year, and a bound volume of tax cases every year or every second year. The subscription price can be claimed as a deduction.

Example:

An accountant purchases the latest edition of CCH, *New Zealand Master Tax Guide*. The purchase price can be claimed as a deduction. Arguably, the book is not a capital asset because its use in assisting with the preparation of just one year's returns would characterise it as a consumable aid. In any event, the cost would be below the \$1,000 threshold for a low-value item.

Journalists were not able to show that the cost of magazines and newspapers purchased to read in their spare time was expenditure wholly, exclusively and necessarily incurred in the performance of their duties. The reading of the publications was not done in the performance of duties but was merely preparatory for doing work: *Fitzpatrick v IR Commrs* [1994] BTC 66.

A library

The initial cost in setting up a library and the purchase of new volumes is subject to the capital limitation. Deduction for the cost may be allowed as a depreciation loss. A professional person such as a doctor or lawyer who maintains a library for work would be allowed a deduction for the cost of doing so. The costs of maintaining a library include:

- # binding and repairs to existing books
- # replacement of obsolete books, and
- # journals and periodicals.

Last reviewed on 31 December 2025

Deductibility of borrowing costs [¶10-182]

[¶10-182]

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Under s [DB 5](#) a person is allowed a deduction for expenditure incurred in borrowing money that is used as capital in deriving their income. The deduction allowed overrides the capital limitation, although the other general limitations, such as the private limitation, still apply. However, the mixed-use asset rules in subpt [DG](#) override s [DB 5](#) for expenditure to which that subpart relates ([¶10-035](#)).

Interpretation statement — deductibility of expenditure incurred in borrowing money

Interpretation statement [IS 13/03](#) “Income tax — deductibility of expenditure incurred in borrowing money — section DB 5” considers the application of s [DB 5](#) and its relationship with the financial arrangements (FA) rules. The statement also discusses when borrowing costs may be deductible under the general deductibility provision.

[IS 13/03](#) states that it is not possible to provide a comprehensive list of expenditure that will be deductible under s [DB 5](#). However, expenditure that will typically be deductible under s [DB 5](#) (where not required to be taken into account and spread under the FA rules, and where not required to be considered under the mixed-use asset rules in subpt [DG](#)) includes:

- # legal fees in connection with establishing a loan
- # valuation fees, where the lender requires a valuation
- # guarantee fees
- # the passed-on cost of lenders mortgage insurance (where the cost is passed on to the borrower as a “recharge”)
- # loan procurement fees
- # survey fees, where the lender requires the surveying
- # mortgage brokers’ commissions
- # costs of arranging bank overdrafts, and
- # certain expenses relating to debenture issues (such as drafting, advertising and printing prospectuses).

Where borrowed money is a revenue item, expenditure incurred in borrowing the money will generally be deductible under s [DA 1](#). Where borrowed money is an addition to capital, expenditure incurred in borrowing the money will not be deductible under s [DA 1](#), because of the capital limitation (s [DA 2\(1\)](#)). However, it may be deductible under s [DB 5](#), which overrides the capital limitation. Section [DB 5](#) allows a person a deduction for expenditure incurred “in borrowing money that is used as capital in deriving their income”. For expenditure to be deductible under s [DB 5](#), the expenditure must be incurred by the taxpayer in borrowing money and the taxpayer must use the borrowed money as capital in the derivation of their income.

Refinancing or rollover of a loan

Expenditure incurred in refinancing or “rollover” of a loan may constitute fees incurred in the establishment of a new loan, but it will be a question of fact in each case. For example, an extension of the term of a loan contract, made under a provision in the contract contemplating such an extension, may be a variation of the contract and not the establishment of a new loan: *In re Goldstone’s Mortgage* [\[1916\] NZLR 489](#) and *Nelson Diocesan Trust Board v Hamilton* [\[1926\] NZLR 342 \(CA\)](#). Costs incurred in relation to such an extension would not be deductible under s [DB 5](#) because they are not incurred in establishing a loan.

Repaying borrowed money

Expenditure incurred in repaying borrowed money is not expenditure incurred in borrowing money, so is not deductible under s [DB 5](#). Similarly, costs incurred in discharging a mortgage is not expenditure incurred in borrowing money. This will be the case irrespective of whether the discharge of mortgage is required to give security to a replacement lender: *Riviera Hotel v MNR* [1972] CTC 157 and *Neonex International Ltd v R* 78 DTC 6,339 (FCC). However, such expenditure may be deductible under the FA rules. The expenditure incurred in discharging a mortgage would be included as consideration in the base price adjustment (which is required in the year the loan is repaid). A negative amount under the base price adjustment is expenditure incurred under the FA rules and constitutes interest that may be deductible under s [DB 6](#) or [DB 7](#). For deductibility of break fees, see [¶10-190](#).

Insurance premiums

[IS 13/03](#) states that the passed-on cost of lenders mortgage insurance is deductible under s [DB 5](#) if it is expenditure the borrower is required to incur to obtain a loan. However, the premium on a life insurance policy required by the lender as security for a loan is not deductible under s [DA 1](#) (because it is capital expenditure) or s [DB 5](#) (because it is expenditure incurred in acquiring an asset or benefit other than the loan). This is regardless of the type of life insurance, ie whole of life, term, mortgage repayment insurance, or otherwise.

Expenditure under financial arrangements rules

Where borrowing costs are included in income or expenditure calculations under the FA rules, the amount and timing of the borrowing costs will be determined by those rules. As expenditure under the FA rules is interest, whether a deduction is allowable will be determined by s [DA 1](#), [DB 6](#) or [DB 7](#).

If the FA rules apply and the taxpayer is not a cash basis person (s [EW 54](#)), or the taxpayer is a cash basis person required to use a spreading method, expenditure that may need to be taken into account and spread under the FA rules includes:

- # the cost of any lenders mortgage insurance that is passed on to the borrower by being incorporated into the interest rate
- # loan application fees, loan establishment or draw down fees, loan procurement fees or broker's fees — unless they are non-contingent fees or non-integral fees, and
- # guarantee fees for a guarantee given as security for borrowed money.

Cash basis persons are not required to spread income under a financial arrangement. Sections [DA 1](#) and [DB 5](#) are the relevant provisions for determining deductibility of expenditure incurred in borrowing money by a cash basis person, except in the year in which a base price adjustment is required. See ss [EW 28–EW 31](#).

In the year in which a base price adjustment is required (eg the year in which a loan is repaid), all consideration paid or payable under the financial arrangement comes into the base price adjustment. This includes any expenditure under a loan that has not already been deducted under s [DB 5](#) or [DA 1](#). This might include, for example, expenditure under a loan incurred in the year of the base price adjustment, and expenditure paid to the lender to discharge a mortgage or to induce a lender to accept early repayment of a loan.

Collateral cash

Operational statement [OS 25/01](#) “Cash collateral is ‘money lent’” sets out the Commissioner’s changed view that cash collateral provided as part of security lending and derivative transactions is “money lent” and obligations arise to withhold resident and non-resident withholding tax on interest payable on the cash collateral. [OS 25/01](#) states the Commissioner expects taxpayers to comply with the new view from 1 April 2025. For commentary on RWT and NRWT, see [¶15-040](#) and [¶26-450](#) respectively.

Law: IT07 s [DB 5](#)

Last reviewed on 31 December 2025

Deductibility of break fees [¶10-190]

[¶10-190]

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A break fee is the fee charged by a lender to a borrower to allow the borrower to repay a fixed interest rate loan earlier than the agreed repayment date or to vary the fixed interest rate under the loan. A break fee is generally charged as compensation for the loss a lender, usually a bank, may have suffered if their current interest rate for a similar loan is lower than the fixed interest rate that applies to the borrower's loan. This situation arises where the lender has borrowed money from the wholesale money markets at a fixed interest rate, usually with no option for early repayment. Therefore, the lender will have to on-lend the money to another borrower, possibly at a lower interest rate. The cost of borrowing money on the wholesale market may have subsequently fallen. Consequently, the lender has an "economic cost" to carry until their loan has reached the end of its term.

Rulings on break fees

Break fees can be incurred in various situations. The Commissioner has issued 3 public binding rulings to cover the following common situations:

- # [BR Pub 12/01](#), "Deductibility of break fee paid by a landlord to exit early from a fixed interest rate loan"
- # [BR Pub 12/02](#), "Deductibility of break fee paid by a landlord to vary the interest rate of an existing fixed interest rate loan"
- # [BR Pub 12/03](#), "Deductibility of break fee paid by a landlord to exit early from a fixed interest rate loan on sale of rental property".

The rulings set out the tax treatment of such arrangements. Generally, break fees are deductible where a landlord has entered into a fixed interest rate loan and the money has been used to acquire a property from which rental income is derived or to refinance another loan for that purpose. Where the break fee is paid to repay the loan early, a base price adjustment will be required in the income year the loan is repaid. The break fee will increase the overall negative figure that the base price adjustment provides and will therefore be expenditure incurred and constitute interest. A company, other than a qualifying company, will be entitled to a deduction under s [DB 7](#). A deduction is allowed for other taxpayers, including qualifying companies and look-through companies, under s [DB 6](#) and the general permission in s [DA 1](#). Where the break fee is paid to vary the interest rate under the loan, there is no requirement for a base price adjustment. Taxpayers who are not cash basis persons, and cash basis persons who have chosen to adopt a spreading method, will be required to apply *Determination G25* to the variation to the terms of the loan. The amount of the break fee will be included in the calculation under the determination. This means an adjustment will be made in the year of variation and the deduction of the break fee will effectively be spread over the term of the loan. Cash basis persons will be able to deduct the amount of the break fee when it is incurred under the general permission, in s [DA 1](#), provided the money was borrowed to purchase a property from which rental income is derived.

The rulings apply for an indefinite period from the first day of the 2012–13 income year.

Law: IT07 ss [DA 1](#), [DB 6](#), [DB 7](#), [EW 15](#), [EW 31](#)

Last reviewed on 31 December 2025

Deductibility of bribes [¶10-192]

[¶10-192]

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The amount of a bribe given to a public official to obtain a business advantage is not deductible, except in minor cases. No deduction is allowed for a bribe corruptly given to another person with the intent to influence a public official to act, or fail to act, in order to obtain or retain business for the donor, or to obtain an improper advantage for that person in the conduct of business. Whether or not the public official had the authority to act or refrain from acting in relation to the matter, the subject of the bribe does not affect the restriction on deductibility.

Some bribes may still give rise to a deduction. This is the case when the bribe is paid wholly or mainly to ensure or expedite the foreign public official's performance of a routine government action and the value of the benefit is small.

Law: IT07 s [DB 45](#)

Last reviewed on 31 December 2025

Capital contributions [¶10-200]

[¶10-200]

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Businesses that receive a capital contribution for an item of “capital contribution property” must choose to treat the receipt either as income spread over 10 years ([¶15-356](#)) or as a reduction in their depreciation base ([¶13-164](#)) or their expenditure under subpt [DO](#) ([¶127-175](#), [¶127-365](#), [¶127-400](#) and [¶127-410](#)). Once an election is made, it cannot be changed. Capital contribution property is depreciable property owned or to be acquired by the recipient or certain amortisable property under subpt [DO](#).

Where the business chooses to apply s [DB 64](#), the asset’s adjusted tax value, base value, cost or value, as applicable, for subpt [EE](#), or the expenditure under subpt [DO](#), is reduced by the amount of the capital contribution. Effectively this means the recipient is not able to claim depreciation or amortisation deductions to the extent that the asset has been paid for by a capital contribution. The amount is not treated as part of the cost of the asset for the purposes of calculating depreciation recovery income.

A capital contribution is an amount that is paid by a payer (other than in their capacity of settlor, partner or shareholder of the recipient) to a recipient under an agreement. The amount must not be income of the recipient and must expressly be paid as a contribution for capital contribution property. Insurance payouts to cover the replacement of damaged assets are not capital contributions, except where the insurance payout relates to business interruption (see below). Effectively, a capital contribution is similar in nature to a subsidy for capital expenditure.

Previously, capital contributions were generally not taxable as they were capital in nature. See *BP Australia v C of T of the Commonwealth of Australia* [1966] AC 224 (PC). The recipient may have been able to deduct, by way of depreciation, the cost of the assets acquired with the contribution. It was therefore possible for a recipient to claim deductions for expenditure that had been funded through non-taxable capital receipts.

Example:

Ben’s Electricity Company is an electricity lines company. On 1 June 2015, a farmer requested that his farmhouse be connected to Ben’s Electricity network. As the work, costing \$10,000, would otherwise be uneconomic, Ben’s Electricity required a \$6,000 capital contribution from the farmer.

Election to treat as income

If Ben’s Electricity Company elects to treat the capital contribution as income, it will return 1/10th of the \$6,000 capital contribution as taxable income for the next 10 years. In other words, it will return \$600 extra income in its 2015–16 income year and continue to do this until its 2024–25 income year.

Election to reduce depreciation base

If Ben’s Electricity Company elects to reduce its depreciation base, it will be unable to claim depreciation on the cabling and other assets that make up the new connection to the extent that they were funded by the capital contribution. In other words, it can only claim depreciation deductions on the \$4,000 cost for which it bore the financial burden.

Example adapted from *Tax Information Bulletin* [¶127-101 Vol 22, No 7](#), August 2010 at 19.

Effect on disposal

For the purposes of calculating depreciation recovery, if a person has elected to reduce the depreciation base, the amount of the capital contribution is added back ([¶13-300](#)).

Payouts in relation to business interruption insurance

Generally, insurance payouts do not come within the definition of “capital contribution”. However, an exception exists for insurance proceeds received in relation to an interruption or impairment of business activities where the agreement specifies the proceeds are paid as a contribution for capital contribution property.

Law: IT07 ss [CG 8](#), [DB 64](#), [EE 48](#), [YA 1](#) (“capital contribution”, “capital contribution property”)

Last reviewed on 31 December 2025

Deductibility of company administration costs [¶10-202]

[¶10-202]

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Section [DB 63](#) allows companies a deduction for all costs incurred in authorising, allocating or processing the payment of a dividend, as well as expenditure incurred in resolving a dispute on any of those matters. This does not include the amount of the dividend itself. Section [DB 63B](#) allows listed companies a deduction for expenditure incurred as periodic fees to maintain registration on a recognised stock exchange. Section [DB 63C](#) allows companies a deduction for expenditure incurred to hold an annual general meeting of the shareholders of the company, but denies a deduction for expenditure incurred to hold a special or extraordinary meeting of the shareholders of the company.

Commissioner's statement

Interpretation statement [IS 14/04](#) "Income tax: deductibility of company costs" addressed the deductibility of a range of corporate administration expenses. The statement applies from the 2014–15 and subsequent income years. The topics discussed, and the conclusions reached in the statement, may be summarised as follows.

Share registry expenses

The Commissioner's view is that expenditure on maintaining the share registry will generally be deductible where the company carries on a business. There is a sufficient relationship between the expenditure and the company's business because the share registry must be maintained to identify those persons who have the power to make decisions. The expenditure is generally not capital expenditure. The expenditure is recurrent and does not result in the creation of a structural asset or enduring benefit to the company (with the possible exception of expenses incurred in relation to mergers, acquisitions or company migrations).

Audit fees

Audit fees are incurred to provide shareholders and others with reliable financial information. Such information enables shareholders to exercise their power to control the company and other stakeholders to make decisions regarding their relationship with the company. The Commissioner considers audit fees are deductible because there is a sufficient relationship between annual audit fees and a company's business and the fees are not capital expenditure.

Dividends

Expenditure incurred in authorising, allocating or processing the payment of a dividend (including expenditure incurred in resolving a dispute) is deductible under s [DB 63](#).

Shareholder meeting costs

Direct expenditure incurred in holding a meeting

Direct expenditure incurred in holding a meeting would include expenditure incurred on:

- # venue hire and any other costs related to preparation of the venue
- # equipment hire (eg audiovisual equipment)
- # refreshments provided to those attending the meeting
- # printing, publishing, postage and advertising of notices of the meeting
- # preparation of resolutions
- # travel costs for directors and other persons required to attend the meeting, and
- # any other costs directly related to physically holding or conducting the meeting.

Such expenditure is:

deductible where the expenditure is incurred in holding an annual meeting, regardless of whether the company is carrying on a business or income-earning activity and whether the expenditure is capital in nature, under s [DB 63C\(1\)](#)

not deductible where the expenditure is incurred in holding a special or extraordinary meeting, under s [DB 63C\(2\)](#).

Indirect expenditure incurred in relation to meetings of shareholders

Indirect expenditure is any other expenditure incurred for, or in preparation for, a meeting of shareholders that is not a direct cost of physically holding or conducting the meeting. The tax treatment of such expenditure depends on the purpose of the particular meeting.

The following table summarises the Commissioner's view depending upon the purpose of the special meeting:

Purpose of meeting	Commissioner's view of deductibility
Ordinary business purposes of an annual meeting	Deductible where the company is carrying on a business.
Alteration of constitution	Generally non-deductible but may be deductible when the alterations facilitate business operations.
Alteration of shareholder's rights	Generally non-deductible because general permission not met and capital limitation applies. May be deductible where inseparable from, or ancillary or incidental to, business objectives that meet the general permission.
Arrangements with creditors	Deductible where the company is carrying on a business.
Liquidations	Not deductible. General permission not met and capital limitation applies.
Major transactions	Depends on the facts. Not deductible where incurred after the company has committed to a major transaction because the capital limitation will apply.
Ratifying actions of directors or breaches in their duty to the company	Ratification under s 177 of the Companies Act 1993: depends on actions ratified. Ratification of breach of directors' duty: generally deductible where the company is carrying on a business.
Takeover offers (target company)	Not deductible where incurred to preserve position of existing shareholders or to obtain a benefit of a capital nature. Deductible where incurred to prevent an offer detrimental to the company's business.

Statutory return filing fees

Expenditure relating to standard filing fees incurred pursuant to the Companies Act will be deductible expenditure of a company that is carrying on business or an income-earning activity. As companies are statutorily bound to meet this expenditure, to be both compliant and to remain on the register of companies, the Commissioner considers the commercial necessity for the expenditure means it has the necessary connection to the carrying on of the business and the earning of its income. The expenditure is recurrent and does not result in the creation of a structural asset.

Legal or accounting fees associated with company administration costs

The tax treatment of legal or accounting fees associated with company administration fees depends on whether the underlying transaction or issue requiring the fees to be incurred is of a capital or revenue nature. For example, accounting or legal fees relating to the acquisition of a capital asset would generally be an item of a capital nature and non-deductible. In contrast, accounting or legal fees associated with dealing with creditors or other operational matters would be of a revenue nature and therefore deductible. However, if the total business-related legal expenditure does not exceed \$10,000 for the income year, then the legal expenses will be deductible under s [DB 62](#) in the income year incurred irrespective of whether they are capital. See further at [¶10-680](#).

Listing fees

The Commissioner considers that initial listing fees and any additional listing fees are non-deductible, being expenditure of a capital nature (facilitation of raising fixed capital). However, if initial or additional listing fees are incurred in relation to debt securities, then s [DB 5](#) or the financial arrangements rules in subpt [EW](#) may apply depending on the facts of the case (see [IS 13/03](#) “Income tax — deductibility of expenditure incurred in borrowing money — section DB 5” and [¶10-182](#)).

In contrast, s [DB 63B](#) supplements the general permission and specifically provides for the deduction of periodic listing fees incurred to maintain registration of a listed company on a recognised exchange.

Law: IT07 ss [DB 62](#), [DB 63](#), [DB 63B](#), [DB 63C](#)

Last reviewed on 31 December 2025

Deductibility of compensation and damages [¶10-212]

[¶10-212]

[Click to open document in a browser](#)

A deduction may be allowed under the general permission for a payment of compensation or damages that arose out of the conduct of business activities, provided that the capital limitation or the private limitation does not apply.

In *Herald and Weekly Times Ltd v FC of T* (1932) 48 CLR 113, a newspaper publisher was allowed a deduction for the cost of settling libel claims. The publication of alleged libels was thought by the court to be a regular and almost unavoidable incident of the publication of newspapers. The claims of the person alleged to have been defamed flowed from acts done for no other purpose than earning revenue, namely, the publication of newspapers.

A favourable conclusion on deductibility was also reached for a company that paid the legal costs of its directors in unsuccessfully defending criminal charges alleging the payment of secret commissions. The criminal charges attacked the business methods adopted by the company for the sale of its products: *Magna Alloys & Research Pty Ltd v FC of T* 80 ATC 4542.

A solicitor was allowed a deduction for the amounts paid to clients to compensate them for the defalcations of their funds by the solicitor's bookkeeper: *C of T v Webber* [1956] NZLR 552.

An outlay to ensure cancellation or termination of a business contract may be expected to be allowed as a deduction. The taxpayer in *Anglo-Persian Oil Co Ltd v Dale (I of T)* (1931) 16 TC 253 was allowed a deduction for the £300,000 paid to obtain cancellation of the contract of an agent responsible for distribution of the taxpayer's products. The agent's remuneration had become more onerous than anticipated. Following cancellation of the contract, the taxpayer distributed its own products and so was able to achieve a considerable saving in its working expenses. In finding in favour of deductibility, the court noted that no asset or advantage of an enduring benefit was brought into existence by the payment. Similarly, a deduction was allowed in *J Gadsden & Co Ltd v C of IR* (1964) 14 ATD 18 for a payment to cancel a knowhow agreement so as to achieve an economy in expenses.

Vodafone Cellular Ltd v Shaw (HMIT) [1997] BTC 247 concerned a claim to deduct the £30 million paid to cancel an agreement for the supply of technical assistance in setting up a mobile telephone network. The taxpayer negotiated cancellation of the supply agreement when it emerged that alternative technology was available elsewhere at a cheaper cost. The payment was one to get rid of a future liability of a revenue nature, being a payment for services, and the court thought that it was appropriate that the payment should have the same character as that liability.

Compensation paid to an employee in conclusion of a personal grievance claim is likely to be allowed as a deduction. A payment to secure the removal of an unsatisfactory director or employee is referable only to current business operations and that stamps the outlay with the character of a revenue disbursement: *Buckley & Young Ltd v C of IR* (1978) 3 NZTC 61,271. See also ¶3-468.

Last reviewed on 31 December 2025

Deductibility of computer software expenditure [¶10-220]

[¶10-220]

[Click to open document in a browser](#)

The deductibility of computer software expenditure depends upon the nature of the expenditure incurred. For example, expenditure on developing computer software that creates an asset to be used in the taxpayer's business can be expected to be of a capital nature that may be allowed as a deduction by way of a depreciation loss. The same outcome applies for expenditure incurred in creating a website (*Tax Information Bulletin* ¶128-107 Vol 12, No 8, August 2000 at 21). On the other hand, expenditure on purchasing computer software with a cost of \$1,000 or less can be claimed as an immediate deduction. For a list of the different types of computer software expenditure, and the corresponding income tax treatment, see further at ¶13-430.

Expenditure on computer software may be eligible for the deduction allowed for research and development (¶10-850).

The Commissioner undertook a comprehensive analysis of the nature of computer software in the interpretation guideline, [IG0007](#) "Non-resident software suppliers' payments derived from New Zealand — income tax treatment". The statement explored the circumstances in which the purchase of computer software from a non-resident supplier would attract non-resident withholding tax. The statement also touches on the distinction between revenue and capital and therefore contains some indication of the outlays the Commissioner may accept as deductible when the transaction is conducted between resident parties.

Unsuccessful software development costs

Section [DB 40B](#) allows taxpayers an immediate deduction for the costs associated with unsuccessful software development where the taxpayer incurs expenditure on the development of software for use in the taxpayer's business, the development is abandoned before the copyright in the software is depreciable property and, if the development had been completed, the copyright in the software would have been depreciable property. The deduction is available to the extent to which no other deduction has been allowed for the expenditure, and it is allocated to the income year in which the development is abandoned. The section overrides the capital limitation, but the general permission must still be satisfied. See also [¶13-430](#).

Law: IT07 s [DB 40B](#)

Last reviewed on 31 December 2025

Deductibility of consumable aids [¶10-232]

[¶10-232]

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A consumable aid is an item used in a production process, for example the purchase by a farmer of hay for consumption by livestock. The cost of consumable aids can be expected to be allowed as a deduction under the general permission. The cost would have the character of a working expense ([¶9-011](#)).

Last reviewed on 31 December 2025

Deductibility of pollution control expenses [¶10-242]

[¶10-242]

[Click to open document in a browser](#)

A person who carries on a business in New Zealand may be allowed a deduction for expenditure of a capital nature on ameliorating the effects or future effects of discharges of contaminants or making of noise. This applies if the expenditure is not incurred in relation to revenue account property, unless the property is a landfill the person has elected to hold on revenue account.

It is possible to anticipate the expenditure by contributing to an environmental restoration account with the Commissioner and deducting contributions when made to the account ([¶10-412](#)).

Classification of expenditure

The provisions allowing the deduction not only specify eligible expenditure, but also classify the expenditure into items to provide for spreading treatment of the deduction. The expenditure eligible for deduction (and the item classifications within [Sch 19](#)) are the costs associated with the following:

- # investigating and testing for a potential activity or improvement to mitigate future adverse effects of contaminants or on people or animals from the making of noise ([pt A, item 1](#))
- # improvements on land in New Zealand to mitigate future adverse effects of contaminants or on people or animals from the making of noise ([pt A, item 2](#)) and associated screen planting ([pt A, item 3](#))
- # riparian planting on land in New Zealand to ameliorate the effects of contaminants or on people or animals from the making of noise ([pt A, item 4](#))
- # activity intended to minimise the future discharge of contaminants or the future making of noise ([pt A, item 5](#))
- # monitoring discharges of contaminants or the making of noise ([pt B](#))
- # monitoring the detrimental effect on the environment of discharges or on people or animals from the making of noise ([pt B](#))
- # post-discharge clean-up costs ([pt B](#))
- # post-discharge costs to remove an improvement on the land ([pt B](#))
- # post-discharge installation of impermeable surfaces ([pt B](#))
- # post-discharge replanting costs ([pt B](#)), and
- # disposal of stored contaminants ([pt B](#)).

Exclusions

There are a number of exclusions. No deduction is allowed for expenditure relating to:

- # land reclamation
- # dredging, unless the dredging is to remedy the adverse effects of contaminants, and
- # acquisition of land.

Formula for deduction

The deduction allowed in an income year is calculated according to the formula:

$$\text{rate} \times \text{value}$$

where:

rate is the appropriate rate to the particular item of expenditure, and
value is the adjusted tax value under the straight-line method or the diminished value under the diminishing value method.

The rate is 100% for expenditure that comes within [item 1 of pt A](#) or any item under [pt B of Sch 19](#). The effect of the formula appears to be to allow a deduction in full in the income year expenditure falling within those items is incurred. The consequence is, for example, that expenditure on monitoring is fully deductible in the year it is incurred.

The rate for expenditure that falls within items 2 to 5 of [pt A of Sch 19](#) is in accordance with the taxpayer's choice of one of 2 depreciation rates given by [Sch 12](#). If the person chooses the straight-line method, the rate is the rate set out in column 2 of the Schedule that is nearest to the rate calculated using the formula in s [DB 46\(7\)](#). If the person chooses the diminishing value method, the corresponding diminishing value rate in column 1 of the Schedule is used. The formula in s [DB 46\(7\)](#) provides that the rate is:

$$100\% \div \text{assumed life}$$

where the assumed life for expenditure associated with a business activity that:

does not require a resource consent is 35

does require a resource consent is the lesser of 35 and the remaining term of the resource consent at the time the expenditure is incurred.

The rate determined under [Sch 12](#) is applied to the value applicable to the expenditure. The value is:

the adjusted tax value of the expenditure under the straight-line method, or

the diminishing value of the expenditure under the diminishing value method.

Determination

The Commissioner may also issue a determination setting a rate or an assumed life for a particular expenditure on the written request of a person or a group of persons. Section [91AAN](#) of the TAA sets out the matters the Commissioner may take into account in making a determination, the reasons for declining to make a determination and the notice requirements. For the amortisation rates for landfill cell construction expenditure, see *Determination* [DET 05/02](#) and CCH, *New Zealand Tax Rates, Dates and Depreciation Rates 2026* at [¶50-169](#).

The possibility that the business ceases, or that an improvement is destroyed or rendered useless, is also addressed in s [DB 46](#). In any such case, a deduction is allowed for the residue of any expenditure not already deducted.

Law: IT07 s [DB 46](#), [Schs 12, 19](#); TAA s [91AAN](#)

Last reviewed on 31 December 2025

Expenditure deemed to be incurred by determination [¶10-262]

[¶10-262]

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Determinations have been issued by the Commissioner that have the effect of deeming certain categories of taxpayer as having incurred expenditure. The outcome may be to reduce or eliminate assessable income.

Expenditure incurred in deriving schedular payments

Under s [RD 8\(3\)](#) the Commissioner may determine the amount or proportion of expenditure that a person incurs in deriving particular types of schedular payments. The expenditure amounts determined in this way are listed below. A fuller discussion of these determinations can be found at [¶13-457](#).

Screen production industry

A maximum of \$100 per day may be regarded as expenditure incurred in earning the per diem allowance paid to a screen production worker when working away from the person's normal residence ([¶13-457](#)).

Plunket Society honoraria

A maximum of \$800 pa may be regarded as expenditure incurred in earning an honorarium from the Royal New Zealand Plunket Society Inc: Determination [DET 18/02](#) ([¶13-457](#)).

School trustees

In *Tax Information Bulletin* [¶137-114 Vol 13, No 7](#), July 2001 at 51 (confirmed in *AGENTS Answers*, Issue 159, July 2013) the Commissioner determined that the following may be regarded as expenditure incurred in deriving honoraria paid to a school trustee ([¶13-457](#)):

- # \$75 per meeting for the chairperson, up to an annual maximum of \$825
- # \$55 per meeting for other trustees, up to an annual maximum of \$605.

Sports prizes

A maximum of \$500 per event may be regarded as expenditure incurred in deriving prize money paid at a sporting event or competition ([¶13-457](#)).

Standard-cost household services costs

The Commissioner may, as part of a determination made under s [91AA](#) of the TAA, determine set amounts for costs that may be treated as being incurred in deriving income or exempt income from providing certain household services. Determinations have been issued in relation to providers of home-based childcare, boarding services and homeshare care providers ([¶15-695](#)).

Last reviewed on 31 December 2025

Deduction for loss on destruction of a building [¶10-272]

[¶10-272]

[Click to open document in a browser](#)

A deduction is allowed for the loss suffered upon the destruction of a temporary building. A temporary building is one that must be demolished or removed upon the completion of a construction project or when plant or machinery housed in the building is removed. This provision supplements the general permission and overrides the capital limitation.

The cost of the demolition of a building can generally be expected to be subject to the capital limitation, because there will be an improvement to the capital structure of the business. See *C of IR v Lyttelton Port Co Ltd* (1997) 18 NZTC 13,273 (CA). QWBA QB 14/08, "Income tax — costs of demolishing an existing building on a building site" confirms that the costs of demolishing an existing building are not deductible as they are of a capital nature. Instead, the costs are taken into account under the depreciation rules in determining the consideration received from the disposal of the demolished building.

Law: IT07 s [DB 20](#)

Last reviewed on 31 December 2025

Deductibility of education costs [¶10-282]

[¶10-282]

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An employer could expect to be allowed a deduction for costs associated with updating the working knowledge of employees. The costs would have the character of a working expense. In *FC of T v Finn* (1961) 106 CLR 60, the High Court of Australia recognised that expenses associated with maintaining or increasing learning and ability may be incidental and relevant to the earning of assessable income. It is possible that the regime on entertainment expenditure may operate to reduce the deduction to 50% (¶10-402).

Expenses incurred in obtaining a degree or other qualification may be allowed as a deduction if the expenses are not too remote from the earning of assessable income. The acquisition of knowledge is not to be treated as the acquisition of a capital asset. See *FC of T v Hatchett* 71 ATC 4184. In *FC of T v Highfield* 82 ATC 4463, it was accepted that a deduction should be allowed for the costs incurred in undertaking a specialist course if the taxpayer intends to utilise the specialist skills, once obtained.

Last reviewed on 31 December 2025

Deductibility of emissions units and emissions liabilities [¶10-286]

[¶10-286]

[Click to open document in a browser](#)

Acquisition

Section [DB 60](#) applies when emissions units are transferred to a person for a price of zero either for removal activities (under s 64 of the Climate Change Response Act 2002 (CCRA)), or by government allocation (under Pt 4, subpart 2 of the CCRA), or under a permanent forestry scheme (prior to 23 June 2020, in relation to a forest sink covenant (under s 67Y of the Forests Act 1949)). A person is denied a deduction for expenditure or loss incurred as consideration for the emissions unit.

This provision overrides the general permission.

Forest land

When a person incurs a liability under the CCRA for emissions relating to post-1989 forest land or pre-1990 forest land, no deduction is allowed for the liability (s [DB 60B](#)). Under this same provision no deduction is allowed for a liability to transfer emissions units to the Crown under a permanent forestry scheme (prior to 23 June 2020, a forest sink covenant) either.

Persons that hold post-1989 forestry land or pre-1990 forestry land on revenue account cannot apply ordinary deductibility principles (s [DB 61](#)). This is because forestry businesses obtain their deduction by way of the rule that states that emissions units surrendered for liabilities arising from this type of forestry land are treated as being sold for zero.

Deductions for emissions liabilities outside the forestry sector

The energy, fishing, industry and liquid fossil fuel sectors entered the emissions trading scheme (ETS) in 2010. Generally, for sectors outside the forestry sector, deductions for emissions liabilities are not dealt with under any specific provisions. The ordinary principles that apply for deductibility on an accruals basis are considered sufficient. The year-end deduction for each business will be determined by (*Tax Information Bulletin* [¶218-125 Vol 21, No 8](#), October/November 2009, Pt II at 95–96):

- # calculating the business's liability to surrender units under the ETS which is attributable to the income year, in accordance with the methodology prescribed under the CCRA
- # to the extent that the business has purchased and still holds any emissions units at year-end, the cost of those units (limited to the income year liability), and
- # to the extent the business holds fewer emissions units than its liability owed at the end of the income year, that shortfall multiplied by the market value of a New Zealand unit at the end of the income year.

Interpretation statement [IS 25/24](#), "Income tax and GST – industries other than forestry registered in the Emissions Trading Scheme" sets out the income tax treatment of emission liabilities and emissions units in all other industries except forestry. See [32] - [43] of [IS 25/24](#) for discussion and an example for determining the emissions liability deduction.

"Free" emissions units (those issued by Government without payment) are not netted off in the above calculation. They are brought in as income separately ([¶15-228](#)).

An exception to the above relates to the deductibility of fishing quota emissions units. A fishing quota emissions unit is defined as an emissions unit transferred under s 74 of the CCRA to an owner of individual transferable quota and held continuously by the person since its issue.

The application of the ETS to liquid fossil fuels resulted in an increase to the cost of diesel. This is one of the major costs to the fishing sector. The CCRA provides for the allocation of emissions units to compensate owners of fishing businesses for this increase. Consequentially fishing quota emissions units that are held continuously by the person and then surrendered are treated as having been disposed of at market value and reacquired immediately before surrender (s [DB 61](#)). Therefore, any gain on deemed disposal is realised, for tax purposes, at the time of surrender. This only applies if the person does not hold the units on revenue account.

Law: IT07 ss [DB 60](#), [DB 60B](#), [DB 61](#)

Last reviewed on 31 December 2025

Deductibility of employee remuneration [¶10-292]

[¶10-292]

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Payments of employee remuneration can be expected to be allowed as a deduction under the general permission. The expenditure is likely to have the character of a working expense that promotes the derivation of the employer's assessable income.

The capital limitation in some cases will override the general permission to prevent allowance of a deduction for payment of employee remuneration. The capital limitation was applied to the wages paid to electricians and engineers by a newspaper publisher to install and wire up a new unit to the taxpayer's printing press. The expenses were directed principally to extending the taxpayer's business organisation rather than the carrying on of the business. See *Christchurch Press Co Ltd v C of IR* (1993) 15 NZTC 10,206.

Goodman Fielder Wattie Ltd v FC of T 91 ATC 4438 concerned a business conducting research into medical products for possible commercial development. The Court rejected the Commissioner's contention that the cost of developing a new product for manufacture and sale was of a capital nature. The nature of the taxpayer's activities required ongoing research into product development. That resulted in recurrent expenditure that was part of the regular cost of trading operations.

Redundancy payments made upon the closure of a business are allowed as a deduction. The possibility of having to pay redundancy is a potential obligation assumed to obtain the benefit of the employees' services. See *C of IR (Hong Kong) v Cosmotron Manufacturing Co Ltd* [1997] BTC 465.

The purchaser of a business who assumes the obligation to meet the leave accruals of the employees of the vendor who became employees of the purchaser assumes an obligation of a capital nature. See *C of IR v New Zealand Forest Research Institute Ltd* (2000) 19 NZTC 15,689 (PC). This kind of situation is addressed by specific provisions (see below).

Fringe benefits

The costs incurred in providing a fringe benefit can be expected to be allowed as a deduction, subject to application of the capital limitation. For example, the cost of book tokens given as a further reward to an employee may be allowed as a deduction, but the cost of purchase of an employee motor vehicle would be capital expenditure subject to a depreciation deduction.

The timing of the deduction for a payment of fringe benefit tax is addressed in s EF 1. The deduction is allowed in the income year in which the relevant fringe benefit is granted, regardless of whether the tax is payable in that income year. For example, the tax payable in relation to a fringe benefit provided in the twelfth month of the income year is allowed as a deduction in that income year, even though payment of tax to the Commissioner would not be due until the following income year. See also ¶21-110.

Employee benefit funds

An employer is allowed a deduction under s DC 6 for an amount paid to, or set aside as, a fund to provide individual personal benefits to employees, provided the fund is not a superannuation scheme and the rights of employees to receive benefits are fully secured. This provision supplements the general permission and overrides the capital limitation.

An employer may be allowed a deduction for contributions made to the trustees of a fund established to acquire the employer's shares. The contributions could be expected to foster staff productivity by promoting morale. See *Heather (I of T) v P-E Consulting Group Ltd* (1972) 48 TC 293. In *E Bott Ltd v Price (HMIT)* [1987] BTC 49, the court found that an employee share purchase scheme would be designed to benefit employees of the business.

A deduction may be allowed for a lump sum paid to establish a trust fund from which future bonuses would be paid to employees. The fund could be regarded as one designed to secure the trust and confidence of employees. See *Pridecraft Pty Ltd v FC of T* [2005 ATC 4001](#) (although note that other features concerning establishment of the fund led the court in that case to conclude that payment of the \$15 million to establish the fund was a tax avoidance scheme).

Superannuation contributions

An employer is allowed a deduction under s [DC 7](#) for employer superannuation contributions to a superannuation scheme for employees. This section overrides the capital limitation but the general permission must still be satisfied.

The deduction is allowed in the income year in which the contribution is made to the scheme. However, if the contribution is made within 63 days after the end of the income year, the employer may choose to allocate the deduction to the income year:

- # for which the contribution was required by the superannuation scheme to be made, or
- # for which the amount of the contribution was calculated taking into account the earnings paid to employees who were members of the scheme during that year.

The election must be made before the employer files the tax return for the income year or, if agreed by the Commissioner, within a longer time.

Under s [EF 2](#), an amount of employer's superannuation contribution tax is allowed as a deduction only in the income year of payment of the contribution attracting the tax, regardless of whether the tax is due and payable in that year.

Leave accruals at balance date

The deduction available for outgoings on employment income may be allocated under s [EA 4](#) to an income year different from the year in which it was incurred. More specific provisions apply to the leave accruals accumulated upon the sale of a business.

At balance date, an employer may have incurred a liability to pay employee remuneration, but not be required to actually pay it. This situation most commonly occurs in relation to the obligation to pay various kinds of leave. For example, in relation to annual leave, employees are entitled to payments for leave as and when they are employed, even though the leave may not actually be taken, and the payment for leave made, until a later income year. The liability to pay the leave is incurred when the employee becomes entitled to payment and not when payment is made. See *King Country Electric Power Board v C of IR* [\(1995\) 17 NZTC 12,122](#).

An employer's liability to pay long service leave is incurred when it is clear that the employee will receive payment for the leave rather than when the leave is taken. The employer in *The Colonial Mutual Life Assurance Society Ltd (Life Branch) v C of IR* [\(1994\) 16 NZTC 11,341](#) was held to have incurred its liability to pay long service leave when an employee reached 15 years of service. From that point, the payment would always be made irrespective of termination for whatever reason or the employee's death. The Commissioner accepts this decision, although adding the qualification that the liability to pay long service leave is not incurred while the leave is simply accruing. That is because the employee has no right to demand payment. See *Tax Information Bulletin* [¶86-101 Vol 8, No 6](#), October 1996 at 5.

The provisions on leave accruals distinguish between amounts owing to shareholder-employees and to other employees. A shareholder-employee for these purposes is a shareholder of a close company who does not receive a regular salary or wages as an employee or who receives income that may later be allocated to them as an employee.

For non-shareholder-employees, s [EA 4](#) applies when an employer is allowed a deduction in an income year for an amount of expenditure on employment income, but the employer has not paid that amount by 63 days

after the end of the income year. In that event, unless the employer chooses (see below), the unpaid amount is:

- # income of the employer for that income year, and
- # allowed as a deduction under s [DB 51](#) in the following income year.

For amounts payable to a shareholder-employee, the 63-day grace period for actual payment is extended to the last day the employer could file a return of income for the income year if the time for filing were extended to its maximum under s [37\(5\)](#) of the TAA.

The effect of this regime is that:

- # all employee remuneration obligations that the employer has incurred during the income year are allowed as a deduction for that income year
- # included in the employer's income for that income year is all remuneration obligations that have not been paid within 63 days of balance date (or the following 31 March if the obligation is owed to a shareholder-employee).

From 1 April 2017, the deduction for payments made within 63 days of the income year is optional for taxpayers. For those taxpayers that do not wish to undertake the exercise of determining the date of payments, it is no longer required and they may choose to claim a deduction for expenditure on employment income paid within the income year in their return of income.

Retrospective adjustment to the salary of a shareholder-employee

Standard practice statement, [SPS 18/01](#), "Retrospective adjustments to salaries paid to shareholder-employee" (replacing the earlier [SPS 05/05](#) from 1 April 2018) sets out the criteria for considering whether the circumstances are appropriate for the Commissioner to agree to retrospectively alter an amount of shareholder's salary, taking into account the process used in exercising the s [113](#) discretion in the TAA. The statement considers requests to either increase or decrease a shareholder's salary.

The statement states that declaring an amount of shareholder's salary is a matter of contract between a company and its shareholder. Where a shareholder and company agree that an error has occurred in quantifying the amount of salary to be declared for a year, that error can be corrected without the original contract being voided and a new contract entered into. Where the shareholder and company are able to provide evidence to the Commissioner's satisfaction that an error has been made in the quantum of shareholder's salary originally declared, the Commissioner will correct that error. It is irrelevant whether the new salary is greater or less than the original salary that was declared.

The Commissioner will not consider using the s [113](#) discretion to amend assessments unless all parties to that contract agree that an error has been made. Where taxpayers request that a shareholder's salary be amended and they are unable to evidence that the original salary was declared in error, any amendment to that original salary can only have prospective effect.

The statement contains examples of both when the Commissioner generally will agree to adjust an amount of shareholder's salary and when the Commissioner will not.

Restrictive covenant or exit inducement

A deduction is allowed under s [DC 9](#) for expenditure on obtaining a restrictive covenant or as an exit inducement that is income of the recipient. Allowance of the deduction is subject to the qualification that no deduction becomes available if the recipient performs services of a capital nature for the payer.

Disposal of a business and leave accruals

The provisions of s [DC 10](#) address the deduction to be allowed for leave accruals when a business or a part of a business is disposed of. The rules distinguish between disposal to an associated person and disposal to a person who is not associated.

If the disposal transaction is not between associated persons, the vendor is allowed a deduction for the leave accruals at the time of the disposal. This is provided:

- # employees of the vendor become employees of the purchaser, and
- # the parties agree in writing under the disposal arrangements that the purchaser is liable to pay the leave obligations, and the price payable for the business reflects that obligation.

To ensure allowance of the deduction, s [EA 4\(4\)](#) deems the vendor to have paid the leave accrual at the time of disposal of the business.

Where the parties are associated persons, the purchaser is allowed the deduction. The vendor is not allowed the deduction.

Section [DC 10\(4\)](#) ensures that a purchaser is allowed a deduction for satisfying transferred employment obligations to the extent that the amount paid to satisfy the obligations exceeds the provision made by the seller for that amount.

In the administration of the leave accruals, the purchaser is authorised to treat the relevant employees individually or as a group.

Seconded employees

The position of the leave accruals of an employee seconded to employment with an associated person is addressed by s [DC 11](#). The new employer is allowed a deduction for any payment of employment income that otherwise would have been allowed to the former employer. These provisions could be expected most commonly to have application when an employee is transferred between group companies.

Retiring allowances

A deduction is allowed under s [DC 1](#) for a lump sum paid by a business as a bonus, gratuity or retiring allowance upon an employee's retirement. The deduction allowed extends to a lump sum paid when employment ends because of redundancy, loss of office or similar circumstances. The notion of redundancy extends to an employee who is unable to be re-employed in seasonal work in a redundancy kind of situation. The deduction is allocated to the year in which the payment is made.

Pensions

A deduction is allowed under s [DC 2](#) for a reasonable amount paid as a pension by a business to a former employee or their surviving spouse, civil union partner or de facto partner. If the business is a close company, there are additional requirements to the effect that the former employment must have been genuine and that a deed specifies that entitlements are for a fixed period, life or "remarriage" in the case of the entitlements of a spouse, civil union partner or de facto partner.

Example:

David is a shareholder-employee in a close company. David has worked full time in the company business for the last 15 years, and is intending to retire in 2 years' time with the company's approval. The company pays David a regular salary and deducts PAYE (pay as you earn). The company agrees to pay David a pension of 50% of his current salary, which is \$100,000. This pension policy is also available to other employees. A deed is drawn up and is properly executed.

Factors which indicate that David is a bona fide employee are that he is working full time in the company business and is paid a regular salary. It would need to be shown that the level of his salary is reasonably reflective of his position and responsibilities. An indicator that the pension amount is reasonable is that it is also available to other employees who are not associated with the company.

If David is a bona fide employee of the company and the level of expenditure is assumed to be reasonable, given that the payments will be made as of right under a deed, the company will be entitled to deduct any pension payments made to him.

Example from *Tax Information Bulletin* ¶72-112 Vol 7, No 2, August 1995 at 17.

Law: IT07 ss [CH 3](#), [DB 51](#), [DC 1](#), [DC 2](#), [DC 6](#), [DC 7](#), [DC 9–DC 11](#), [EA 4](#), [EF 1](#), [EF 2](#), [EJ 21](#)

Last reviewed on 31 December 2025

Deductibility of entertainment expenses [¶10-402]

[¶10-402]

[Click to open document in a browser](#)

The deduction allowed for the following 5 categories of expenditure on certain entertainment is 50% of the amount that would otherwise be allowed as a deduction, subject to several exclusions:

- # a corporate box, marquee or similar exclusive area, permanent or temporary, at a sporting, cultural or other recreational event occurring off the business premises (including tickets and rights of entry)
- # holiday accommodation, including incidental food and drink, with the exception of accommodation costs which are merely incidental to business activities or employment duties
- # pleasure craft
- # food and drink provided off business premises, or
- # food and drink, except light refreshments such as a morning tea which are provided on premises in an area restricted to senior employees or at a party or similar social function.

It is clarified that entertainment expenditure extends to costs on hiring crockery, glassware, utensils, waiting staff, music or other entertainment.

The Commissioner has also clarified, in an operational position published on 15 September 2016, that the deduction for expenditure on food and drink provided as gifts to customers, clients or suppliers, etc, off business premises is limited to 50% (see the last example below).

Exclusions

The following categories of expenditure are not classified as entertainment subject to the 50% deductibility limitation:

- # food or drink consumed in the course of travel for work, unless the travel is mainly for entertainment or the food and drink is consumed at a client or social function
- # light refreshments at a conference or educational course and food and drink at a conference or educational course that runs for at least 4 hours (exclusive of meal times), unless the event is mainly for entertainment
- # an amount that is exempt income of an employee under ss [CW 17B](#), [CW 17C](#) and [CW 17CB](#) (which relate to relocation expenses and expenditure on meals) and a light meal consumed as part of employment duties in an area reserved for senior employees
- # entertainment expenditure incurred in the course of a public promotion of the products of the business, provided the entertainment is enjoyed equally with the public
- # entertainment that comprises the business of the taxpayer (such as licensed premises: see below)
- # entertainment for charitable purposes
- # entertainment consumed outside of New Zealand, or
- # entertainment that is income of the recipient or that attracts a liability for FBT (a liability arises if the employee may choose when to use the entertainment benefit or it is not received in the course of employment duties).

Example:

A person travels from Wellington to Auckland on business and takes a client out to dinner. Meal costs are only 50% deductible. See *Tax Information Bulletin* [¶612-116 Vol 6, No 12](#), May 1995 at 16.

Example:

A manufacturer promoting a new model of video camera holds a demonstration for home appliance dealers. The cost of providing drinks and nibbles at the display are fully deductible. See *Tax Information Bulletin* [¶612-116 Vol 6, No 12](#), May 1995 at 17.

Example:

A soccer club arranges a sponsorship deal with a tavern. The tavern pays for the team's uniforms, bearing the tavern's name, and provides alcoholic beverages for the team to enjoy after the game. The cost of providing the uniforms is fully deductible to the tavern, because it is essentially an advertising expense; but the cost of providing the beverages is only 50% deductible, because it is provided off the premises and cannot be enjoyed by members of the public. See *Tax Information Bulletin* ¶612-116 Vol 6, No 12, May 1995 at 17.

Example:

An accountant pays to attend a monthly networking breakfast function with other accountants in his local area where they discuss issues and pass on and accept referrals for business. The cost of the breakfast is only 50% deductible.

Example:

Bob is a real estate agent. Each time he arranges the sale of a house, Bob delivers a bottle of champagne to the owner. He also sends a gift basket by courier to the purchaser. The gift basket contains a bottle of wine, some cheese and various household items such as tea towels and soaps. Bob will only be able to deduct 50% of the cost of the bottle of champagne. This is because he is providing entertainment in the form of drink and doing so off his business premises. For the gift basket, Bob can deduct the full cost of the tea towels and soap, because an appropriate apportionment should be made for items that are not food and drink. However, he can only deduct 50% of the cost of the wine and cheese (or, if the cost is not separately identifiable, an amount appropriately apportioned as the cost of the wine and cheese). See Commissioner's Operational Position.

Licensed premises operators and entertainment

Expenditure incurred by licensees on special offers of food or beverages made available to members of the general public, or an allowance paid to an employee to cover the costs of providing the special offers, will not be entertainment expenditure deductible as to only 50%. See public binding ruling [BR Pub 04/02](#). The types of special offer covered by the ruling include happy hours, free drinks or free food on certain days or at certain times, "two meals for the price of one" deals and "toss the boss" competitions. Any allowance paid to an employee such as a bar manager is also covered by the ruling.

Goods and services tax (GST)

The limitation rule for expenditure on entertainment may also have GST consequences. The component of the expenditure which is not allowed as a deduction is treated as a taxable supply attracting GST ([¶132-023](#)).

Mixed-use assets

The limitation rule for expenditure on entertainment does not apply to expenditure incurred in relation to the private use of an asset under the mixed-use asset rules in subpt [DG](#). Those rules establish a basis for apportioning deductible expenditure relating to land and certain boats and aircraft that are used both privately and to earn income ([¶110-035](#)).

Law: IT07 ss [DD 1–DD 11](#)

Last reviewed on 31 December 2025

Deductibility of payments to environmental restoration accounts [¶10-412]

[¶10-412]

[Click to open document in a browser](#)

A deduction is allowed for payments made in relation to an environmental restoration account maintained with the Commissioner. The deduction extends to a transfer received from another person's account as being a payment to the recipient's account.

A refund from the account may be obtained when the restoration expenditure is actually incurred. Modest interest on the account balance is paid in the meantime.

Requirements for environmental restoration account

A taxpayer is able to have an environmental restoration account with the Commissioner where all of the following apply:

- # the taxpayer carries on business in New Zealand
- # the taxpayer expects to subsequently incur expenditure on a capital asset, or a landfill elected to be held on revenue account, that comprises:
 - # monitoring discharges of contaminants or the making of noise
 - # monitoring the detrimental effect on the environment of discharges or on people or animals from the making of noise
 - # post-discharge clean-up costs
 - # post-discharge costs to remove an improvement on the land
 - # post-discharge installation of impermeable surfaces on land
 - # post-discharge replanting costs, and
 - # disposal of stored contaminants, and
- # the costs are provided for in the taxpayer's financial statements without qualification by the auditors of the business.

Exclusions

Some expected costs are specifically excluded from supporting a payment to an environmental restoration account. No payment to the account may be made for costs on:

- # land reclamation
- # dredging, unless the dredging is to remedy the adverse effects of contamination, and
- # acquisition of land.

Amount of deduction

The deduction allowed for a payment to the Commissioner of more than \$1,000 for credit to the account is the lesser of the payment made or the person's maximum payment divided by the person's tax rate (or possible maximum tax rate if the person is an individual). The person's maximum payment is the lesser of:

- # the difference between the maximum account balance and the year-end account balance, or
- # the amount, if any, given for the years before the 2010–11 income year, following a payment for the 2005–06 income year by application of the formula:

level increase + (year × 0.2 × initial level) # contents

where:

level increase is the year's maximum account balance that is in excess of the maximum account balance for the 2005–06 income year

year is one for the 2005–06 income year increasing by one for each subsequent income year up to a maximum of 5

initial level is the maximum account balance for the 2005–06 income year, and

contents is the year-end balance of the account.

The person's maximum account balance is the product of the formula:

$$\text{provision} \times \text{tax rate}$$

where:

provision is the provision in the financial statements for future eligible expenditure, and

tax rate is the person's tax rate (or possible highest tax rate if the person is an individual).

Once calculated, the deduction is allowed for the year of payment to the Commissioner. A payment is still for an income year even though it is not paid until 6 months after the end of the income year (or even later if the Commissioner grants an extension of time). In the event that the payment exceeds the person's maximum payment for the income year, the Commissioner is required to refund the excess without interest. The refund is excluded income.

Interest at a rate of 3% per annum is payable in relation to a payment to an environmental restoration account.

Refund from account

An application may be made to the Commissioner for a refund from the account when expenditure eligible for the account has been incurred, or the amount of the refund sought is the excess over the maximum account balance for the income year. The amount of the refund is calculated by dividing the refund by the person's tax rate (or the highest rate if the person is an individual). The amount of the refund cannot exceed the balance of the account at the time of the refund. The refund is assessable income under s [CB 28](#) but will be balanced by a deduction for the restoration expenditure incurred which supports the refund.

From 23 July 2020, the refund of an amount in an environmental restoration account must be made by direct credit to a nominated bank account, unless the Commissioner is satisfied that paying by direct credit would result in undue hardship to the person or is not practicable.

Transfer from account

A transfer may be made to another person of the balance in an environmental restoration account. This is where there has been an assumption by that other person of the obligations that supported payments to the account in the first instance. Assessable income arises under s [CB 28](#) for the transferor. The recipient is allowed a deduction for the transfer as if it had been a payment to an environmental restoration account.

Upon death, bankruptcy or liquidation, the balance of the account is transferred to the environmental restoration account of the person to whom the obligations have been transferred. Any such transfer is treated as being a payment by that person to their environmental restoration account.

If an amalgamation occurs, the environmental restoration account of the amalgamating company is transferred to the amalgamated company. Any prior payment, transfer or refund is treated as having been made by the amalgamated company.

A member of a consolidated group may have an environmental restoration account through reliance on the audited financial statements for the group.

Law: IT07 ss [CB 28](#), [CX 52](#), [DQ 4](#), [EK 1–EK 23](#); TAA s [184A](#)

Last reviewed on 31 December 2025

Deductibility of feasibility expenditure [¶10-440]

[¶10-440]

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Following several rounds of consultation from 2017 to 2019, legislation containing new provisions dealing with feasibility expenditure was enacted in March 2021. The provisions codify when businesses can deduct expenditure related to completing, creating or acquiring unsuccessful and abandoned assets or business models. In addition, an immediate deduction has been introduced for expenditure below a specific threshold. Together, the changes are intended to set out the circumstances when expenditure related to business innovation and asset development can be deducted for property that, if completed, created or acquired, would be depreciable property or revenue account property.

Section [DB 66](#) allows taxpayers to deduct expenditure incurred for the 2020–21 or a later income year in making progress towards completing, creating or acquiring property if:

- # that property (if completed, created or acquired) would be :
 - # depreciable property, including depreciable intangible property, for which the depreciation rate is more than 0%, or
 - # revenue account property
 - # further progress on the property is abandoned with the result that the property is not completed, created or acquired, and
 - # no deduction in relation to the expenditure is allowed under any other provision in the Act.

The section does not apply if the expenditure is in relation to any of the following property:

- # land, unless it is fixed life intangible property
- # an excepted financial arrangement
- # intangible property or intellectual property, unless it is fixed life intangible property.

Progress will, generally, be considered to be abandoned when a decision has been made that no further progress will be undertaken to complete, create or acquire the property. For small businesses, this may be reflected in no further money being applied. For larger projects, it is likely a taxpayer would document a decision not to proceed with the property.

The capital limitation is overridden. However, the expenditure must satisfy the general permission, ie the taxpayer must have an existing income-earning process to which the expenditure must have sufficient nexus. In situations where the expenditure is incurred before any decision is made to enter into the business or income-earning activity, the expenditure will have been incurred too soon and will not be deductible. Similarly, where a business already exists, feasibility expenditure incurred in relation to a new business will still need to have sufficient nexus to the existing business.

The correct time for considering whether the expenditure satisfies the general permission is when the expenditure is incurred, not when the relevant property is abandoned.

The amount of the available deduction will be equal to the expenditure the taxpayer has incurred in relation to the abandoned property and that is not otherwise deductible. The intention is to allow a broad concept of what expenditure can be deducted. This includes direct costs that would ordinarily be considered to be the “cost” of depreciable or revenue account property, and indirect expenses, such as administration or general overhead costs.

Expenditure is deductible only to the extent that it is connected with making progress towards depreciable or revenue account property. Where an amount of expenditure relates to a mixture of, for example, depreciable and non-depreciable property, then only a portion of the expenditure will qualify for a deduction.

A particular approach or methodology for how expenditure needs to be apportioned in these circumstances is not specified. This provides some flexibility to taxpayers in how they approach the apportionment exercise. Any fair and reasonable method of apportionment may be used.

Deductions for expenditure meeting the above requirements will be spread evenly over 5 income years starting with the income year in which further progress is abandoned. However, there is no entitlement to any remaining portion of the deduction if the abandoned property is complete, created or acquired within the 5-year spreading period (see below).

Example:

Company B, a water management company, is working on ways to meet demand in times of low-aquifer inflows and drought, to prevent water restrictions. It is exploring the viability of desalination. The company carries out a number of studies on the practicality of building and operating a desalination plant, and researches how water from the plant could be connected to the wider network. Work on the project is abandoned after an assessment determines it is uneconomic, in terms of energy needs and water output, for the plant to meet forecast demand. The project is shelved pending future advances in desalination nanotechnology.

Tax impact

Under s [DB 66](#), the collective desalination study expenditure will be deductible as the expenditure was incurred in relation to making progress towards creating property that, if it were completed, would have been depreciable property (water treatment plant and reservoir). The expenditure will be deductible in equal parts over five years.

Example taken from Inland Revenue, Special Report, Taxation (Annual Rates for 2020–21, Feasibility Expenditure, and Remedial Matters) Act 2021, 28 April 2021, at 22.

Example:

The finance team at Company E is considering the expenditure debited in its work in progress account after balance date for the 2020–21 income year. The expenditure includes a study directed at improving the energy efficiency of the company's plant. The finance team decides not to make any further progress on the energy efficiency work due to cash flow constraints. The abandoned work related to a potential refit of the company's premises for lighting and heating. Had the work been completed, the completed property would have been depreciable property (fitout). No further amounts had been spent on the project after balance date and the decision is made in the 2021–22 income year to abandon the project.

Tax impact

The expenditure would be deductible under s [DB 66](#) given its relationship with depreciable property. A deduction of one-fifth of the expenditure can be made in the 2022 income tax return, being when a decision was made to make no further progress on the property, with the remaining deductions spread evenly over the next four years.

Example taken from Inland Revenue, Special Report, Taxation (Annual Rates for 2020–21, Feasibility Expenditure, and Remedial Matters) Act 2021, 28 April 2021, at 23.

Example:

Company G, a manufacturer of various cleaning products, is seeking to acquire the intellectual property for an outdoor cleaning product produced by a competitor that is going out of business, along with any remaining stock of that product. After engaging a law firm to provide legal advice on the transaction, Company G makes an offer of \$10 million for the intellectual property, including brand rights and the formulation or "recipe" for the product, and an additional \$5 million for the remaining trading stock. However, Company G's offer is rejected as the manufacturer of the product receives a higher offer from a different competitor. Company G paid \$33,000 for the legal fees.

Tax impact

A deduction for the legal fees is not available under s [DB 62](#) (deduction for legal expenses) because the total amount of the expenditure on legal fees in the income year exceeds \$10,000. Company G considers that a fair and reasonable allocation approach would result in a deduction of \$11,000 (33% of the \$33,000 it paid on legal fees related to the transaction) under s [DB 66](#). This apportionment method is fair and reasonable in the circumstances because a third of the value of the transaction, had it been successful, would have been in relation to revenue account property.

A deduction is not allowed under s [DB 66](#) to the extent that the expenditure relates to acquiring property that is not depreciable or revenue account property, such as intellectual property that is not fixed life intangible property.

An alternative apportionment methodology could be chosen by Company G if it was also fair and reasonable.

Example taken from Inland Revenue, Special Report, Taxation (Annual Rates for 2020–21, Feasibility Expenditure, and Remedial Matters) Act 2021, 28 April 2021, at 25.

Immediate deduction

Section s [DB 67](#) allows an immediate deduction in the 2020–21 or later income year for expenditure incurred in making progress towards completing, creating or acquiring property if the total expenditure is \$10,000 or less for the income year and:

- # the expenditure relates to depreciable property for which the depreciation rate is more than 0% or revenue account property, and
- # no deduction for the expenditure is allowed under any other provision in the Act.

There is no requirement under this provision for the property to be abandoned. Like the requirements for s [DB 66](#), the expenditure under s [DB 67](#) must satisfy the general permission and not be deductible elsewhere.

Section [DB 67](#) is not a replacement for tax depreciation for low-value assets. A person who acquires an item of depreciable property must apply the depreciation rules from the year the property is actually acquired. A deduction for the cost of the property is not available under s [DB 67](#) in this situation. If the person had incurred expenditure in merely looking into purchasing the property, or started to make or construct the property but did not complete it within the income year so that it could then be depreciated, then a deduction for the expenditure would be available under s [DB 67](#). In this situation, if the property is completed (resulting in an item of depreciable property), then any expenditure relating to the property that has previously been deducted under s [DB 67](#) is excluded from the cost of the completed property for tax depreciation purposes.

Example:

Retailer F specialises in selling cake decoration supplies, cupcakes and other baked goods, and is considering adding takeaway coffee and other hot drinks. It incurs expenditure in doing a cost-benefit analysis and a survey of foot traffic and customer opinion. During the study a coffee shop opens two doors down and the project finishes. About \$1,700 was committed to the analysis.

Tax impact

Under Inland Revenue's Interpretation statement [17/01](#), the retailer would not be able to deduct the expenditure as it is not recurrent. Under s [DB 67](#), as the expenditure is connected with selling revenue account property (trading stock) and a coffee machine (depreciable) and other consumables, it would be deductible. As the expenditure is under \$10,000 it would be immediately deductible.

Example taken from *Tax Information Bulletin* Vol 33, No 6, July 2021 at 8.

Clawback of deductions

For abandoned property that is later completed, created or acquired, s [CH 13](#) claws back the deductions allowed under s [DB 66](#) by treating the amount deducted as income in the income year the property is completed, created or acquired. This also applies where the taxpayer subsequently acquires property that is similar to the abandoned property. The completed property is then subject to the tax depreciation rules or deductible under s [DB 23](#). Section [CH 13](#) does not apply to expenditure that has been immediately deducted under the \$10,000 de minimis rule in s [DB 67](#).

To minimise compliance costs and provide greater certainty to taxpayers, a 7-year time limit applies to the clawback. The 7-year time limit aligns with the general business record retention requirements in the TAA, starting in the year immediately following the income year for which the fifth and final deduction was taken under the provisions. This means the deductions are not clawed back if abandoned property is subsequently created or completed more than 7 years after the income year to which the last deduction relates, or if the property or similar property is acquired more than 7 years after that income year.

Example:

Company K, an electricity generator, regularly undertakes studies to determine the practicability of different power-generating options. Following the initial study process many of the options will be shelved. However, some of these options may be reconsidered in the future and result in the creation of electricity generation assets.

One of these studies involves the creation of a wind farm in Gusty Hills, with work on the project abandoned in Year 1. Prior to abandonment, \$10 million was expended on various fees. The \$10 million incurred by Company K is deductible over a 5-year period, starting in the year the project is abandoned. This results in equal deductions to Company K of \$2 million in Years 1 to 5.

In Year 7 Company K decides to reinstate the wind farm project in Gusty Hills, with the property being completed in Year 9 using the information from the previous studies.

Tax impact

The clawback provision is triggered in the year that the relevant property is subsequently created, acquired or completed, being Year 9. In this case, the property was completed within seven years from the final year of deduction (that is, Year 5) under s [DB 66](#). This means that Company K is required to return clawback income of \$10 million in its Year 9 tax return. However, some of this expenditure may be deductible if it forms part of the cost base of depreciable property.

Example:

A decade after Company B's decision not to proceed with a desalination plant [see the first example above], population growth in the region and the need for greater water infrastructure has led Company B to restart its earlier work on nanotechnology. Development of the plant and reservoir begins and seven years later it is operational and connected to the wider water supply network.

Tax impact

The earlier deduction taken for the previous study is not clawed back as the property is completed more than seven years after the end of the income year in which the final deduction was taken under s [DB 66](#).

Examples taken from *Tax Information Bulletin* Vol 33, No 6, July 2021 at 11.

In many situations a taxpayer may simultaneously abandon work on multiple items that, if completed, acquired or created, would have been depreciable or revenue account property. This may be due to the abandonment of all or part of a project being undertaken by the taxpayer. To determine whether the clawback applies, each separate piece of property that is subsequently created, completed or acquired will need to be analysed. Expenditure could relate to multiple potential items of depreciable or revenue account property, of which only some is subsequently created, acquired or completed. In this case, an apportionment of this expenditure on a fair and reasonable basis would be necessary for the purpose of applying the clawback.

Example:

Company L is constructing a hotel on the Auckland waterfront as part of a larger development that includes residential apartments and retail space. Progress on the project stopped and was put on hold indefinitely in 2021 because overseas tourists stopped coming into the country. However, work on the hotel resumes in 2023 (but not the rest of the development) as international travel picks up again, with completion of the hotel in 2025. The design of the hotel is modified from its original design and includes a gym and larger swimming pool. However, the hotel is located on the same site and serves the same purpose (hotel accommodation) as was originally planned. The previously abandoned property was simply finished off (with some adjustments) when the project restarted.

Tax impact

Although there are some differences between the completed hotel and the original construction plans for it, the property is based on the original design, performs the same function and is in the same location and as such is considered to be the completion of the abandoned property. Section [CH 13](#) will apply to claw back any expenditure that was deducted under s [DB 66](#) in relation to the hotel after it was abandoned. However, it will not be necessary to claw back any expenditure to the extent it relates to part of the project that has not been completed (the residential apartments and retail space).

Examples taken from *Tax Information Bulletin* Vol 33, No 6, July 2021 at 12.

The clawback provision also applies when similar property is acquired. The term "similar property" is not defined in the legislation. Inland Revenue has stated that acquired property is likely to be similar to abandoned property where it has a resemblance in appearance, character, function, purpose or quantity to the property that was abandoned. In determining the appearance, character, function, purpose or quantity of the property, regard may be had to any project and design plans relating to the abandoned property, which may include details of the assets required to be acquired for the project and their respective specifications.

Example:

In order to expand its vegetable handling operations, Company M seeks to develop a new facility that will include an additional potato-washing facility. After considering a number of options, Company M decides on a preferred option of a flatbed potato washer and incurs engineering and design costs for integrating the new machine into the existing processes and facilities. Due to a new form of fungal disease that reduces potato crops, Company M decides to abandon the project and does not acquire the potato-washing plant. Company M claims a deduction under s [DB 66](#) for the engineering and design costs.

Two years later, new fungus-resistant potato varieties have been planted, resulting in increased crop yields. As a result, Company M decides to acquire a new potato-washing plant. However, instead of acquiring a flatbed washer, it acquires a barrel washer, which is able to wash more potatoes and clean a wider range of vegetables. The original engineering and design work relating to the flatbed washer cannot be used for the barrel washer due to differing specifications.

Tax impact

The barrel washer and flatbed washer have similar functions in that they both wash potatoes. However, the specifications between the two different washers are significantly different. This is reflected in the fact the barrel washer can clean a larger quantity of potatoes and can also clean other types of vegetables, and that the engineering and design work for the flatbed washer is not able to be directly applied to the acquired barrel washer. Accordingly, the barrel washer is not similar to the flatbed washer and the clawback does not apply to the engineering and design expenditure deducted under s [DB 66](#).

Examples taken from *Tax Information Bulletin* Vol 33, No 6, July 2021 at 12.

In some situations, abandoned property may be reinstated and completed before the 5-year spreading period for deductions under s [DB 66](#) has ended. The clawback will therefore be triggered before all the deductions available have been claimed. In this situation, all the previously claimed deductions are clawed back as taxable income, and the remaining deductions under s [DB 66](#) are no longer available once the relevant property is completed, created or acquired. The clawed back expenditure may be deductible under the depreciation or revenue account property rules, subject to meeting the relevant deductibility criteria.

Example:

Company N is undertaking a capital project that, if completed, will result in depreciable property. Work on the project is abandoned in Year 1 but is subsequently resumed and then completed in Year 3.

The clawback in s [CH 13](#) applies to the expenditure deducted in Years 1 to 2, meaning that Company N is required to return the deduction portions for Years 1 to 2 as taxable income in Year 3. Company N has no entitlement to the remaining deduction portions for Years 3 to 5.

Example taken from Inland Revenue, Special Report, Taxation (Annual Rates for 2020–21, Feasibility Expenditure, and Remedial Matters) Act 2021, 28 April 2021, at 32.

Interpretation statement [IS 17/01](#), “Income tax — deductibility of feasibility expenditure” which updates and replaces [IS 08/02](#). The main changes are that a discussion of the decisions has been included and the analysis of that part of the statement dealing with the capital limitation has been updated to reflect the Supreme Court decision. In particular, references to “commitment” as a relevant factor have been removed and replaced with consideration of whether there has been material advancement of (or tangible progress on) a specific capital project (or asset or other enduring benefit). The scope of the statement states that it applies where, having regard to the nature of a taxpayer’s business, feasibility expenditure of the type in question is incurred as an ordinary incident of business and is recurrent in nature. Note that it does not consider the operation of specific deduction provisions that might give a deduction where a deduction would otherwise not be available. The Commissioner acknowledges that some expenditure on the early stages of feasibility work may be deductible. Based on the Supreme Court’s decision in *Trustpower*, the Commissioner’s view is that feasibility expenditure that is incurred on a recurrent basis as a normal incident of the taxpayer’s business is likely to be deductible in two related situations:

First, where it is not directed towards a specific capital project (or the acquisition of a potential capital asset, or other enduring benefit, as applicable). This will usually, but not always, be where initial feasibility work is being undertaken before a specific capital project or projects (or capital asset or assets or enduring benefit or benefits) is identified. It is a question of fact and degree when expenditure will be sufficiently connected to a capital project, asset or other enduring benefit. However, in the Commissioner’s view, the project, asset or benefit need only be identified in general terms; the exact details do not need to be known. However, where expenditure is referable to a specific capital project, asset or benefit, it is still possible that the expenditure may be revenue in nature.

Second, where, even though a specific project (or asset or benefit) has been identified, the expenditure is so preliminary as not to be directed towards materially advancing that specific project

(or capital asset or enduring benefit). This can be contrasted with expenditure that is aimed at making tangible progress on a capital project (or asset or benefit).

Law: IT07 ss [CH 13](#), [DA 1\(1\)](#), [DA 2\(1\)](#), [DB 66](#), [DB 67](#)

Last reviewed on 31 December 2025

Deductibility of fidelity fund levies [¶10-442]

[¶10-442]

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The Chartered Accountants Australia and New Zealand and the New Zealand Law Society impose annual levies on practising members to supplement their respective fidelity funds. These levies are fully deductible for income tax in the income year in which practitioners incur them. This is regardless of whether payment is made in one sum or by instalments over a number of income years. The full GST liability occurs at the earlier time of payment or when the service is invoiced. The timing of the corresponding GST input tax credit depends on the circumstances of the individual practitioner. Those registered on an invoice basis may claim the input tax credit at the earlier of being invoiced or payment. Those registered on a cash or hybrid basis may claim on the actual payments basis. In either case, the practitioner must hold a tax invoice. A practitioner who is below the threshold for GST registration and who has not registered voluntarily may not claim any GST input tax credits. Instead the full GST-inclusive amount of the levy is deductible for income tax purposes. See *Tax Information Bulletin* [¶47-102 Vol 4, No 7](#), March 1993 at 1.

Last reviewed on 31 December 2025

Deductibility of film costs [¶10-446]

[¶10-446]

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Deductibility of cost of acquiring completed film rights

A person is entitled to a deduction under s [DS 1](#) for the cost of acquiring a right in a completed film, whether or not the film is completed at the time the right is acquired. However, no deduction is allowed where:

- # the film right is acquired by a television company and the film right is acquired mainly to enable the film to be broadcast in New Zealand
- # the film is an advertisement
- # the cost is film production expenditure
- # s [DS 2B](#) (deduction for film rights acquired for disposal) applies.

The timing of the deduction is governed by s [EJ 4](#) or [EJ 5](#), depending on whether the film is a feature film. A “feature film” is a 35 mm film that is produced mainly for the cinema and has a duration of not less than 75 minutes.

Costs associated with the acquisition of rights in a feature film are generally deductible over 24 months. The amount of the deduction is the lesser of:

- # an apportioned amount calculated under s [EJ 4\(3\)](#) or the amount of film income derived in the income year, whichever is the greater, or
- # the remaining deduction (if there is a remaining balance that has not been deducted in a previous income year).

Costs associated with the acquisition of rights in a film that is not a feature film are generally deductible in 2 years. At the end of the first income year in which the film right is acquired or completed, whichever is the later, 50% of the costs can be deducted. If the income from the film rights at that time exceeds 50% of the cost, then the deduction can be increased to an amount equal to the income earned, but the deduction cannot exceed the total cost. The balance of the costs are deductible in the following income year.

Deductibility of cost of acquiring film or film rights with intention of disposal

A deduction is allowed under s [DS 2B](#) for film production expenditure, or the cost of acquiring a film right, if the person making the acquisition intends to dispose of the film or film right. The timing of the deduction is governed by s [EA 2](#).

Deductibility of film production costs

A deduction is available under s [DS 2](#) for film production expenditure if:

- # the film is completed, and
- # the person has a film right in the film, before it is completed, at the time it is completed or after it is completed.

The provisions relating to the deductibility of film production expenditure do not apply if:

- # the film is produced mainly for broadcast in New Zealand by a television company
- # the film is intended for showing as an advertisement, or
- # s [DS 2B](#) applies to the expenditure (see below).

The costs associated with such films are deductible under the normal tax rules.

A deduction is available for film production expenditure, irrespective of whether a large budget film grant has been paid.

The timing of the deduction for film production expenditure depends on whether:

- # the film is a New Zealand film and no large budget film grant has been made for it (s [EJ 7](#))
- # the film is not a New Zealand film and no large budget film grant has been made for it (s [EJ 8](#))
- # the film is one for which a large budget film grant has been made and is:
 - # a feature film (s [EJ 4](#))
 - # not a feature film (s [EJ 5](#)).

New Zealand film

A New Zealand film is one which the New Zealand Film Commission certifies as having a significant New Zealand content. The criteria the Film Commission takes into account are as follows:

- # the subject of the film
- # the film's location
- # the nationality and place of residence of:
 - # the author, scriptwriter, composer, producer, director, actors, technicians, editors and other production personnel
 - # the film owners, and
 - # the holders of the copyright for the film
 - # the source of finance
 - # ownership and location of the equipment and technical facilities used to make the film, and
 - # any other relevant matter.

Application is made to the Film Commission for a provisional certificate which certifies that the film proposal is for a New Zealand film. The Film Commission also issues a final certificate upon completion of the film. The Film Commission has power to revoke any of its certificates at any time if it appears that the application contained incorrect information.

Large budget film grants

Films that receive a large budget film grant are not entitled to immediately deduct production expenditure. Instead, the deduction will be taken over a 2-year period. This treatment applies to both large budget screen production grants and post-production digital and visual effects grants. The definition of a large budget film grant covers both grant types and requires that such payments are:

- # made in relation to a film or television production
- # sourced from funds provided by the Ministry of Business, Innovation and Employment, and
- # authorised by the New Zealand Film Commission in relation to a company that is either resident in New Zealand or that has a permanent establishment in New Zealand.

The Commissioner of IR is authorised to disclose film expenditure information to the New Zealand Film Commission to enable the Commission to determine whether a company is entitled to a government screen production payment (s [18H](#) and Sch [7](#) cl [35](#) of the TAA).

Timing of deductibility of production costs

The cost of producing a New Zealand film which has no large budget film grant (government screen production payment) may be deducted in the year the film is completed. This is when the Film Commission has issued a final certificate certifying the film as a New Zealand film.

When the film is not a New Zealand film and no large budget film grant was paid, the costs of production may be deducted equally over the year the film is completed and the following income year (ie 50% of the costs may be deducted in each of those years).

In either case, deferred fees are deductible at the time the fees are paid. They may not be deducted at the time the taxpayer enters into the liability to pay the fees.

The timing of the deductibility of the cost of producing a film for which a large budget film grant has been paid depends on whether the film is a feature film. See above for a discussion of the timing of deductions under ss [EJ 4](#) and [EJ 5](#).

Reimbursement of film production expenditure

Generally, when a taxpayer reimburses another person for film production expenditure, the reimbursement is deductible as if it were expenditure which the taxpayer had incurred (s [DS 2\(2\)\(a\)](#)).

If the taxpayer reimburses the other person for any interest incurred in producing the film, the taxpayer may treat that payment as film production expenditure. The timing of the deduction for the interest reimbursement payment may be determined under either the film production rules or the FA rules (s [DS 2\(2\)\(b\)](#) and *Tax Information Bulletin* ¶155-136 Vol 15, No 5, May 2003 at 75).

When the finance for the film is provided by a limited recourse loan arranged by a promoter, the deduction may be deferred under ss [GB 45](#), [GB 46](#) and [GB 48](#) to the extent the loan is outstanding and the investor continues not to be at real risk of having to repay it ([¶10-061](#)).

Anti-avoidance provisions

The Commissioner has broad anti-avoidance powers in relation to film production expenditure. The Commissioner may exercise these powers where the Commissioner is of the opinion that a party providing goods and services used in the production of a film is not dealing on an arm's length basis with the film investors (s [GB 17](#)). This anti-avoidance provision can potentially apply to all film-related expenditure. The Commissioner may also exercise these powers where the Commissioner considers that there has been an arrangement designed to attract a more favourable operation of s [DS 1](#), [DS 2](#), [EJ 7](#) or [EJ 8](#) than would otherwise be the case (s [GB 18](#)). In both cases, the Commissioner is authorised to overcome the arrangements in question.

The Commissioner may also treat film production expenditure on goods and services as incurred on a purely payments basis if liability for the payment is contingent or the period between the supply of the goods or services and the time of payment is considered excessive (s [GB 19](#)).

Double-dipping of film expenditure prohibited

In 1999, the government identified an opportunity under the films regime for taxpayers to claim 2 deductions in relation to film production costs provided for in s [EO 4](#) of the Income Tax Act 1994 (now ss [DS 2](#), [EJ 6](#) and [EJ 8](#) of the IT07).

Sections [DS 3](#) and [DS 4](#) override ss [DS 1](#) and [DS 2](#) by clawing back deductions otherwise deductible under the latter sections to the extent that the expenditure was effectively reimbursed to the investor.

Law: IT07 ss [DS 1–DS 4](#), [EJ 4–EJ 9](#), [GB 17–GB 19](#), [YA 1](#) (“feature film”, “film”, “film income”, “film production expenditure”, “large budget film grant”); TAA s [18H](#), Sch [7](#) cl [35](#)

Last reviewed on 31 December 2025

Deductions for financial arrangements adjustments [¶10-452]

[¶10-452]

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To confirm operation of the financial arrangements rules, a deduction is allowed for:

- # the amount of a negative base price adjustment to the extent of income from the financial arrangement in previous income years (s [DB 11](#))
- # an amount that is a deduction under a base price adjustment under the old financial arrangement rules (s [DB 12](#))
- # the amount of the excess where a debtor repays more than the transfer value of a debt that had been transferred to an associate at a discount or where the debtor repays more than the guarantee payment to an associated guarantor (s [DB 13](#))
- # the loss of a surety who receives a security payment for the loss (s [DB 14](#)).

A negative result under a base price adjustment is treated as interest expenditure. The amount will be deductible under s [DB 11](#) to the extent that income has been recognised in relation to the financial arrangement in previous income years. Note that where there has been self-remission in relation to the financial arrangement ([¶19-222](#)), the amount of the deduction will be limited to the amount of the person's self-remission (s [DB 11\(1B\)](#)). The normal rules of deductibility under ss [DB 6](#) to [DB 8](#) apply to determine whether a deduction is permitted if the interest expenditure is not deductible under s [DB 11](#).

Sureties

There is a restriction under s [DB 15](#) on the deduction that may be allowed to a surety for any expenditure or loss under a security arrangement. No deduction is allowed to the extent that the expenditure or loss is due to one of the following:

- # the actions of the surety, or an associate of the surety, over the term of the arrangement
- # the occurrence of an event that could have been influenced by the surety or an associate of the surety, or
- # the non-occurrence of an event that could have been influenced by the surety or an associate of the surety.

The tenor of the restriction is that no deduction is allowed for a payment in honour of a guarantee if the guarantor is responsible for activation of the guarantee. In the routine case, the restriction is unlikely to become operative. The routine case is a shareholder guaranteeing payment of the debts of the shareholder's company. Adverse trading conditions encountered by the company, not the actions of the shareholder, are more likely to be responsible for non-payment of the debts and enforcement of the guarantee.

Law: IT07 ss [DB 11–DB 15](#), [EW 31\(4\)](#)

Last reviewed on 31 December 2025

Deductibility of financial planning fees [¶10-462]

[¶10-462]

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A deduction may be allowed for a fee paid to a financial adviser to review existing investments and make appropriate recommendations. That was the conclusion reached in *C of IR v North* (1999) 19 NZTC 15,219 in relation to taxpayers with approximately \$1 million under investment and who approached financial advisers for advice following the receipt of an additional \$705,000. The fee of \$8,282 paid for their advice was allowed as a deduction on the ground that it was incurred in the course of the maintenance and monitoring of an established portfolio of investments rather than in the establishment of a portfolio. The fee had been described by the adviser as “establishment costs”, but the court applied the principle that the label used by the parties is not determinative as to whether expenditure is of a capital or income nature.

Case T64 (1998) 18 NZTC 8,493 applied the capital limitation in relation to the “portfolio monitoring fee” paid for advice on appropriate investments for the taxpayer as a person entering retirement. The advice related to investment of the funds totalling \$374,000 at the taxpayer’s disposal. The fee related to the creation of an investment structure for those capital moneys.

In Case U12 (1999) 19 NZTC 9,140, the taxpayer held funds in fixed-interest bank securities. As the deposits had matured, she had shopped around for the best investment rates. She decided to engage a financial planning adviser to assist with decisions on her investment activity. Approximately 40% of her investment capital stayed in similar fixed-interest investments, and the remainder was placed in equity investments. It was found that the taxpayer was an active investor, that her investment aims did not alter fundamentally and that the change was to the mix of investments. The fees paid to the adviser were related to changes to the taxpayer’s income-earning process, not the income-earning structure, so they were deductible.

Interpretation statement on financial planning fees

Interpretation statement IS0044, “Financial planning fees — income tax deductibility”, outlines the Commissioner’s views in this area and the conclusions reached in the statement are summarised in the table below:

	Passive investor	Speculative investor	Business investor
Initial planning fee	Non-deductible	Deductible	Deductible
Implementation fee	Non-deductible	Deductible	Deductible
Administration fee	Deductible	Deductible	Deductible
Monitoring fee	Deductible	Deductible	Deductible
Evaluation fee	Deductible	Deductible	Deductible
Replanning fee	Deductible	Deductible	Deductible
Switching fee	Deductible	Deductible	Deductible

The classifications assume that the taxpayer’s investments are directed at the generation of assessable income, and that the rules on prepayments do not require the add-back of income in the year in which the fee is incurred. The deduction allowed for an evaluation, replanning or switching fee for a passive investor is subject to the qualification that the fee is not paid in the context of significant change to the taxpayer’s investment structure. An example of a change of that kind could be to change from the receipt of rental income to interest and dividends.

Last reviewed on 31 December 2025

Deductibility of fines [¶10-472]

[¶10-472]

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The conventional view is that a deduction is not allowed for a fine. That view was adopted in *IR Commrs v Alexander von Glehn & Co Ltd* [1920] 2 KB 553 in relation to the £3,000 paid to settle proceedings brought alleging a breach of legislation prohibiting trading with the enemy during World War I. On that authority, a security company operating armoured cars was not allowed a deduction for the \$37,201 paid in one year for 693 parking fines: *Mayne Nickless Ltd v FC of T* 84 ATC 4458. In *McKnight (HMIT) v Sheppard* [1999] BTC 236, the House of Lords explained that the prohibition is based on the purpose of punishing the taxpayer and preventing dilution of the penalty by allowing the rest of the community to share in the burden through a deduction for tax purposes.

Example:

A solicitor was not permitted a deduction for the fine imposed on him by the disciplinary committee of his district law society. See *Robinson v C of IR* [1965] NZLR 246.

Example:

A convicted drug dealer could not deduct a fine from income allegedly made from drug dealing. See Case F126 (1984) 6 NZTC 60,174.

Example:

A company was not permitted to deduct fines imposed for importing goods in excess of its licence. The High Court ruled that in cases where penalties or fines were imposed for a breach of the law, deductions should be denied so that business lawbreakers did not enjoy an advantage over non-business lawbreakers. Allowing a deduction in such circumstances would also tend to encourage lawbreaking and treat it as a legitimate business cost. See *Nicholas Nathan Ltd v C of IR* (1989) 11 NZTC 6,213.

However, the Taxation Review Authority (TRA) has made obiter (and, therefore, non-binding) statements indicating that a fine or penalty may be deductible in certain circumstances, providing there is a sufficient relationship between the expenditure and the derivation of assessable income. Examples given include a fine for a parking infringement or loading offence (see Case F126 (1984) 6 NZTC 60,174) or a mail courier company incurring a double parking infringement notice while delivering an urgent package to a downtown office (see Case K62 (1988) 10 NZTC 504).

More recently the TRA held that fines were not usually deductible. It noted the outcome from New Zealand cases about the nexus test in relation to deductibility of fines was not clear but said that businesses should operate within the law. The Authority considered that a penalty or fine arising from a taxpayer's illegal activities could not have a sufficient nexus with the taxpayer's income-earning process so as to create deductibility for the cost of the fine. See Case Z6 (2009) 24 NZTC 14,068 where the TRA held that a transport company was unable to deduct the overloading fines incurred by its truck drivers as expenditure incurred in carrying on a business.

Commissioner's policy on fines

Interpretation statement IS 09/01 "Fines and penalties — Income tax deductibility" deals with the deductibility of fines, penalties, and like payments. This statement concludes that fines and penalties imposed under a statute or regulation are not deductible, regardless of the circumstances, for reasons of public policy.

Last reviewed on 31 December 2025

Deductibility of franchise fees [¶10-482]

[¶10-482]

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The capital limitation may apply to prevent the deduction of any fee paid upon the establishment of a franchise relationship. The service station operator in *Labrida Pty Ltd v DFC of T* [96 ATC 4303](#) was not allowed a deduction for the \$25,000 accreditation fee paid to Mobil Oil to receive the benefit of the Mobil system, detailing layout of the service station, its operation and the use of Mobil trademarks. Training and financial assistance was also part of the package. The fee was held to be a capital outlay, as one establishing the taxpayer's profit-yielding subject.

Some support for this view may be found in the cases referred to in the following examples.

Example:

The taxpayer, a sports goods retailer, entered into a franchise agreement with a sports store franchising company and was granted a franchise to operate a specialist sports goods shop. Under the agreement, the taxpayer paid the franchisor an initial fee to cover various establishment costs of the business. The deduction claimed for the amount of the fee was disallowed. The TRA held that the payment brought into existence an asset or advantage for the enduring benefit of the taxpayer's business. The franchise payment acquired for the taxpayer the exclusive right and privilege of trading as a particular type of sports shop, access to all the ancillary benefits set out in the franchise agreement and secured a territorial monopoly of that franchise for a minimum of 10 years. See Case S24 [\(1995\) 17 NZTC 7,169](#).

Example:

The purchaser of a mobile video library franchise was able to deduct a portion of the franchise fee relating to clothing and stationery, these being linked to the income-earning process. See Case S71 [\(1996\) 17 NZTC 7,441](#).

On the issue of whether a franchisee is able to claim depreciation in relation to that portion of a franchise fee that is not deductible, see [¶13-460](#).

Last reviewed on 31 December 2025

Deductibility of gifts by companies [¶10-492]

[¶10-492]

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Companies are allowed a deduction for a gift of money to a charitable organisation approved for charitable gifts tax credit purposes. The list of approved donee organisations is regularly updated on the Inland Revenue website (www.ird.govt.nz — search keyword: donee organisation). The amount of the deduction is limited to the company's net income (excluding the donations).

A deduction is denied to the extent to which the amount is, for the company, a gift of money by a deregistered charity to another charity within 12 months of deregistration.

Law: IT07 s [DB 41](#)

Last reviewed on 31 December 2025

Deductibility of goods and services tax [¶10-497]

[¶10-497]

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A registered person is not allowed a deduction for a payment of GST or the input tax component of a purchase of goods or services. The underlying notion would appear to be recognition of the absence of a real cost for the GST paid and the input tax.

The prohibition preventing the deduction of GST is subject to an exception to the effect that a deduction is allowed for the output tax payable when there is a deemed supply, because:

- # goods and services acquired for the principal purpose of making taxable supplies are subsequently applied for a non-taxable purpose, or
- # fringe benefits are provided to employees ([¶132-023](#)), or
- # imported services are acquired from non-residents (referred to as the “reverse charge rules”, see [¶132-410](#)).

In addition to the items listed above, a deduction of GST is also permitted for output tax payable in the following circumstances:

- # a supply that has been incorrectly zero-rated under the compulsory zero-rating of land rules ([¶132-505](#)), or
- # a supply of land that was zero-rated under the compulsory zero-rating of land rules ([¶132-505](#)) but which is subsequently applied to a non-taxable purpose, or
- # output tax that is payable as a result of adjustments required under the apportionment rules applying from 1 April 2011 ([¶132-088](#)).

In all cases, the above output tax is only deductible to the extent that a deduction (including a depreciation deduction) is permitted for the related goods or services. No deduction is allowed for output tax payable as a result of adjustments made in relation to capital assets.

For the effect of GST on the “cost” of depreciable property, see [¶13-064](#).

Law: IT07 s [DB 2](#)

Last reviewed on 31 December 2025

Deductibility of goodwill [¶10-502]

[¶10-502]

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Generally, goodwill is a capital asset and consequently a payment for goodwill is non-deductible. See *C of IR v LD Nathan & Co Ltd* [1972] NZLR 209. However, a payment made to preserve goodwill may be deductible. See *Cooke (I of T) v Quick Shoe Repair Service* (1949) 30 TC 460.

Example:

A payment made by a taxpayer on an agreement to lease and option to purchase 3 properties was misdescribed as a "goodwill payment". The payment was part of the purchase price for the properties and was non-deductible. See Case P6 [\(1992\) 14 NZTC 4,038](#).

Although not goodwill, a premium paid upon the grant of the right to use land is depreciable intangible property that may be eligible for a deduction by way of depreciation ([¶13-034](#)).

Last reviewed on 31 December 2025

Deductibility of expenditure funded by government grant [¶10-513]

[¶10-513]

[Click to open document in a browser](#)

Expenditure may not be allowed as a deduction where it has been financed out of a grant or subsidy from a local authority or a public authority, or a public purpose Crown-controlled company, or if the expenditure has been funded out of a grant-related suspensory loan and that grant or loan is not elected by the recipient to be excluded income under s [CX 47\(4\)](#) ([¶15-760](#)). Note that the disallowance of a deduction does not apply to expenditure funded by either a loan under the small business cashflow loan scheme ([¶1-530](#)) or a loan under the research and development loan scheme (established by Ministerial direction to Callaghan Innovation under s 112 of the Crown Entities Act 2004, notice number 2020-go2811). If the grant or subsidy is repaid, a deduction may be allowed under s [DF 2](#) for the amount repaid. The deduction is allowed in the income year in which repayment is first required.

A deduction is not denied to the extent to which a payment is the payment of an R&D loss tax credit and the person's expenditure is attributable to that payment.

Under s [CX 47\(4\)](#) a taxpayer may choose not to treat a research and development growth grant (previously a technology development grant or a technology transfer voucher) as excluded income if a portion has been withheld until the conditions relating to the grant are satisfied. If a taxpayer makes an election under s [CX 47\(4\)](#) not to treat the payment as excluded income, the corresponding expenditure is treated as deductible. See *Tax Information Bulletin* [¶231-112 Vol 23, No 1](#), February 2011 at 84–85.

Interpretation statement [IS 23/06](#) "Income tax – Government payments to businesses (grants and subsidies)" sets out IR's view on the application of ss [DF 1](#) and [CX 47](#) ([¶15-760](#)).

Law: IT07 ss [CX 47\(4\)](#), [DF 1](#), [DF 2](#), [YA 1](#) ("research and development loan scheme")

Last reviewed on 31 December 2025

Deductibility of home office expenses [¶10-530]

[¶10-530]

[Click to open document in a browser](#)

To the extent appropriate, a sole trader may claim deductions for expenses incurred in maintaining a home office used in the course of carrying on a business. The taxpayer has two options for calculating the business use deduction: applying the general permission rules or using the square metre rate method under s DB 18AA.

Deductibility under general permission

A taxpayer who uses their home partly in furtherance of the conduct of a business may be entitled to a deduction for the part of the outgoings that relate to the use of the home for the work-related activities, ie heat, light, rates, insurance, interest on mortgage, house and contents insurance, furniture, equipment, carpet, repairs, and maintenance. The portion is based on the ratio:

$$\frac{\text{Area used for income-earning activities}}{\text{Total area of home}}$$

Actual toll calls incurred in income-earning activities are deductible, as is a portion of the telephone rental. The portion for the rental is based on the ratio of:

$$\frac{\text{Business usage}}{\text{Total usage}}$$

The deduction is allowed under the general permission. The employment limitation would prevent an employee deducting any home office costs. The following factors assist in ascertaining whether, and to what extent, a deduction may be allowed in the absence of application of the limitation:

- # when a taxpayer uses their home partly in the conduct of a business, a deduction is allowed for an appropriate portion of the outgoings on the home: see *C of IR v Banks* (1978) 3 NZTC 61,236 (CA) and Case S17 (1995) 17 NZTC 7,127
- # it is a question of fact whether there is a sufficient relationship between the income-earning process and the expenditure in question
- # it is not necessary for the home to be physically changed to suit the income-earning activities
- # since it is not necessary to set aside a specific room, an apportionment based on the size of the room used may not be appropriate, and
- # an apportionment based on criteria such as the amount of time spent on income-earning activities at home as well as the area used may be necessary.

Square metre rate method

From 1 April 2017, the square metre rate method was introduced as an optional method for the calculation of deductions for dual use premises (s DB 18AA). This method requires the taxpayer to determine the total area (in square metres) of any separately identifiable parts of buildings on the premises that are used primarily for business purposes ("business square metres"). This area is then multiplied by a single rate ("square metre rate") to give one part of the deduction. The square metre rate is set by IR based on the average costs of items such as utilities and insurance costs per square metre, but excluding rental or rates and mortgage interest costs. The rate is updated each year and is expected to be reasonably accurate for most taxpayers. The square metre rate for the 2024–25 income year is \$55.60. See CCH, *New Zealand Tax Rates, Dates and Depreciation Rates 2026* at ¶50-085 for the rates for previous years.

Taxpayers are also able to claim a deduction for their actual mortgage interest and rates or rental costs ("total premises cost"), based on the proportion of the buildings on the premises used primarily for business purposes ("business proportion"). Thus, the total deduction is calculated using the formula:

(total premises costs × business proportion) + (business square metres × square metre rate).

Example:

Mr Smith has a room in his house which is set aside as an office. He uses the office primarily for business purposes. Mr Smith decides to calculate his deductions for this office for the 2017–18 income year using the new method. The office has an area of 10 m², while Mr Smith's house has a total area of 100 m². Inland Revenue has set the fixed rate for premises for the 2017–18 income year at \$41.10/m².

Mr Smith calculates the first part of the square metre rate method using the square metre rate. To do this he simply multiplies the area of his office (in square metres) by the fixed rate. Accordingly, the first part of Mr Smith's first deduction is:

$$10 \text{ m}^2 \times \$41.10/\text{m}^2 = \$411.$$

Mr Smith next calculates the second part of his deduction for his mortgage interest and rates (as Mr Smith owns his house). To do this, he calculates the fraction of his house occupied by his office. He then multiplies his actual mortgage and interest costs by that fraction.

The fraction of Mr Smith's house that is occupied by his office is:

$$10 \text{ m}^2 \text{ office} \div 100 \text{ m}^2 \text{ house} = 0.10 \text{ (or 10\%)}.$$

Mr Smith's mortgage interest for the year is \$20,000 and his rates are \$3,000. Therefore, Mr Smith's second part of his deduction is:

$$(\$20,000 + \$3,000) \times 0.10 \text{ office fraction} = \$2,300.$$

Adding the two deductions together, Mr Smith has a total deduction for his office of \$411 + \$2,300 = \$2,711. Accordingly, he can claim a deduction for his home office of \$2,711 under the square metre rate method.

Example adapted from *Tax Information Bulletin* [1294-104 Vol 29, No 4](#), May 2017 at 74.

Taxpayers can elect to use the new method for an income year by using it to calculate their deductions in their income tax return. There are no restrictions on the ability of a taxpayer to choose the method. A taxpayer who elects to use the new method will not be entitled to claim any other deductions for the business use of the premises.

Operational statement, [OS 19/03](#), "Square metre rate for the dual use of premises" explains how the Commissioner will interpret and apply s [DB 18AA](#) with a number of examples to illustrate the application of the provision.

The item considers the individual requirements of the steps discussed above to calculate the deduction. For the first step, the business square metre step, a taxpayer must determine the area of their buildings that are both "separately identifiable parts of the buildings on the premises" and that "are used primarily for business purposes".

The Commissioner's view is that for an area to be separately identifiable it does not need to be physically separate from any other area. The use of the phrase separately identifiable means that it needs to be obvious that a particular area is "identifiable" as being used for a business purpose that is separate from any other purpose. Whether an area meets this test is considered objectively. It is a positive test, in that the area cannot, objectively, be identifiable as being used for another purpose (a private purpose, for instance), or for a "neutral" purpose; that is, for no particular identifiable purpose. In practical terms, it will be easier to see that an area of a building is separately identifiable as an area being used for a business purpose if it has a business asset of some kind within it (computer, business records, inventory for instance) that marks out that area in some way.

The Commissioner accepts that part of the premises can be said to be used primarily for a business purpose when it is used for a business purpose (rather than any other purpose) more than 50% of the time.

For the second step, the taxpayer must determine the business proportion. This requires the calculation of the total area of all buildings on the taxpayer's property. This will often include buildings other than the taxpayer's residence. For instance, it is the Commissioner's view that a standalone garage is a building, but that many small residential garden sheds are too small to be considered buildings; they are structures. It is relatively common that a taxpayer's premises will include a dwelling and a standalone garage. Where this is

the case, the area of both the dwelling and the garage needs to be included in the calculation, whether or not there is any business use of the garage. [IS 10/02](#) discusses what constitutes a building.

“Premises” is a reference to the taxpayer’s entire property. In an urban, residential setting this will generally equate to the buildings and their curtilage. However, in the case of a rural setting, what constitutes the curtilage will be a matter of fact, viewed objectively, in each case.

Where the business area is not used primarily for business purposes for the entire year, or the area changes at some time during the year, the amount of the deduction will have to be adjusted. The Commissioner accepts that any adjustment required can be calculated based on the number of complete weeks that the separately identifiable area is used primarily for business purposes. The apportionment does not have to be completed on a daily basis.

Law: IT07 s [DB 18AA](#)

Last reviewed on 31 December 2025

Deductibility of insurance premiums [¶10-540]

[¶10-540]

[Click to open document in a browser](#)

The payment of an insurance premium may be allowed as a deduction under the general permission. That is even though the premium may insure against the loss of a capital asset such as a building or plant. The capital limitation does not apply, because the premium can be regarded as a cost of protecting the capital structure without creating an enduring advantage. See *Australian National Hotels Ltd v FC of T* [88 ATC 4627](#).

The deduction may be allowed even though the premium is paid to another group company under a captive insurance arrangement, particularly if there are valid commercial reasons for the establishment of the captive insurer. See *WD & HO Wills (Australia) Pty Ltd v FC of T* [96 ATC 4223](#).

An annual valuation fee paid to a valuer to value assets or risks for insurance purposes is also deductible.

Loss of earnings/profits insurance

A loss of earnings or profits insurance policy is one where benefits are calculated with reference to income lost by the insured as a result of incapacitation. IR's view is that benefits from this type of policy are assessable (*Tax Information Bulletin* [¶64-108 Vol 6, No 4](#), October 1994 at 8). The employment limitation does not apply to the employee, because any benefit received under the policy is not income from employment. In both cases, the premium can be regarded as incidental and relevant to the activities regularly carried on for the production of assessable income. See *FC of T v DP Smith* [81 ATC 4114](#).

This category may extend to the premium paid under an extended disablement policy that pays a benefit in the form of a weekly income calculated according to lost income.

Example:

An employee in a plumbing business takes out a policy which provides for the lesser of:

- # the amount of cover, which is a dollar amount specified in a schedule to the policy, or
- # 80% of average weekly income.

Average weekly income is the higher of the following amounts:

- # the weekly average in the 12 months prior to disability, or
- # the weekly average in any 12 months in the three years prior to disability.

Premiums are not payable during the period the employee is disabled and claiming under the policy.

Under IR's policy, this is a loss of earnings policy. Benefits are calculated at the time of claim with reference to earnings. The employee is assessable on the benefits received and can deduct the premiums paid. The premium waiver benefit does not give rise to income and has no tax consequences.

Example adapted from *Tax Information Bulletin* [¶64-108 Vol 6, No 4](#), October 1994 at 10.

Professional indemnity policies

Following retirement, a professional person may continue to pay premiums on a professional indemnity insurance policy for protection against possible negligence claims arising from work carried out prior to retirement. IR's view is that premiums paid are deductible provided the person has income other than from employment.

Sickness and accident insurance

Personal sickness or accident insurance policies are policies that provide for the payment of a sum that is specified in the insurance policy and that is payable if the insured person is incapacitated as a result of an

accident or sickness. A benefit received under such a policy will generally be exempt income, provided the payment is not calculated according to loss of earnings.

QWBA [QB 18/04](#) "Income tax — Insurance — Personal sickness and accident insurance taken out by employee with employer paying the premiums on employee's behalf" and [QB 18/05](#) "Income tax — Insurance — Personal sickness and accident insurance taken out by employer for the benefit of an employee" conclude the employer will generally be entitled to a deduction for the premiums paid ([¶13-185](#)).

Life and accident insurance policies

The deductibility of premiums paid by employers on life or accident insurance policies taken out for or on the lives of employees must be decided on by the facts of each case. The decision depends on the purpose for which the policy was taken out, and the manner in which the proceeds are applied, or are available to be applied. The following are general guidelines:

- # Endowment or whole of life policies:

- # Where the employee has an indefeasible right to the proceeds, the premiums are deductible by the employer.

- # Where the employer is to receive the proceeds, the premiums are not deductible unless it can be shown that the policy was on the life of a key employee and was taken out by the employer for the purpose of protecting against loss of profits following the death of that key employee. In these circumstances the proceeds are assessable to the employer who may offset premiums paid over the period of the policy against the proceeds in the year the proceeds are received.

- # Temporary or term life insurance policies:

- # Where the employer has no beneficial interest and the employee has an indefeasible right to the proceeds, the premiums are deductible by the employer.

- # Where the proceeds are payable to the employer, the premiums paid are deductible and the proceeds assessable income.

QWBA [QB 18/02](#) "Income tax — Insurance — Term life insurance policy taken out by employee with employer paying the premiums on employee's behalf" concludes that the amount of the premiums in that scenario is deductible to the employer and subject to PAYE for the employee. [QB 18/03](#) "Income tax — Insurance — Term life insurance policy taken out by employer for the benefit of an employee" also concludes that the amount of the premiums in that scenario is deductible to the employer, but concludes the amount of the premiums is subject to FBT.

Key-person or key-man insurance

QWBA [QB 17/06](#) "Income tax: Insurance — Key-person insurance policies" deals only with key-person (also referred to as "key-man" or a type of "loss of profits") policies. These policies are taken out for the purpose of replacing lost business profits as a result of something happening to a key person in the business. The item concludes that a lump sum or a fixed periodic sum paid under the policy is taxable income of the employer under s [CB 1](#) (business income) and that premium amounts paid for a key-person insurance policy are deductible under s [DA 1](#). See further at [¶13-185](#).

Group insurance policy

QWBA [QB 17/10](#) "Income tax and fringe benefit tax — Insurance — Group insurance policy taken out by employer for the benefit of an employee" considers insurance policies that may be term life cover, accident/medical cover, or both and concludes that the employer will generally be entitled to a deduction for the premiums paid as a business cost, just like salary or wages. For a discussion of the features a group insurance policy must have for the item to apply, see [¶13-185](#).

Forward exchange cover

The Commissioner permits a deduction for the cost of forward exchange cover insurance. The deduction is allowed in the year the expense is incurred. The Commissioner considers that any proceeds payable under the policy are to be included within the policyholder's assessable income. A deduction has been permitted for premiums paid on a policy to protect against exchange losses on an overseas loan. The premiums, in common with the interest also payable, were part of the regular demands on the income of the business. See *Australian National Hotels Ltd v FC of T* [88 ATC 4627](#).

Policies used as securities for loans

In interpretation statement [IS 13/03](#), "Income tax — deductibility of expenditure incurred in borrowing money — section [DB 5](#)", the Commissioner considers that insurance premiums paid in respect of a life insurance policy taken out as security for a loan are not deductible under either s [DB 5](#) ([¶10-182](#)) or [DA 1](#). Insurance premiums on policies that are used as security for loans are deductible in certain circumstances.

Product rulings

For further discussion on the distinction between loss of earnings and sickness and accident insurance see product rulings [BR Prd 99/8](#), [BR Prd 98/5](#), [BR Prd 97/17](#), [BR Prd 96/1](#), [BR Prd 95/5](#), [BR Prd 95/11](#), [BR Prd 95/12](#) and [BR Prd 95/13](#). These rulings have expired but may serve as guidance.

Last reviewed on 31 December 2025

Deductibility of interest [¶10-650]

[¶10-650]

[Click to open document in a browser](#)

A company is automatically allowed a deduction for interest if the requirements of s [DB 7](#) are met. Other taxpayers are allowed a deduction for interest if the requirements of the general permission are satisfied. A further provision allows a company to deduct interest payable under a borrowing to acquire shares in a group company.

In all cases, the capital limitation is specifically excluded to potentially prevent interest being allowed as a deduction. The capital limitation could have potentially applied, for example, in relation to interest on funds borrowed to purchase a property that is retained as vacant land pending development (*Wharf Properties Ltd v C of IR (Hong Kong)* [\[1997\] BTC 173](#)).

This rule is expressly overridden for the purposes of the interest limitation rules that apply to residential rental properties ([¶10-814](#)).

Automatic deduction for companies

Certain companies are allowed a deduction under s [DB 7](#) for interest incurred. The deduction is allowed as a supplement to the general permission, with the consequence that the requirements of that provision do not need to be satisfied. The deduction allowed overrides the capital limitation, the exempt income limitation and the withholding tax limitation. The deduction may be regarded as automatic in the sense described in the heading to s [DB 7](#) that “most companies need no nexus with income”. However, there are qualifications.

The automatic deduction provisions do not apply to a qualifying company.

No deduction is allowed for interest paid to a foreign revenue authority that has been imposed in relation to unpaid tax ([¶10-915](#)).

A company that derives exempt income receives the benefit of the automatic deduction only if the exempt income is exempt dividends from a wholly owned subsidiary, profits from the disposal of treasury stock or exempt stake money ancillary to the company's horse-breeding business. If another member of a wholly owned group derives exempt income, it must be one of those three kinds for the automatic deduction to continue to apply.

A non-resident company is allowed the deduction only to the extent that the interest expense is incurred in the course of carrying on a business through a fixed establishment in New Zealand.

Section [DB 7](#) is overridden for interest expenditure that is subject to apportionment under the new mixed-use asset rules in subpt [DG](#) ([¶10-035](#)).

From 1 April 2017, s [DB 7](#) is also overridden in relation to interest expenditure subject to subpt [DE](#) (Motor vehicle expenditure) if a company is a close company that has elected to apply that subpart instead of the FBT rules ([¶10-710](#) and [¶21-070](#)).

Borrowing to acquire shares in a group company

A company is allowed a deduction under s [DB 8](#) for interest incurred on money borrowed to acquire shares in another company that is in the same group of companies.

The deduction is allowed as a supplement to the general permission, meaning that it is not necessary to satisfy the requirements of that provision for the deduction to be allowed. Specifically excluded are the capital limitation, the exempt income limitation and the withholding tax limitation.

Amalgamations are addressed. The deduction continues to be allowed, even if the subsidiary company ceases to exist under a qualifying amalgamation. This is provided the companies were in the same group immediately before the amalgamation.

There is a limitation if group status between the borrower and the subsidiary ceases. The provisions on group companies cease to apply as from the income year group status ends. Upon the cessation of group status, it is thought that the borrower would be entitled to rely on the provisions granting a company an automatic deduction for its interest expense. The position on interest deductibility is to be determined when each expense is incurred, and is not controlled by the circumstances at the time of the borrowing (*C of IR v Banks* (1978) 3 NZTC 61,236 (CA)).

In relation to earlier provisions, the Commissioner had issued public binding rulings confirming that the group company provisions applied to a borrowing to meet a call on unpaid shares and under a refinancing of a group purchase (BR Pub 97/4 and BR Pub 97/5).

Section DB 8 is overridden for interest expenditure that is subject to apportionment under the new mixed-use asset rules in subpt DG (¶10-035).

Individuals and qualifying companies

A person is allowed a deduction under s DB 6 for interest incurred. The deduction that is allowed overrides the capital limitation, but the general permission must still be satisfied (¶10-021).

The Commissioner's view on the deductibility of interest paid by a shareholder on their overdrawn shareholder current account is published in IS 24/09, "Income tax — Overdrawn shareholder loan account balances":

The interest expense is generally not deductible because the money drawn is commonly used to fund the shareholder's private or domestic expenditure.

However, the interest may be deductible if the shareholder draws fund to apply to an income-earning activity or a business. Sufficient records are required to support this position.

In *Brown v C of IR* (2014) 26 NZTC ¶21-089, the High Court confirmed that interest can only be deducted where it is incurred by the person and that there must be a sufficient connection between the expense and the income earning process for the nexus to be met. In that case, a trust borrowed money and on-lent it to the company through which the taxpayer, one of 3 directors of the company, practised as a chartered accountant. The taxpayer paid the interest charged to the trust. The Court rejected the taxpayer's claim that because he expected to be reimbursed there was a nexus with assessable income. The Court held that there was no definitive commitment on the taxpayer to make the interest payments and the absence of any legal obligation to reimburse meant there was no nexus between the expenditure and the potential for assessable income by reimbursement.

In *PL Brown Farms v C of IR* (2014) 26 NZTC ¶21-083, the High Court confirmed that whether there is a sufficient nexus between the income earning process and the interest deductions claimed by a taxpayer is determined by considering the legal arrangements entered into, not by considering what other arrangements the parties might have entered into. In that case, the taxpayer company had on-lent funds to other companies, which had purchased land now leased to the taxpayer. The taxpayer claimed deductions for interest paid to the bank on the money borrowed and on-lent. The Court held that on the evidence of the arrangements entered into there was no nexus between the interest expense incurred by the taxpayer and the acquisition of land or the leasing of the land by the other companies and the deductions were denied.

The provisions of s DB 9 apply to qualifying company shareholders who borrow money to acquire shares in the qualifying company. Such persons are not able to rely on ss DB 7 and DB 8 described above relating to a company. The operation of s DB 9 is explained at ¶19-085.

A deduction may be available under the general permission if the borrowed moneys are expected to produce assessable income. It is not necessary that assessable income be received. On that basis, a deduction for interest continued to be available in relation to a borrowing raised to purchase shares that initially generated dividend income but this ceased when the company stopped being profitable. Throughout the period of the investment, the borrowed moneys were employed in the production of assessable income (*Stevens and Stevens v C of IR* (1989) 11 NZTC 6,001).

Case law and the Commissioner's position

A considerable body of case law developed under earlier provisions that allowed a deduction for interest payable on capital employed in the production of assessable income. In 1987 the statutory provisions were revised by adoption of wording replicating the general permission. There has been a tendency to continue to apply the test of use of the borrowed moneys, including consideration of the application of the funds and the outcome of the application. In Australia, the courts developed the alternative approach of looking at the purpose of the borrowing (*Spassted Pty Ltd v FC of T* [2003 ATC 5099](#)).

The principles on interest deductibility have also been given detailed consideration by the Commissioner in interpretation statement [IS0082](#), "Interest Deductibility — Public Trustee v CIR". . In May 2007, the Commissioner released a series of public binding rulings on interest deductibility, applying the principles set down in the Australian decision of *Roberts and Smith*. These rulings were updated in 2010 and reissued in 2015 — see below.

The circumstances in which interest may, or may not, be allowed as a deduction can be illustrated by reference to court decisions, the Commissioner's statements and public rulings. The appropriate starting point is the decision of the Court of Appeal in *Public Trustee v C of T* [1938] NZLR 436, which influences many outcomes on interest deductibility.

Public Trustee decision

Public Trustee concerned an estate comprising assets that produced both assessable income and non-assessable income. The trustee had insufficient cash to pay the death duty levied on the estate and, rather than sell those assets producing assessable income, the trustee borrowed money to meet the duties. The Court of Appeal decided that:

- # the trustee was not entitled to deduct the whole of the interest, because the borrowing was only partly used to produce assessable income
- # there is no difference in principle between borrowing to acquire earning assets that produce assessable income and borrowing to retain assets that produce assessable income, because the latter leaves the assets producing income intact
- # the interest expense of the estate should be apportioned, with only the interest relating to retention of the assets producing assessable income allowed as a deduction.

The decisive factor for the Court appears to have been the circumstance that the borrowing was incurred for the purpose of maintaining the income of the estate and preventing its reduction. That factor supported deductibility of the interest, even though the borrowed funds were merely used to pay a debt or charge.

The Court of Appeal did not address the quantum of the apportionment. The parties had agreed that the apportionment would be in the same proportion that assets producing assessable income bore to total assets.

Example:

A farmer who borrowed to meet obligations under a relationship property settlement instead of selling assets that produced assessable income to raise the funds was allowed a deduction for the interest payable on the borrowing. The interest had a sufficient nexus to the income-producing activity. See *Williams v C of IR* [\(1988\) 10 NZTC 5,078](#).

Roberts and Smith decisions

Interest on borrowings raised by a partnership to repay partnership working capital may be allowed as a deduction. That may be the case even though the repayment may be used by a partner to fund private expenditure. The character of the refinancing is the same as the original borrowing, which was that of the provision of working capital, the case being no different in principle from a borrowing from one bank to replace working capital originally borrowed from another lender. It was held that the interest was deductible even though the borrowed funds were not used directly in deriving income. Capital contributions, past years'

profits and debt were all considered capable of being replaced in that way (*FC of T v JD Roberts*; *FC of T v Smith* [92 ATC 4380](#)).

In May 2007, the Commissioner issued a series of public binding rulings applying the principles set down in the Australian decision *Roberts* and *Smith* (see above) to the deductibility of interest under s [DB 6](#). The Commissioner issued an updated set of rulings in 2010 and reissued them in 2015 as [BR Pub 15/04](#) to [BR Pub 15/09](#). The case and the rulings only apply where the amount replaced and repaid is owed to a person separate to the business, like a shareholder of a company or a partner in a partnership. The rulings do not apply to sole traders. For the rulings relating to partnerships, [BR Pub 15/04](#) and [BR Pub 15/05](#), see ¶[23-136](#).

In public ruling [BR Pub 15/06](#), “Interest deductibility — funds borrowed by a company to repurchase shares”, the Commissioner allows a deduction for interest in respect of funds used by a company to repurchase shares (including some bonus issue shares) to the extent that the funds that were represented by the shares and returned to the shareholders were funds contributed by the shareholders and used directly in the company’s business, or used to repay borrowed funds on which the interest was deductible. The interest is not deductible to the extent that the borrowed funds are used by the company to pay current year income to a shareholder, or are purported to be used to make a payment out of unrealised asset revaluations or internally generated goodwill.

In public ruling [BR Pub 15/07](#), “Interest deductibility — funds borrowed by a company to pay dividends”, the Commissioner allows a company a deduction for interest in respect of funds used by the company to pay dividends from past year profits or contributed capital to its shareholders. The interest will not be deductible to the extent that the borrowed funds are used by the company to pay current year income to a shareholder or are purported to be used to make a payment out of unrealised asset revaluations or internally generated goodwill.

In public ruling [BR Pub 15/08](#), “Interest deductibility — funds borrowed to repay debt”, the Commissioner allows a deduction for a taxpayer or a partnership for interest on funds used to repay borrowed funds to the person who invested those funds in the taxpayer or partnership in certain specified circumstances.

In public ruling [BR Pub 15/09](#), “Interest deductibility — funds borrowed to make a payment to a group company under section [IC 5](#)”, the Commissioner clarifies that no interest deduction will be available under s [DB 6](#) by applying the *Roberts* and *Smith* principle where funds are borrowed by a company to make a subvention payment. It is not a replacement of an amount previously advanced. (Usually a company making a subvention payment from borrowed funds is entitled to an interest deduction under s [DB 7](#).) For more on subvention payments see ¶[18-060](#).

Pacific Rendezvous Ltd decision

The objective of receipt of a capital gain from the eventual sale of an investment purchased with borrowed funds is likely to be present in many equity and property investments. The purpose of achieving a capital gain is unlikely, of itself, to prevent or reduce the deduction allowed for the interest paid on the borrowing. This is on the assumption that the investor also seeks the receipt of dividend or rental income.

Pacific Rendezvous Ltd v C of IR ([1986](#)) [8 NZTC 5,146 \(CA\)](#) concerned a motelier that wished to sell its assets. Pending sale, funds were borrowed to extend and refurbish the assets, and a sale programme was embarked on that took seven years. The capital purpose — ie of realising capital gain on sale — was the main purpose, with the income purpose of increased revenue a secondary one. The taxpayer claimed a deduction for the two-thirds of its interest expense, but the Commissioner limited the deduction to 25%. The Court of Appeal decided that in principle all of the interest was deductible. The statutory test of a borrowing employed in the production of assessable income was satisfied. All of the borrowings were put into the additions and improvements, so that the borrowings contributed significantly to producing assessable income. Although capital appreciation was a major consideration in the raising of the borrowing, that did not prevent the capital being employed in the generation of additional assessable income.

Brierley decision

C of IR v Brierley ([1990](#)) [12 NZTC 7,184 \(CA\)](#) concerned an individual who claimed interest deductions totalling \$325,000 in relation to borrowings raised to acquire shares in a listed company. Most of the returns

from the company were in the form of non-assessable receipts, the taxpayer receiving distributions that were not dividends totalling \$451,000 and dividends totalling \$15,000. The Court of Appeal held that the interest paid was allowed as a deduction in full. The loan capital was used in the production of assessable income in current or future income years. It was not necessary that assessable income had to be actually received. On the authority of *Pacific Rendezvous*, the purpose of achieving a capital appreciation from the investment did not justify an apportionment of the interest expense.

Example:

An individual borrows \$10,000 at 10% pa to finance a purchase of shares in a company. No dividend is paid in the 5 income years following the purchase of the shares. The taxpayer pays interest on the loan in each of the five income years. Is the interest deductible?

The individual can deduct the interest in full in each of the 5 income years, because the capital is used in each year in gaining or producing assessable income. Even though the company paid no dividends, the interest will be deductible provided the company has no restrictions in its constitution preventing the payment of dividends in the future.

The interest is deductible as long as the shares are expected to earn assessable income. There is no requirement that assessable income be produced in the year in which the interest deduction is claimed. See *Tax Information Bulletin* [139-108 Vol 3, No 9](#), June 1992 at 16.

Eggers decision

Eggers v C of IR ([1988](#)) [10 NZTC 5,153 \(CA\)](#) concerned a taxpayer approaching retirement who purchased a farm property with a view to its eventual development into a profitable farming venture. To defray expenses, part of the property was leased out. The Court of Appeal rejected the Commissioner's approach of limiting the deduction for expenses inclusive of interest to the amount of rents received.

The borrowed capital was fully committed to the income-earning process, there being no other use to which the land was put. The borrowing would produce assessable income in current and future income years.

Interest paid on borrowing to pay tax

The Commissioner has addressed the question of whether a deduction is allowed for interest paid on a borrowing raised to pay income tax. The view taken was that no deduction is available.

Example:

(A) An individual who is not in business has an end of year tax liability. He borrows to pay the tax. His assets are a house and a car. Is the interest deductible?

The interest is not deductible, because there is no nexus with the gaining or producing of assessable income.

(B) The same taxpayer has investments in government stock. Rather than realise the investments, he borrows to meet the tax expenditure. Is the interest deductible?

The interest is deductible to the extent that it is payable in meeting an involuntary tax expenditure and preserving income-producing assets that would have been realised if the taxpayer had not borrowed. To the extent that the interest is paid to preserve non-income producing assets, it will not be deductible. Apportionment of the interest will depend on the facts of each case. See *Tax Information Bulletin* [139-108 Vol 3, No 9](#), June 1992 at 17, and para 3 of Pt 1 of the interpretation statement [IS0082](#), "[Interest Deductibility — Public Trustee v CIR](#)".

Borrowing and on-lending

There has been some discussion by the courts of the question of whether a taxpayer is allowed a deduction in full for interest paid on a loan that is on-lent at a lower rate of interest. For an individual who borrows and on-lends at a lower rate of interest, the private limitation may potentially be of application.

A deduction in full may be easier to support in a commercial context. Interest on a borrowing raised for on-lending to a subsidiary company in order to promote the receipt of dividend income from the subsidiary may be allowed as a deduction in full (*FC of T v Total Holdings (Australia) Pty Ltd* [79 ATC 4279](#)).

Deduction when income-producing activities have ceased

A deduction may continue to be available even though income-producing activities have ceased. Funds borrowed to purchase a business that is later sold for an amount insufficient to repay the loan may continue to support an interest deduction after sale of the business. The loan had been raised in a transaction of purchase entered into for the purpose of producing assessable income. It was irrelevant that the lender might, as a matter of practicality, have allowed early repayment of the loan upon sale of the business. See *FC of T v Brown* 99 ATC 4852. A refinancing of the business loan may continue to give rise to a deduction for interest even though the refinancing occurs after cessation of the business. See *FC of T v Jones* 2002 ATC 4135. It is important to note that cases of this nature are heavily dependent on its own unique set of facts, and may be of limited relevance in New Zealand. The approach taken in these cases was to look at the reason for the borrowing or the occasion that gave rise to the borrowing. This differs from the Commissioner's view that looks at the use that the funds are put to at the time that the interest is incurred. For the deductibility of break fees on the repayment of a loan see [¶10-190](#).

Use of money interest

A taxpayer is permitted a deduction for use of money interest incurred on underpaid tax (s [DB 3B](#)).

Section [EF 5](#) provides that use of money interest is deductible in the income year in which it is paid.

Breaking term deposits

Binding Ruling [BR Pub 14/07](#) "Deductibility – interest payments required as a result of the early repayment of a financial arrangement" applies indefinitely from 17 December 2013 to situations where a person places an amount of money on term deposit. The term deposit contract provides that the rate of interest payable will be reduced on any early withdrawal. As a result of either a full or partial withdrawal of funds, the reduced interest rate requires the repayment of interest already derived by the depositor, or set-off of interest owed against the principal sum. A term deposit is a financial arrangement, subject to the financial arrangements rules ([¶16-045](#)).

The ruling differentiates between full withdrawal of the term deposit and partial withdrawal of the term deposit.

Full withdrawal of term deposit

Where the person withdraws the full amount of the term deposit before the maturity date the following applies:

- # A base price adjustment (BPA) is required ([¶16-360](#)) and the amount of repaid interest is included in the "consideration" element of the BPA.
- # Where the BPA gives rise to a negative amount, that amount is expenditure incurred under the financial arrangement rules and is treated as interest.
- # A deduction may be available under s [DB 6](#) or [DB 7](#).
- # An automatic deduction is allowed under s [DB 11](#) to the extent that the amount arises from assessable income derived by the person under the financial arrangement in earlier income years ([¶10-452](#)).

Partial withdrawal of term deposit

Where the person withdraws part of the amount of the term deposit before the maturity date of the term deposit contract the following applies:

- # No BPA is required.
- # Depositors who are not cash basis persons ([¶16-120](#)) and cash basis persons who have elected to adopt a spreading method must apply *Determination G25*: "Variations in the Terms of a Financial

Arrangement” when the term is varied by partial withdrawal. The repaid interest is included in the calculation under the determination and an adjustment is made in the year of variation.

Depositors who are cash basis persons may deduct the repaid interest at the time it is incurred only if the general permission under s [DA 1](#) is satisfied. The Commissioner considers the relationship between repayment of interest and the earning of interest under a term deposit insufficient to satisfy the requirements of s [DA 1\(1\)\(a\)](#). However, a deduction may be available under s [DA 1\(1\)\(b\)](#) if it can be shown that the expenditure was incurred in the course of carrying on a business.

If the amount of repaid interest is not deductible at the time of repayment, it must be dealt with on maturity of the term deposit through a BPA, and is included in both the “consideration” and “expenditure” elements of the BPA.

If the BPA gives rise to a positive amount, that amount is treated as income derived, except to the extent to which it arises from expenditure incurred in earlier income years and for which a deduction was denied.

Therefore, a positive BPA amount in the final year of the term deposit will be reduced by the amount of interest paid in the year the partial withdrawal took place.

Law: IT07 ss [DB 3](#), [DB 6–DB 9](#), [EF 5](#)

Last reviewed on 31 December 2025

Deductibility of interruption expenditure after an emergency event [¶10-655]

[¶10-655]

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A deduction is allowed for certain ongoing expenses incurred by taxpayers when their income-earning activity is affected by an emergency event. To qualify, the person must:

- # have an income-earning activity in the “affected area” immediately before the emergency event, and
- # in the current year, during the period of interruption, have incurred expenditure or loss in meeting an obligation relating to the income-earning activity and that interruption expenditure does not meet the requirements of the general deductibility permission in s [DA 1](#), but would have done so but for the interruption, and
- # resume the income-earning activity in an income year that is 5 income years after the income year in which the emergency event first occurs.

If all these conditions are met, the person is allowed to deduct the expenditure in the year their income earning is resumed.

Note similar rules applied for certain ongoing expenses incurred by taxpayers affected by the Christchurch earthquakes (s [DZ 20](#)) and the North Island flooding events (s [DZ 20B](#)).

Law: IT07 ss [DB 70](#), [FP 13](#), [DZ 20](#), [DZ 20B](#)

Last reviewed on 31 December 2025

Deductibility of revenue account property and investment losses [¶10-660]

[¶10-660]

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There are specific provisions in the Act for the deductibility and timing of deductions for revenue account property. Briefly, revenue account property is a person's trading stock or property that would produce income for the person if the property was disposed of. Examples include items disposed of that give rise to income in accordance with any of s [CB 3](#) (Profit-making undertaking or scheme; see [¶5-192](#)), [CB 4](#) (Personal property acquired for purpose of disposal; see [¶5-197](#)) or [CB 5](#) (Business of dealing in personal property; see [¶5-211](#)). Revenue account property may also include land (see Chapter 7). Events that are treated as a disposal for depreciation purposes are specifically excluded from the definition of revenue account property.

The general permission may authorise the deduction for any loss suffered upon the disposal of an equity or property investment held on revenue account. The position in relation to a debt investment is dealt with by the financial arrangements rules.

A deduction is allowed for a loss arising upon the sale of shares acquired with the purpose of resale (*C of IR v Inglis* (1992) 14 NZTC 9,180 (CA)). This is provided that the purpose of resale is the dominant purpose (*Case W2* (2003) 21 NZTC 11,003 (land) and *Case V5* (2001) 20 NZTC 10,055 (shares)). Similarly, in relation to the loss arising upon the sale of shares acquired in the conduct of a business of dealing in shares (*C of IR v Stockwell* (1992) 14 NZTC 9,190 (CA)). These decisions are effectively confirmed by s [DB 23](#). Section [DB 23](#) provides for a specific deduction for the cost of revenue account property. This provision supplements the general permission ([¶10-016](#)) and overrides the capital limitation ([¶10-075](#)) and the private limitation ([¶10-071](#)).

Problems of valuation may arise when only a part of the property purchased is disposed of. To calculate the person's net income, the cost of the property to the person of that part must first be ascertained.

Certain investment shares

No deduction is permitted when any of s [CX 55](#), [CX 56B](#) or [CX 56C](#) apply upon the disposal of the revenue account property. These provisions concern portfolio investment income and the objective is to prevent revenue account investors claiming deductions for the cost of an investment when they are not taxable on its proceeds (s [DB 23\(2\)](#) and *Tax Information Bulletin* [¶238-107 Vol 23, No 8](#), October 2011, p 83).

Timing of deductions

The timing of the deduction for certain types of revenue account property is provided for in s [EA 2\(2\)](#). This section provides that the deduction is allocated to the earlier of:

- # the income year in which the person disposes of the property, and
- # the income year in which the property ceases to exist.

This timing rule does not apply to revenue account property that is:

- # trading stock valued under subpt [EB](#) (Valuation of trading stock (including dealers' livestock))
- # livestock valued under subpt [EC](#) (Valuation of livestock)
- # an excepted financial arrangement valued under subpt [ED](#) (Valuation of excepted financial arrangements)
- # a film or a film right to which ss [EJ 4–EJ 8](#) (which relate to films) apply
- # property that arises as a result of petroleum development expenditure or petroleum exploration expenditure to which ss [EJ 12–EJ 20](#) (which relate to petroleum mining) apply
- # property that arises as a result of mining development expenditure or mining exploration expenditure to which ss [EJ 20B–EJ 20E](#) (which relate to mineral mining) apply

- # property fitted to an aircraft engine as part of an aircraft engine overhaul to which s [DW 5](#) applies
- # a specified lease or a lease to which s [EJ 10](#) (Personal property lease payments) applies, and
- # a financial arrangement valued under subpt [EW](#) (Financial arrangements rules).

Profit-making undertaking or scheme

When a person derives income under s [CB 3](#) (Profit-making undertaking or scheme) and the amount is not income under any other provision, s [DB 26](#) provides for a deduction for the value of the property. To ensure that only increases in value of the property since the beginning of the undertaking or scheme will be subject to tax, the amount of the deduction allowed is determined by treating the person as:

- # having disposed of the property to an unrelated third party immediately before the start of the undertaking or scheme, and
- # having reacquired the property immediately after the start of the undertaking or scheme at the market value of the property at that time.

Section [DB 26](#) supplements the general permission. The general limitations still apply.

If only part of the property purchased is used in the profit-making undertaking or scheme, the market value of that part immediately before and immediately after the time at which the undertaking or scheme began must be determined. The valuation must relate to the property in its existing form at those particular points in time. This may be difficult in practice.

Deductions under share-lending arrangements

No deduction is allowed for the amount of expenditure incurred as share-lending collateral under a share-lending arrangement (s [DB 16](#)).

However, under s [DB 17](#) a deduction is allowed for the amount of any replacement payment and the amount of any imputation credits under ss [OB 64](#) and [RE 25](#) attached to a replacement payment under a share-lending arrangement. See further [¶5-288](#) and [¶17-116](#).

Share losses and grouping

A specific prohibition on the deduction of a loss suffered on an equity investment is contained in s [DB 24](#). This situation arises when the funds acquired to subscribe for the shares generate a loss for the share-issuing company, or another company, which is subject to a group offset by the subscribing company or another company in its corporate group. The equity loss arising upon disposal of the shares, or through their decline in value, is not allowed as a deduction to the extent of the loss that has been grouped.

Certain intra-group transactions

From 1 April 2016, s [DB 23B](#) denies certain deductions to a consolidated group company that derives income from a transaction or arrangement with another group member involving revenue account property that is an excepted financial arrangement. Where the shares are cancelled in the year they are acquired, the deduction denied is the expenditure incurred as the cost of revenue account property. When the shares are cancelled in a subsequent year, the deduction denied is the value of the shares at the end of the previous income year calculated at their cost price.

Law: IT07 ss [DB 16](#), [DB 17](#), [DB 23](#), [DB 23B](#), [DB 24](#), [DB 26](#), [EA 2\(2\)](#)

Last reviewed on 31 December 2025

Deductibility of lease expenses [¶10-670]

[¶10-670]

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A deduction is allowed for expenditure incurred in the preparation and registration of a lease of property. A deduction is also allowed for expenditure incurred in the renewal of a lease of property. The deduction that is allowed overrides the capital limitation. It is still necessary to satisfy the general permission, meaning that the leased property must be part of activities expected to produce assessable income.

Interpretation statement "[Easements — deductibility of the costs of preparation, stamping and registration](#)" (*Tax Information Bulletin* ¶149-108 Vol 14, No 9, September 2002 at 30) confirms that an easement is a lease for the purposes of s [DB 18](#).

Lease inducement payments

Lease inducement payments are deductible to the payer under s [DB 20B](#) if the following conditions are met:

- # a person (the payer) incurs an amount of expenditure as consideration for the agreement by another person (the payee) to the grant, renewal, extension or transfer of a right (the land right) that is a leasehold estate not including a perpetual right of renewal (eg Glasgow-type leases), or is a licence to use land
- # the payer is the person who owns the land right or the estate in land from which the land right is granted, and
- # the payee is the person who is obtaining the land right.

The deduction provision allows deductions for various forms of lease inducements, in particular, contributions for fit-out costs. A timing rule in s [EI 4B](#) applies to these payments.

Section [DB 20B](#) overrides the capital limitation, but the general permission in s [DA 1](#) must still be satisfied and the other general limitations still apply.

Timing rule

The timing rule in s [EI 4B](#) spreads the amount of the deduction under s [DB 20B](#) over the "spreading period".

The "spreading period" means a period that:

- # begins with the commencement, or a renewal or extension, of the land right, and
- # ends before the earliest following date on which the land right may be terminated, or may expire, if not extended or renewed.

Thus, the spreading period is an initial fixed period determined at the grant, renewal or extension of the land right. If, later, there is a payment for a further renewal or extension of the land right, that payment would be spread over the new fixed renewal or extension period, as that period is regarded as a separate spreading period.

Example:

A landlord and a tenant enter into a five-year lease, which includes two five-year renewal rights. The lease commences on 1 April 2013. On the same day, the tenant receives a lease inducement payment from the landlord.

The spreading period of the lease inducement payment, which is subject to ss [CC 1B](#) and [DB 20B](#), is from 1 April 2013 (being the commencement date of the lease) to 31 March 2018 (being the earliest following date on which the lease expires).

Example:

Following on from the above example, in March 2018, the tenant decides to renew the lease for another five years (from 1 April 2018 to 31 March 2023). In January 2022, there is an oversupply of leases in the market. The tenant wants to move to other premises for

a lower rent. Knowing this, the landlord makes a lease inducement payment to the tenant for the renewal of the lease for another five years (from 1 April 2023 to 31 March 2028). The tenant renews the lease for another five years.

The spreading period of the second lease inducement payment is from 1 April 2023 (being the commencement date of the second renewal period) to 31 March 2028 (being the earliest following date on which the lease expires). Although the payment was made in January 2022, the landlord incurs the payment in relation to the second renewal period of the lease.

Examples from *Tax Information Bulletin* [1259-103](#) Vol 25, No 9, October 2013 at 28.

Where the expenditure is incurred before the end of the spreading period, the amount of the deduction is allocated proportionately on a monthly basis over the remainder of the spreading period. As in most cases the lease inducement payment will be paid before the commencement of the spreading period, the deduction for the payment will generally be spread over the entire spreading period. Note that even if the payment is made well before the spreading period commences, the deduction for the amount will be spread over the spreading period, and not when the amount is incurred. Where the expenditure is incurred at or after the end of the spreading period, then the amount is allocated to the income year in which it is incurred.

If the spreading period is more than 50 years, the amount is allocated evenly over the first 50 income years.

Exception to timing rule

If a person ceases to hold the relevant land right or the estate in land from which the land right is granted part way through the spreading period, an exception to the new timing rules applies, allowing for a “wash-up” calculation. For deductions, if there is a remaining amount to be allocated under the main spreading provision in s [EI 4B\(3\)](#), the amount of those deductions is allocated to an income year (the balance year) ending before the end of the spreading period if:

- # at the beginning of the balance year, either or both the land right and the estate in land from which the land right is granted are held by the person or an associated person, and
- # at the end of the balance year, neither of the land right and the estate in land from which the land right is granted are held by the person or an associated person (s [EI 4B\(5\)](#)).

Note that if the land right or the estate in land from which the land right is granted is transferred to an associated person, no “wash-up” calculation for deductions is allowed. The remaining amount of deductions continues to be allocated over the spreading period under s [EI 4B\(3\)](#). This ensures the timing of deductions cannot be accelerated by transferring the land right or the estate in land from which the land right is granted to an associated person.

A “wash-up” calculation does exist for landlords (that is, lessors and sub-lessors) under s [EI 4B\(5B\)](#). This allows landlords to receive the balance of deductions for a lease inducement payment if the lease is terminated early.

Lease surrender payments

Section [DB 20C](#) provides that lease surrender payments are deductible to a person (the payer) if the following conditions are met:

- # the payer incurs an amount of expenditure as consideration for the agreement by another person (the payee) to the surrender or termination of a right (the land right) that is a leasehold estate not including a perpetual right of renewal (eg Glasgow-type leases) or is a licence to use land
- # the payer is a person who owns the land right or a person who owns the estate in land from which the land right is granted, and
- # the payee is a person who owns the estate in land from which the land right is granted, or a person who owns the land right.

Section [DB 20C](#) overrides the capital limitation in s [DA 2\(1\)](#). The general permission in s [DA 1](#) must still be satisfied and the other general limitations in s [DA 2](#) still apply.

There is no specific timing rule for lease surrender payments. Therefore, the general provisions of the IT07 apply, meaning lease surrender payments will be deductible in the income year in which they are incurred.

Lessee's covenant to repair damages

A lessee may be allowed a deduction under s [DB 21](#) for any amount paid to the lessor for a failure to observe a covenant in the lease to maintain or repair improvements on the land. The deduction allowed is to the extent that a deduction would have been available for the maintenance or repairs if the lessee had observed the covenant. The deduction is allowed in the year of payment or one or more of the prior three income years. See s [EJ 11](#).

Lessor's repair expenses

A lessor who receives compensation for a tenant's breach of a covenant to maintain or repair the premises after leasing has ceased may be allowed a deduction under s [DB 22](#) for expenditure of a revenue nature on maintenance or the repair of improvements. The effect is that assessment of the compensation receipt will be reduced to the extent that it is applied to meet restoration costs of a revenue nature.

Law: IT07 ss [DB 18](#), [DB 20B](#), [DB 20C](#), [DB 21](#), [DB 22](#), [EI 4B](#), [EJ 11](#)

Last reviewed on 31 December 2025

Deductibility of lease payments — operating leases [¶10-675]

[¶10-675]

[Click to open document in a browser](#)

Leases entered into on or after 20 May 1999 that are not finance leases are known as operating leases.

Deduction to lessee under operating lease

The lessee under a lease for personal property entered into on or after 20 May 1999 that is not a finance lease, a specified lease or an operating lease to which s [EJ 10B](#) applies is entitled to a deduction for lease payments made under the lease. The allowable deduction is calculated in accordance with s [EJ 10](#).

Example:

On 1 October 2012, TP Ltd entered into a 5-year lease agreement for an item of plant. The lease provided for an immediate deposit of \$10,000 and thereafter monthly payments of \$420.36, so that total rent payments under the lease were \$35,222. The deduction available for the lease payments during the term of the lease would be calculated applying the following formula:

$$(\text{part of lease term within income year} \div \text{lease term}) \times \text{sum of lease payment}$$

		\$
31 March 2013	$6/60 \times \$35,222 =$	3,522.20
31 March 2014	$12/60 \times \$35,222 =$	7,044.40
31 March 2015	$12/60 \times \$35,222 =$	7,044.40
31 March 2016	$12/60 \times \$35,222 =$	7,044.40
31 March 2017	$12/60 \times \$35,222 =$	7,044.40
31 March 2018	$6/60 \times \$35,222 =$	<u>3,522.20</u>
Total lease payments		<u>35,222.00</u>

Special depreciation rules applied for operating leases entered into before 20 June 2007 that were re-classified as finance leases under the overseas lease rules — see [¶16-700](#).

IFRS leases

For income years starting on or after 1 January 2019, the previous accounting standard for leases, New Zealand Equivalent to International Accounting Standard 17 Leases (NZ IAS 17) has been replaced with New Zealand Equivalent to International Financial Reporting Standard 16 Leases (NZ IFRS 16). As a result, in March 2021 retrospective changes were made to the IT07 to allow taxpayers who apply NZ IFRS 16 to more closely follow their accounting treatment of leases for tax purposes.

Under NZ IAS 17, there was a difference in the accounting treatment for operating and finance leases for both lessors and lessees. For lessees, NZ IFRS 16 removes the distinction between operating and finance leases for accounting purposes. Under NZ IFRS 16, lessees are required to include all leases on their balance sheet by recognising both an asset, being the right to use the leased asset for the lease term, and a lease liability, representing the obligation to pay rentals. NZ IFRS 16 also changes the timing of accounting for expenditure for lessees compared to the previous treatment, but total deductions are unchanged over the life of the lease.

The changes made to the IT07 allow lessees who use NZ IFRS 16 to follow their accounting treatment for tax. Taxpayers can choose to apply the new rules on a lease-by-lease basis. However, once a taxpayer chooses to follow the NZ IFRS 16 tax approach for a particular lease, they must continue to do so for the life of the lease.

Income and expenditure arising from an IFRS lease is calculated under s [EJ 10B](#). Expenditure is deductible under s [DB 51C](#) and income is assessable under s [CC 14](#). Most amounts calculated under s [EJ 10B](#) are expected to be expenditure, but income can arise in some circumstances, such as when an impairment adjustment from a previous year is reversed through profit and loss for accounting purposes. Note that a de minimis provision applies in certain circumstances.

Section [EJ 10B](#) applies to a person's operating lease of a personal property lease asset (the IFRS lease), if:

- # the person, as lessee, uses NZ IFRS 16 in their financial statements for the IFRS lease
- # the person irrevocably chooses to use the section for the IFRS lease
- # the lessor and the person are not associated, and
- # the asset is not subleased to another person.

Adjustments and deductions

NZ IFRS 16 spreads certain lease expenditure, including provisions, in a way that results in the timing of recognition of this expenditure for accounting purposes being significantly different to when it would be incurred for tax purposes. Sections [EJ 10B\(3\)](#) to (5) require adjustments to ensure this expenditure is deductible for tax at a similar time to when it would be deductible for a taxpayer not applying NZ IFRS 16 for tax. The formula is set out in s [EJ 10B\(3\)](#) as follows:

$$\text{accounting amount} - \text{add-back adjustment} + \text{impairment and revaluation adjustment} - \text{make-good and direct costs adjustment}$$

where:

accounting amount is the total amount recognised by the person through their profit and loss account for the IFRS lease for the income year, if the amount is in accordance with NZ IFRS 16

add-back adjustment is the total amount of the following accounting measures arising in the income year used by the person in accordance with IFRS through their profit and loss account for the income year:

impairment of the lease asset described in paragraph 33 of NZ IFRS 16

revaluation or impairment of the lease asset described in paragraph 35 of NZ IFRS 16

impairment and revaluation adjustment is the total of the add-back adjustment for any income year spread proportionally on a daily basis over the remaining income years of the lease term

make-good and direct costs adjustment is the total amount of the following accounting measures spread proportionally on a daily basis over the remaining income years of the lease term:

make-good costs for the lease described in paragraph 24(d) of NZ IFRS 16

direct costs for the lease described in paragraph 24(c) of NZ IFRS 16, if the person chooses to apply this subparagraph.

Where the amount calculated under the formula is a positive amount, the person is allowed a deduction for that amount. If the amount under the formula is a negative amount, the person has income of that amount. See s [EJ 10B\(3\)](#).

The person, as lessee, is allowed a deduction for the IFRS lease for the make-good costs and the direct costs (as described in the above definition) for the income year that they incur the costs (s [EJ 10B\(5\)](#)).

Wash-up calculation when IFRS lease ends

When an IFRS lease ends, either because the lease itself ends or because it no longer qualifies to be an IFRS lease, ss [EJ 10B\(6\)](#) and (7) require a wash-up to ensure that total deductions over the term of the lease match those that would have been deductible for a taxpayer not applying NZ IFRS 16 for tax. The formula for the wash-up is set out in s [EJ 10B\(6\)](#) as follows:

$$\text{IFRS deductions} - \text{IFRS income} - \text{expenditure}$$

where:

IFRS deductions is the total amount deducted for the IFRS lease for all income years, including when the person has not applied s [EJ 10B](#)

IFRS income is the total amount of income for the IFRS lease for all income years, including when the person has not applied s [EJ 10B](#)

expenditure is the amount of expenditure for the IFRS lease for all income years, ignoring s [EJ 10B](#).

The person, as lessee, has a deduction for a positive amount under the formula or income for a negative amount. The deduction or income is for the income year in which the IFRS lease ends or fails to qualify as an IFRS lease.

Transitional adjustment

Sections [EJ 10B\(8\)](#) and (9) include transitional adjustments for certain leases when NZ IFRS 16 applies for tax after the original start of the lease. This can arise in the year a taxpayer first chooses to retrospectively apply NZ IFRS 16 for tax, or in a later year for an individual lease that did not meet the IFRS lease requirements but subsequently does. The person's deduction (for a positive amount) or income (for a negative amount) calculated under the following formula is spread in equal proportions over the income year and the following 4 income years:

retrospective accounting expenditure – retrospective tax adjustments – previous tax deductions

where:

retrospective accounting expenditure is the total amount of expenditure or loss recognised under NZ IFRS 16 for the IFRS lease, if the amount is in accordance with NZ IFRS 16

retrospective tax adjustments is the total amount of the add-back adjustment, impairment and revaluation adjustment, make-good and direct costs adjustment, and deductions for make-good costs and direct costs (as discussed above), treating the adjustments and deductions as if they applied for the income years

previous tax deductions is the total amount of deductions not in accordance with NZ IFRS 16 and not provided by s [EJ 10B](#), for the income years that the person has applied NZ IFRS 16 retrospectively for the IFRS lease or has not applied this section for the IFRS lease while they have applied NZ IFRS 16 for it.

De minimis

To reduce compliance costs, the adjustments calculation in s [EJ 10B\(3\)](#) is not required for certain shorter-term and lower-value leases.

The de minimis rule applies if the initial right of use asset under NZ IFRS 16 is \$100,000 or less and the remaining term of the IFRS lease under NZ IFRS 16 is 4 years or less initially and immediately after any extension starts. In that case, as lessee, the person is allowed a deduction (for a positive amount) or has income (for a negative amount) for the total amount recognised by the person through their profit and loss account for the IFRS lease for the income year. This is provided the amount is in accordance with NZ IFRS 16.

Law: IT07 ss [CC 14](#), [DB 51C](#), [EJ 10](#), [EJ 10B](#), [YA 1](#) (“NZ IFRS 16”, “lease”, “operating lease”, “personal property lease asset”)

Last reviewed on 31 December 2025

Deductibility of legal expenses [¶10-680]

[¶10-680]

[Click to open document in a browser](#)

Under s [DB 62](#), a person can deduct business-related legal expenditure when their total legal expenses incurred in an income year are \$10,000 or less. The section specifically overrides the capital limitation, but the general permission must still be satisfied and the other general limitations (such as the private limitation) still apply. For the purposes of this provision, legal expenses are fees for legal services rendered by a person who holds a practising certificate issued by the New Zealand Law Society or an Australian equivalent only. If the legal expenses do not meet this definition or the total legal expenses for the income year exceed \$10,000, then the ordinary rules relating to deductibility of legal expenses apply.

Other specific provisions may authorise the deduction of certain legal expenses incurred by a business. Examples are the provisions allowing a deduction for borrowing costs, lease preparation expenses and tax return expenses. Outside of the specific provisions, the question usually will be whether the expenses are allowed as a deduction under the general permission and not excluded from deduction by the capital limitation.

The limited deduction in s [DB 62](#) is an exception to the capital limitation. Ordinarily the capital limitation can be expected to apply to prevent the deduction of the legal expenses of a business. Lawyers are often retained to assist in transactions involving the acquisition or disposal of significant business assets. The character of a transaction of that kind for the business can be expected to confer a capital complexion on the legal fees incurred by the client.

It is also the case that a business may retain a lawyer to assist with activities that are part of normal business operations. Examples may be lawyers retained to advise on contracts with customers and employees, to advise on applicable statutory regulatory regimes and to assist with the collection of debts. The context of the conduct of usual trading activities suggests that the legal expenses may have the character of expenditure of a revenue nature.

Case examples of deductions allowed for legal expenses

Case examples that have allowed a deduction for the legal expenses incurred by a business include legal fees on the following matters:

- # recovery of loss of profits for the supply of defective plant (but not compensation for the plant itself): *Omihi Lime Co Ltd v C of IR* [1964] NZLR 731
- # contesting competitors' patent applications conflicting with the taxpayer's own patent: *C of IR v Murray Equipment Ltd* [1966] NZLR 360
- # protection of the trade secrets of the business: *FC of T v Consolidated Fertilisers Ltd* [91 ATC 4677](#)
- # opposition to the extension of a competitor's patent: *Hallstroms Pty Ltd v FC of T* [\(1946\) 72 CLR 634](#)
- # defending an allegation of an infringement of copyright: *Central Broadcasters Ltd v FC of T* (1934) 2 ATD 434
- # proceedings involving a moneylender that alleged a breach of a moneylending contract: *IT Commrs (Bihar and Orissa) v Singh* [1942] 1 All ER 362
- # proceedings to defend proposed amendments to the company's charter (constitution) to enhance the ability to borrow: *Commrs of IR v Carron Co* (1968) 45 TC 18
- # defending criminal charges, brought against the company's directors, alleging that the company's selling methods resulted in the payment of secret commissions: *Magna Alloys & Research Pty Ltd v FC of T* [80 ATC 4542](#)
- # defending libel claims brought against a newspaper publisher: *Herald and Weekly Times Ltd v FC of T* [\(1932\) 48 CLR 113](#)
- # a professional director defending allegations of negligence and breach of duty: *Cox v C of IR* [\(1992\) 14 NZTC 9,164](#)

- # a stockbroker defending an alleged breach of stock exchange regulations in professional disciplinary proceedings: *McKnight (HMIT) v Sheppard* [1999] BTC 236
- # an accountant defending an allegation of conspiracy to defraud the government: *Putnin v FC of T* 91 ATC 4087
- # obtaining advice on whether goods had been imported in breach of Customs legislation: *Nicholas Nathan Ltd v C of IR* (1989) 11 NZTC 6,213
- # defending title to a company asset in opposition to a claimant with no title: *Southern v Borax Consolidated Ltd* (1940) 23 TC 597
- # a medical practitioner defending criminal proceedings alleging the obtaining of property by deception in the course of conduct of the practice: *Elberg v FC of T* 98 ATC 4454
- # arbitration proceedings following attempts to forcibly retire the taxpayer as a partner in a legal practice: *Creer v FC of T* 94 ATC 4454
- # repurchase of the interests of retiring partners withdrawing from a property development syndicate: *Sarich v FC of T* 78 ATC 4646.

Commissioner's practice

The Commissioner's practice is to allow a deduction for legal expenses incurred in connection with the following matters:

- # expenses of defending breaches of the law committed by an employee
- # costs of removing an obstacle to trading or safeguarding or preserving an existing business
- # costs incurred in attempting to recover any sum which would be assessable income if received (eg collection of book debts)
- # expenses incurred in attempting to abate expenditure that would be deductible
- # expenses incurred by an employee while "on the job" for infringement of traffic or other regulations unless the employer is implicated in the illegal acts of the employee or the employee was not engaged in carrying on the lawful business of the employer, and
- # costs incurred in appointing company directors and the company's legal advisers.

Case examples of deductions disallowed for legal expenses

Case examples that have not allowed a deduction for the legal costs incurred by a business include the following:

- # proceedings to contest the imposition of dumping duty following the importation of a tugboat: *Auckland Harbour Board v C of IR* (1998) 18 NZTC 13,826
- # proceedings commenced against a local authority and a competitor in relation to a contract awarded by the authority that would have created a new and significant revenue stream: *C of IR v Fullers Bay of Islands Ltd* (2004) 21 NZTC 18,834. The decision of the High Court was affirmed by the Court of Appeal in *Fullers Bay of Islands Ltd v C of IR* (2006) 22 NZTC 19,716
- # proceedings by a service station operator to prevent an oil company terminating the operator's lease and supply agreement for petroleum products: *W Wehbe Pty Ltd v FC of T* 93 ATC 5015
- # proceedings disputing the closure of uneconomic branches of the business: *Foley Bros Pty Ltd v FC of T* (1965) 13 ATD 562
- # takeover proceedings against a competitor also seeking to acquire the shares of a third company: *John Fairfax and Sons Pty Ltd v FC of T* (1959) 101 CLR 30
- # settlement of a dispute concerning profit entitlements from a business: *IR Commrs v Appuhamy* [1963] 1 All ER 69
- # proceedings to contest the issue of a business licence to a competitor: *Broken Hill Theatres Pty Ltd v FC of T* (1952) 85 CLR 423
- # proceedings instituted by a pharmaceutical company seeking to prevent competitors obtaining approval to market competing products: *Smithkline Beecham Laboratories (Australia) Ltd v FC of T* 93 ATC 4629

- # a farmer resisting compulsory acquisition of the farm property and disputing the amount of compensation: *Pye v FC of T* (1959) 12 ATD 118
- # obtaining resource consent for the relocation of a farm machinery business: Case T53 [\(1998\) 18 NZTC 8,404](#)
- # proceedings taken by a taxpayer in respect of a derivative action: Case 13/2016 [\(2016\) 27 NZTC ¶3-035](#).

Commissioner's practice

The Commissioner has indicated that no deduction is allowed for legal expenses incurred in connection with the following matters:

- # expenses incurred in the sale of a business (although any cost incurred in connection with valuing the trading stock may be deductible)
- # expenses incurred in incorporating or liquidating a company (this also includes costs incurred in altering the capital structure of a company)
- # the cost of drawing up a partnership deed or deed of trust, and
- # the cost of settling any dispute between the partners.

Law: IT07 s [DB 62](#)

Last reviewed on 31 December 2025

Deductibility of management fees [¶10-690]

[¶10-690]

[Click to open document in a browser](#)

The tests for determining deductibility of management fees paid by members of group companies are clarified by the High Court decision of *Lockwood Buildings Ltd v C of IR* (1996) 17 NZTC 12,483. The case concerned the payment of a management fee by a subsidiary to its holding company for managerial services. Part of the fee related to costs incurred by the holding company for a feasibility study relating to investment in the forestry industry. The costs were then recharged to the subsidiary as part of the management fee. It was this portion of the management fee that the Commissioner sought to deny on the grounds that it related to capital expenditure incurred by the parent.

Williams J found that on the facts of the case the management fee was deductible in full. In reaching his decision, Williams J gave emphasis to the following points.

First, in deciding whether the fees were deductible, it was necessary to look at the payment from the payer's point of view. The management fees in this case were deductible to the subsidiary under ordinary principles, irrespective of the nature of the expenditure incurred by the parent in providing the services. Williams J further held that the relationship between the parties was of no consequence. In this instance the subsidiary paid one lump sum for management services each year and it was immaterial to the subsidiary how the fee was comprised provided it obtained the services required to operate.

Secondly, it then became a question of fact whether the payment was actually capital in nature. On the facts in this case it was held that the management fee was deductible, being paid on revenue account. The following factors were significant in coming to this conclusion:

- # the subsidiary had divested itself of any ability to manage its operations, preferring to acquire those services from an independent source, in this particular case the parent company
- # an annual lump sum payment for all services provided was paid by the subsidiary and was not apportioned in any way
- # no enduring benefit accrued to the subsidiary from the payment of the fee, and
- # the subsidiary acquired no assets in paying the amount.

Naturally, the deductibility of management fees will also require that they are genuine and, in most cases, fully documented.

The TRA decision in Case 10/2015 (2015) 27 NZTC ¶3-009 provides an example of a situation where the fees were not fully documented and were held not to be genuine. In that case, the TRA concluded that there was no evidence that any management services were in fact supplied. There was no record of services provided and the fee was not fixed by reference to costs incurred but simply by reference to the Trust's total income. The TRA disallowed the deduction for the management fee because there was an insufficient nexus between the management fee and the gaining or producing of the trust's assessable income or the carrying on of its business. In the circumstances, the TRA also concluded that the arrangement was a tax avoidance arrangement. The TRA decision was upheld by the High Court and the Court of Appeal in *Honk Land Trustees Ltd v C of IR* (2016) 27 NZTC ¶22-055 (HC) and (2017) 28 NZTC ¶23-006 (CA).

Last reviewed on 31 December 2025

Deduction for Maori authority donation [¶10-700]

[¶10-700]

[Click to open document in a browser](#)

A Māori authority is allowed a deduction for donations made to a Māori association or gifts of money made to a donee organisation, ie an organisation that has charitable status. The deduction for the total amount of donations in an income year is limited to the amount of the Māori authority's net income for the corresponding tax year, calculated before the deduction is taken into account.

A deduction is denied to the extent to which the amount is, for the Māori authority, an asset disposed of by a deregistered charity to another charity within 12 months of deregistration.

Law: IT07 s [DV 12](#)

Last reviewed on 31 December 2025

Deductibility of motor vehicle expenses [¶10-710]

[¶10-710]

[Click to open document in a browser](#)

Subpart [DE](#) sets out the rules for determining the proportion of business use of a motor vehicle to its total use when a person uses a motor vehicle partly for business purposes and partly for other purposes. The subpart does not apply to a company (other than certain close companies) or a person whose only income is income from employment (s [DE 1](#)). The provisions of subpt [DE](#) outline 4 methods — the default method, actual records, logbook and the kilometre rate method — to ascertain the deduction allowed for the motor vehicle expenses of a self-employed person, such as a sole trader or partner. They endeavour to isolate the component not allowed as a deduction because of the private limitation. Application of the private limitation to motor vehicles expenses is particularly relevant, because travel between home and work is generally classified as private and not income-producing travel. See *FC of T v Payne* [2001 ATC 4027](#), where an airline pilot was not allowed to deduct the cost of travel between home and the airport, even though home was also a farming property. Income from the farm was separate from the income earned from flying, so that travel between the farm and the airport was not travel “on work”.

Subpart [DE](#) is intended to limit deductions of motor vehicle expenditure to the “business proportion” of the expenditure for self-employed taxpayers and partners in partnerships. See a full discussion in interpretation statement [IS 25/01](#), “Income tax – deducting costs of travel by motor vehicle between home and work”. Some close companies can choose to apply the subpart instead of the FBT rules (see below).

Generally, companies are permitted to deduct motor vehicle expenditure after meeting the criteria in the general permission ([¶10-021](#)) and none of the general limitations ([¶10-071](#)) apply. For these companies there is no requirement to consider the specific deductions under subpt [DE](#). To understand the difference between the apportionment rules under the general permission and apportionment under subpt [DE](#), see [90] to [99] of interpretation statement [IS 25/01](#). Application of subpt [DE](#) rules can be summarised by Figure 3 in [IS 25/01](#).

Costs method or kilometre rate method

Subpart [DE](#) provides that a person can choose to calculate the allowable deduction under either the “costs method” or the “kilometre rate method” (s [DE 2\(1B\)](#)). The “costs method” encompasses a deduction for expenditure and depreciation loss based on the proportion of business use of the motor vehicle. This business proportion is calculated using one of the methods available — the default method, actual records or a logbook. The “kilometre rate method” calculates the deduction under a formula that uses standard rates, rather than actual costs, and can be used regardless of the kilometres travelled (s [DE 12](#)). If a taxpayer does not elect to use the kilometre rate method, they are treated as making an election to use the costs method (s [DE 2B](#)).

Application to close companies

Subpart [DE](#) applies to certain close companies in relation to the provision of motor vehicle benefits to shareholder-employees. The subpart only applies to close companies where the total fringe benefits provided to all employees are one or 2 motor vehicles and the close company elects to use the methods in subpt [DE](#) to measure the business use of the motor vehicle by its shareholder-employee, rather than the FBT rules.

Business use of the motor vehicle by the shareholder-employee is treated as business use by the close company. The close company can use the proportion of business use by the shareholder-employee to calculate the amount of the company’s deduction for motor vehicle expenditure. A deduction is also available for interest on amounts used to fund, directly or indirectly, expenditure incurred for the business use of a motor vehicle.

When a close company uses this option and transfers the value of the private non-deductible portion of the motor vehicle expenditure to the shareholder-employee (for example, by debiting their shareholder current account), the value of the private use of the motor vehicle by the shareholder-employee will not be a dividend.

In some circumstances a GST adjustment may be required to reflect any difference between the actual proportions of business and private use of the motor vehicle and the intended proportions of business and private use of the motor vehicle.

Costs method

The available methods under the costs method heading are the default method, actual records or a logbook. One of these methods will apply if the person has not elected to use the kilometre rate method.

Default method

The default method applies when a person has not maintained actual records and does not have a logbook. Under the default method, the deduction allowed for a year's motor vehicle expenses is the lesser of:

- # the proportion of total expenses that is commensurate with the proportion that business travel bears to total travel, or
- # 25% of total expenses.

Actual records

Actual records may be kept of every journey on business, and a deduction claimed for so much of the year's total expenses that are commensurate with the proportion of business travel to total travel.

Logbook method

A logbook may be kept for a test period of 90 days, and the proportions of business/private travel recorded in the logbook become the basis of calculating the deduction allowed for that year and the next three years. At the end of that period, a fresh test period would need to be undertaken. The Commissioner can require the creation of a new logbook if it is considered that the existing one is not representative of business travel.

Kilometre rate method

Under the kilometre rate method, taxpayers deduct a fixed amount per kilometre travelled for business purposes based on rates published by IR. This is instead of deducting any actual costs. The rates are:

- # set by reference to industry figures, and based on the average per kilometre cost for the average vehicle
- # divided into 2 tiers. The first tier provides for the recovery of both the vehicle's fixed costs and its per kilometre costs. The second tier provides for the recovery of the per kilometre costs only (as the fixed costs of vehicle ownership would be over-deducted with increasing usage if a single fixed rate were used)
- # published by IR and updated each year to ensure the rates are accurate.

The first tier of rates applies to the total distance travelled (including for both business and personal purposes) up to a specified limit. To calculate the deduction for this tier, taxpayers multiply the total kilometres travelled (to which the first tier applies) by the proportion of business use for the vehicle and the income year (calculated under one of the costs methods discussed above). The product of that calculation is then multiplied by the rate for the first tier to produce the deductible amount.

The calculation is repeated for the second tier of rates. That is, the total kilometres travelled (to which the second tier of rates applies) is multiplied by the proportion of business use for the vehicle and the income year. The product of this calculation is then multiplied by the rate for the second tier to give the deductible

amount. The deductible amounts for the first and second tiers of rates are then added together to determine the taxpayer's total deduction for their business use of the vehicle.

Operational statements on using the kilometre rate method

Operational statement [OS 19/04a](#) "Commissioner's statement on using a kilometre rate for business running of a motor vehicle – deductions" explains how the kilometre rates are to be applied when dealing with deductions for business use of a motor vehicle and is discussed below. [OS 19/04b](#) "Commissioner's statement on using a kilometre rate for employee reimbursement of a motor vehicle" deals with the reimbursement of expenditure incurred by an employee where the employee uses their private motor vehicle in the employer's business and is discussed at [13-445](#).

OS 19/04 (KM 2025)

In May 2025, the Commissioner released the following table of rates for the 2024–25 income year in [OS 19/04](#) (KM 2025):

Vehicle type	Tier One rate	Tier Two rate
Petrol	\$1.17	37 cents
Diesel	\$1.26	35 cents
Petrol Hybrid	\$0.86	21 cents
Electric	\$1.08	19 cents

The Tier One rate applies for the business portion of the first 14,000 kms travelled by the vehicle in a year. The Tier One rate increase reflects that increase in fuel costs for the 2025 income year. The Tier Two rate applies for the business portion of any travel in excess of 14,000 kms. The Tier Two rate is for running costs only. Taxpayers should use the Tier Two rate for the business portion of any travel over 14,000 kms in a year. All other aspects of the calculation remain as directed in [OS 19/04a](#).

Taxpayers can elect to use the kilometre rate method on a per vehicle basis. However, any election must be made when the tax return is filed for the year in which the vehicle is acquired or they first start using the vehicle for business purposes. The election is irrevocable, so taxpayers cannot switch between methods for the same vehicle, although they may apply different methods to different vehicles. If a taxpayer does not elect to use the kilometre rate method, they are treated as making an election to use the costs method (s [DE 2B](#)).

There is no depreciation deduction or recovery of depreciation where a taxpayer has elected to use the kilometre rate method for a vehicle.

Example: Greater than 14,000 km travelled — logbook maintained

The taxpayer uses their petrol car for both business and private purposes. The previous logbook test period calculates that 60% of the travel is for business purposes. The car travelled a total of 20,000 km for the 2023–24 income year.

Deduction:

Tier One — $14,000 \times \$1.04 \times 60\% = \$8,736.00$

Tier Two — $6,000 \times \$0.35 \times 60\% = \$1,260.00$

Total deduction \$9,996

Distinguishing between business and private travel

Generally, the courts have viewed travel between work and home as private use. There are 4 exceptions recognised by the courts. The Commissioner addressed the topic of the distinction between business and

private travel in an interpretation statement, [IS 25/01](#), “Income tax – deducting costs of travel by motor vehicle between home and work”. The statement expresses the view that travel is business and not private travel in the following circumstances:

- # where a vehicle is essential for transport of goods or equipment necessary for the performance of income-earning activities at the home and elsewhere, for example, a musician transporting his own instruments
- # where the taxpayer carries on an itinerant occupation so that the home is the taxpayer’s base of operations
- # where the taxpayer is required to be accessible at the home for employment duties and is required to undertake travel in response to emergency calls, and
- # where the travel is for work purposes between two related workplaces, one of which is also the taxpayer’s home.

The interpretation statement also addresses the situation in which a journey undertaken for business purposes that includes a deviation of no significant distance for a private reason would be classified as business travel. The comment is made that any additional distance travelled for a private reason in the course of a journey undertaken for business purposes must be insignificant in comparison with the total journey. As a guideline, the statement says that private travel that does not exceed both of the following would be a minor or insignificant private journey (de minimis private use):

- # approximately 5% of the journey, and
- # approximately 2 kilometres.

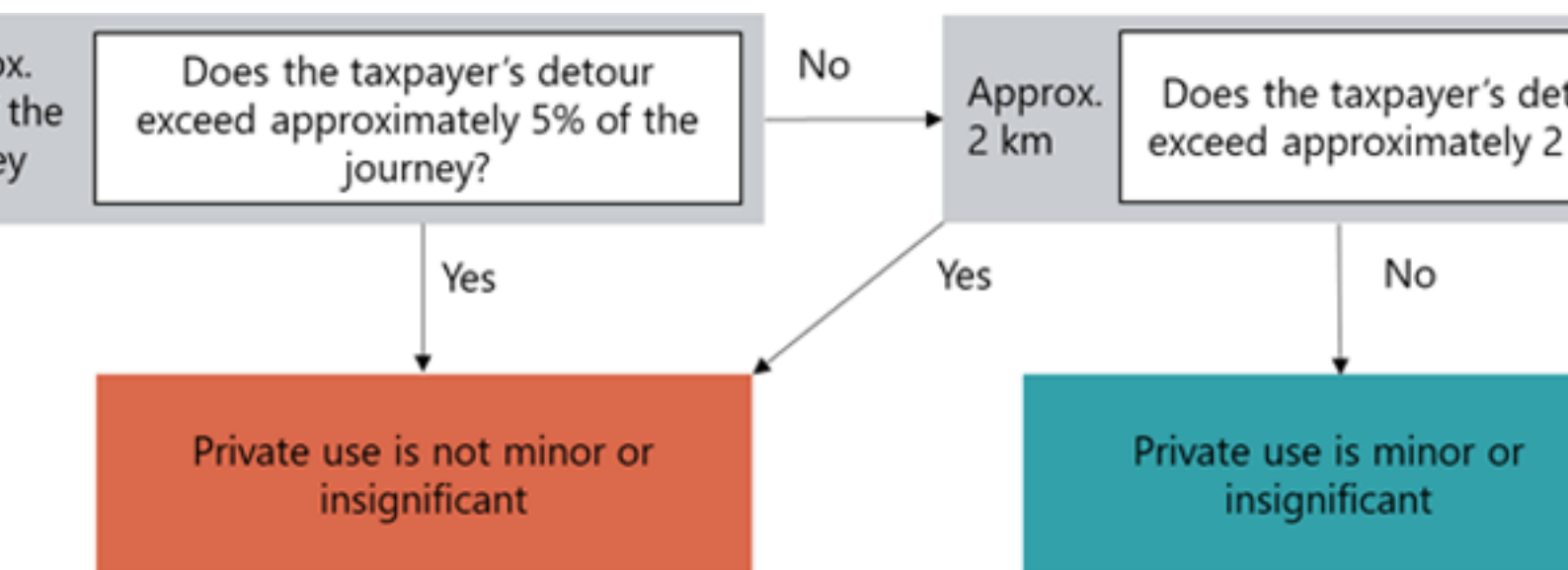
To illustrate this view, the statement gives the following example:

Example:

A taxpayer is a self-employed plumber whose home is their base of operations. Their travel between home and work is not private travel because they are within the itinerant work case law exception. The taxpayer goes to the gym on their way home at the end of the day. The stop at the gym involves the taxpayer travelling an alternative route from the last job of the day to their home workplace that adds 1 km to the journey. The total journey is 17 km. In this case, the taxpayer’s 1 km detour is 5.88% of the journey. The Commissioner considers this would meet the requirement that the taxpayer’s private use does not exceed “approximately 5% of the journey”. The detour to the gym also meets the requirement that it must not exceed “approximately 2 km”. The detour to the gym is minor or insignificant private use and the journey is a business journey.

Minor or insignificant use

The statement contains the following diagram to assist in the understanding of the Commissioner’s view of minor or insignificant private use:



The statement also recognises that in some cases travel involving an intermediate stop between 2 points could be 2 journeys rather than a single journey. Whether this is so depends on what the real purpose of the journey is and whether the intermediate stop is incidental to the entire journey: a taxpayer who travels to the office in order to carry out substantive business activities and then travels to another place for business purposes, would undertake two journeys. On the assumption that travel between the taxpayer's home and work is private travel, the first journey would be private.

Example:

A taxpayer has 2 workplaces. One workplace (C) is situated 10 km from the taxpayer's home. The other workplace (D) is only 5 km from the taxpayer's home. Usually, the taxpayer travels from their home to C each morning. Sometimes, the taxpayer travels from C to D during the day to meet with staff at D. One day the taxpayer travels to C and completes a morning's work there. The taxpayer then travels to D and holds meetings with staff there in the afternoon. The taxpayer travels from D to their home at the end of the business day. The travel from the taxpayer's home to C in the morning is a private journey for the taxpayer. The travel between C and the taxpayer's home can be split into 2 journeys, because the intermediate stop at D is not incidental to the overall journey from C to the taxpayer's home. The travel from C to D is a business journey, and the travel from D to the taxpayer's home is a private journey.

The statement also expresses the view that travel for business purposes is not conferred merely because the vehicle is driven home for security reasons. In addition, the performance of incidental tasks such as picking up mail or newspapers or making a business call on the way to work would not make the trip business travel. This applies only if the travel between home and work is not itself business travel. The onus is on the taxpayer to show that substantive work was undertaken during the stop. Best practice would be to keep sufficient records to evidence that work was undertaken during the stop.

Operational statement on employer-provided travel

Operational statement [OS 19/05](#) "Employer-provided travel from home to a distant workplace — income tax (PAYE) and fringe benefit tax" clarifies and simplifies the tax rules for employer-related travel to distant workplaces. For the purposes of the statement, employer-provided travel means:

- # travel an employer organises
- # travel an employee organises but an employer pays for
- # travel an employer reimburses an employee for, or
- # an allowance paid to an employee by their employer that is paid to cover the cost of travel to a distant workplace.

A distant workplace is defined as a workplace that is not within reasonable daily travelling distance of the employee's home.

An employer "providing" the employee's travel includes paying for it directly or indirectly, including by way of a reimbursement or an allowance.

The cost of home-to-work travel is generally private expenditure as it is incurred so an employee can get to work. As this expenditure is usually private, if the employer provides the employee's travel from home to work, the starting point is that it is taxable. If an allowance or a reimbursement is taxable for income tax purposes, then the employer must deduct and pay PAYE in relation to that payment. This is because the allowance or reimbursing payment would be "salary or wages" under the PAYE rules.

The statement adopts the same approach as [IS 25/01](#) to the question of whether home-to-work travel is private expenditure, recognising the same 4 broad factual situations where travel between home and work is regarded as business or work-related travel. With regard to the need for the home to be a workplace, [OS 19/05](#) states:

"23. It is not sufficient to establish that the home **is or can be** a workplace. For expenditure to be deductible, the need for the work to be performed at the home, and, therefore, the need for the travel, must arise from the nature of the work and not from the personal choice or personal circumstances of the taxpayer.

24. In addition, the actual travel must be travel undertaken in the course of performing work (that is, the travel is "on work"). If that is the case, then the cost of that travel is not private expenditure of the employee; rather, it is expenditure that would be deductible if employees were not otherwise prevented from claiming deductions. This means the employer does not have to deduct PAYE in respect of the reimbursement or allowance, and the employee is not liable for income tax on the payments."

Where an employer provides travel from a person's home to their workplace (other than by way of a motor vehicle), the position is that this "benefit" amounts to a "fringe benefit" as it is an "unclassified benefit". The travel will be subject to FBT unless one of the exclusions apply. The Commissioner considers employer-provided travel from home to a distant workplace will be subject to FBT unless:

- # the need for the work to be performed partly at home (and, therefore, the need for the travel itself) arises from the nature of the work, and
- # the travel itself is actually "on work".

Inland Revenue's approach

In summary, IR's approach is that employer-provided travel from home to a distant workplace will be taxable (and subject to FBT or income tax) unless one of the following applies:

- # the travel is one-off or very occasional (de minimis applies)
- # the travel relates to a temporary posting or secondment (up to 2 years)
- # the employee also genuinely works at a hometown workplace (meaning they have 2 workplaces), or
- # the employee works from home on specified days (home being their place of work on those days) and the travel relates to one of those days.

The statement provides a number of examples that demonstrate how this approach applies.

Recognising that some taxpayers may need time to implement the approach set out above, the Commissioner does not expect taxpayers to apply the statement to travel taken before 1 April 2020, although they may choose to do so.

It is also acknowledged that to the extent there is an inconsistency between [OS 19/05](#) and [IS3448](#) (replaced by [IS 25/01](#)), the approach in [OS 19/05](#) is to be followed.

Law: IT07 ss [DE 1–DE 12](#), [YA 1](#) ("business use")

Last reviewed on 31 December 2025

Deductibility of motor vehicle expenses — dealers [¶10-720]

[¶10-720]

[Click to open document in a browser](#)

A motor vehicle dealer who purchases a vehicle, uses it for both business and private purposes and then sells has been the subject of a special ruling issued by IR in *Public Information Bulletin No 159*, February 1987. According to that ruling, a motor vehicle dealer may use the following formula to calculate deductible vehicle expenditure:

$$\begin{aligned}
 & [\text{vehicle expenses}] \div [\text{total vehicles owned in year}] = \left[\begin{array}{c} \text{average} \\ \text{expenses} \\ \text{per vehicle} \end{array} \right] \\
 & \left[\frac{\text{private running}}{\text{total running in vehicles used privately}} \right] \times \left[\begin{array}{c} \text{number of vehicles} \\ \text{used privately} \end{array} \right] \times \left[\begin{array}{c} \text{average} \\ \text{expenses} \\ \text{per vehicle} \end{array} \right] = \left[\begin{array}{c} \text{private} \\ \text{vehicle} \\ \text{expenses} \end{array} \right] \\
 & [\text{total vehicle expenses}] - \left[\begin{array}{c} \text{private vehicle expenses} \\ \text{(ascertained using} \\ \text{formula)} \end{array} \right] = \left[\begin{array}{c} \text{deductible} \\ \text{vehicle} \\ \text{expenses} \end{array} \right]
 \end{aligned}$$

Vehicle expenses in the first step include petrol and oil but not repairs, tyres and registration. Only those repairs and costs directly attributable to private running are included in the formula.

Note: However, note that IR has completed a review of the content of all Public Information Bulletins. In the course of this review, IR has identified those items that are no longer relevant and will not be republished. Other items have been updated and reprinted in a current Tax Information Bulletin. Additional items are still under review and IR has indicated that caution should be employed in relying on such items. The review indicates that IR's ruling on motor vehicle dealers does not have application and will not be republished. No updated view has been published by IR.

Last reviewed on 31 December 2025

Deductibility of offshore payments [¶10-730]

[¶10-730]

[Click to open document in a browser](#)

The Commissioner has wide powers to screen deductions claimed by taxpayers for payments or losses to overseas persons. If the Commissioner seeks further information about a claim and none is supplied within 90 days, the Commissioner may disallow the deduction wholly or partly and the deduction may not be raised by the taxpayer in subsequent objection proceedings. When a taxpayer alleges that a payment or loss was incurred to an overseas person (or their New Zealand agent), the Commissioner may issue an information requisition. This document requires the deduction to be justified by some further information, the production of documents or completion of a statutory declaration. It may be sent to the taxpayer or to any other person.

If a response is made to the requisition, whether by the taxpayer or other recipient, further evidential restrictions apply if there is an objection or challenge to the final tax assessment. The taxpayer is restricted to the evidence contained in, or referred to by, the response. Other evidence in the Commissioner's possession at the date of the requisition is also admissible if it can be verified. The Commissioner's power to adduce evidence on the Commissioner's own behalf remains unfettered.

Example:

The Commissioner applied for an order to exclude evidence, sought to be relied on by the plaintiffs in challenge proceedings, which had not been provided to the Commissioner by the plaintiffs as required by an information requisition. The High Court dismissed the Commissioner's application on the basis that the information requisition was not given in accordance with the requirements in s 14 of the Tax Administration Act 1994 for the giving of notices and was not valid. See *Hieber v C of IR; London Continental Ltd v C of IR* (2002) 20 NZTC 17,562. The decision regarding the effective service of notice was reversed in *Hieber v C of IR* (2002) 20 NZTC 17,774.

An information requisition given to an agent for a partnership or a partner in a partnership is deemed to be given by the Commissioner to every partner in the partnership. The legislation is silent on whether an information requisition given to one trustee is deemed to be given to all trustees. However, the High Court has held that there is no reason to distinguish between partners and trustees on this point and that it is sufficient for the information requisition to be given to one trustee. See *Hieber* (supra).

Law: TAA s [17F](#)

Last reviewed on 31 December 2025

Deductibility of costs related to patents and design registrations [¶10-750]

[¶10-750]

[Click to open document in a browser](#)

Costs incurred in the creation or purchase of a patent are subject to a deduction as a depreciation loss ([¶13-540](#)).

Outside of the deduction for a depreciation loss, a number of provisions address the deduction of expenses relating to patents.

Unsuccessful patent application

A deduction is allowed under s [DB 37](#) for costs incurred in an unsuccessful application for a patent. This is where the costs would have been classified as the cost of fixed life intangible property if the application had been granted, and provided the taxpayer is not allowed a deduction for the expenditure under another provision.

The section also allows a deduction where expenditure has been incurred by a taxpayer on an intended application for the grant of a patent that they decide not to lodge. Section [CG 7B](#) provides that deductions that have been taken for an aborted or unsuccessful application for the grant of a patent are clawed back as income if the taxpayer subsequently sells the abandoned application property or uses it in the lodging of a patent application. In the latter case, the clawed back amount is included in the cost of the intangible property to be depreciated over the life of the depreciable asset.

Unsuccessful design registrations

Section [DB 37](#) also allows deductions for expenditure on design registrations where the application was not lodged or was withdrawn. The deduction is allocated to the income year in which the taxpayer decides not to lodge the application, withdraws the application or is refused the grant of design registration. In addition, the claw back of income under s [CG 7B](#) applies to deductions taken for unsuccessful or withdrawn applications for design registration if the taxpayer subsequently sells or uses the property ([¶15-352](#)).

Patent acquired before 23 September 1997

A deduction is allowed under s [DB 36](#) for expenses on the grant, maintenance or extension of a patent that had been acquired before 23 September 1997. This is provided the patent is used to derive income in the year the expenditure is incurred.

In relation to a patent acquired after 22 September 1997, the general permission may allow a deduction for expenditure on, for example, maintenance of the patent. Other expenditure which is of a capital nature may give rise to a deduction by way of a depreciation loss.

Disposal of a patent

Upon the disposal of all patent rights, a deduction is allowed under s [DB 38](#) for the residue of any costs of devising the patent which have not already been allowed as a deduction. If only some of the rights are disposed of, a deduction is allowed for so much of the residue of undeducted costs that is commensurate with the proportion that disposal proceeds are of the market value of all of the patent rights.

Disposal of patent rights or applications acquired on or after 1 April 1993

A deduction is allowed under s [DB 40](#) for the cost of acquiring, on or after 1 April 1993, any patent rights or a patent application with a complete specification. The amount of the deduction is to be reduced by the component of the costs which have been allowed as a deduction by way of a depreciation loss. When determining the cost of the patent application or patent rights, any expenditure for which a deduction has been allowed under s [DZ 15](#) is excluded.

Section [DZ 15](#) allows a one-off deduction for any costs associated with a patent application that was lodged before 1 April 2005 but which was granted after that date. The deduction can be claimed in the income year in which the patent is granted. From the 2005–06 income year, depreciation deductions begin from the time a patent application with complete specification is made ([¶13-540](#)).

From the 2007–08 income year, income from the disposal of a patent application with complete specification or patent rights under s [CB 30](#) can be spread over 3 years ([¶15-222](#)). Interpretation statement [IS 17/05](#) “Income tax — treatment of New Zealand patents” discusses the income tax treatment of patents and provides examples of the operation of the provisions. The statement updates and replaces an earlier statement by updating legislative references, discussing legislative changes and recording a change of view by the Commissioner on the treatment of expenditure for underlying intangible items after asset recognition ([¶13-540](#)) and patent maintenance and renewal fees. The Commissioner’s opinion now is that patent maintenance and renewal fees are revenue in nature and deductible in the year they are incurred. This is mainly because of the recurrent nature of the fees, being payable on an annual basis in terms of the Patents Act 2013 (which differs from the less frequent payment structure under the Patents Act 1953).

Law: IT07 ss [CG 7B](#), [DB 36](#), [DB 37](#), [DB 38](#), [DB 40](#), [DZ 15](#)

Last reviewed on 31 December 2025

Deductibility of costs related to plant variety rights grant [¶10-760]

[¶10-760]

[Click to open document in a browser](#)

Section [DB 40BA](#) allows a taxpayer a deduction for capital expenditure they have incurred for the purpose of applying for the grant of plant variety rights, but they do not obtain the plant variety rights because the application is not lodged or is withdrawn, or because the grant is refused. The section applies where the expenditure would have been part of the cost of fixed life intangible property, or otherwise a deduction, if the application or intended application had been granted and it is not deductible under any other provision. A deduction under the new section will be allocated to the income year in which the taxpayer decides not to lodge the application, withdraws the application or is refused the grant of plant variety rights.

Section [CG 7B](#) provides that deductions that have been taken for an aborted or unsuccessful application for the grant of plant variety rights are clawed back as income if the taxpayer subsequently sells the abandoned application property or uses it in obtaining the grant of plant variety rights. In the latter case, the clawed back amount is included in the cost of the intangible property to be depreciated over the life of the depreciable asset.

Law: IT07 ss [CG 7B](#), [DB 40BA](#)

Last reviewed on 31 December 2025

Deductibility of rates [¶10-800]

[¶10-800]

[Click to open document in a browser](#)

Rates payable in relation to land used as part of business activities can be expected to be allowed as a deduction. The rates may be viewed as a working expense of the business.

Note that a deduction for rates payable in relation to land that falls within the mixed-use asset rules in subpt [DG](#) (land used partly for business use and partly for private use that is also unused for a period during the year) will be subject to apportionment under those rules ([¶10-035](#)).

Rates may continue to be allowed as a deduction, even though the taxpayer may no longer employ the property in mainstream business activities. Rates and taxes were allowed as a deduction in full in relation to land once used for farming purposes but latterly leased for grazing purposes to defray expenses. The land remained part of the income-earning structure of the business despite the change in use. See *New Zealand Co-operative Dairy Co Ltd v C of IR* ([1990](#)) [12 NZTC 7,128](#).

The opposite conclusion was reached in *de Pelichet McLeod and Co Ltd v C of IR* ([1982](#)) [5 NZTC 61,216](#). This was in relation to a stock and station business which used part of its land holdings to grow crops, hold stock overnight, store materials and for leasing. The Court of Appeal thought that the land was not used in any substantial way in connection with the business. The Court did not explain in any detail why a deduction is allowed only if the land is used in a “substantial” way for business purposes. It is generally accepted that it is not for the Commissioner or a court to say how much a trader ought to spend in obtaining his income ([¶10-021](#)).

If the property is sold, the invariable practice is to make an apportionment of the year’s rates up until settlement. The rates accrued to settlement continue to be allowed as a deduction despite the sale. See *FC of T v Morgan* ([1961](#)) [106 CLR 517](#).

The timing of the deduction for rates may raise issues. The Commissioner’s practice may be illustrated by reference to an example.

Example:

Rates may have partly accrued at balance date, yet that part may not be payable until some time after balance date. In this instance the Commissioner would allow a deduction for the amount of rates accrued at balance date. TP Ltd has a balance date for 31 January, but the rates payable are not due until the following 31 August. TP Ltd is allowed a deduction for $\frac{5}{12}$ of the annual rates if that was its regular accounting practice.

Last reviewed on 31 December 2025

Deductibility of relocation costs [¶10-810]

[¶10-810]

[Click to open document in a browser](#)

The Commissioner has addressed the possible deduction of a range of expenses that might be incurred in the course of physically relocating a business within New Zealand in interpretation statement [IS 10/06](#), “Deductibility of business relocation costs”.

The interpretation statement addresses the deductibility of business relocation expenditure incurred in the relocation of a business within New Zealand, that is, the costs associated with physically relocating business records, trading stock, employees, and items of depreciable property from the business’ existing location to its new location. The Commissioner considers the types of costs typically incurred to physically move a business (and those costs covered by this interpretation statement and referred to as “business relocation costs”) are:

- # packaging and packing/unpacking costs
- # freight costs
- # temporary storage costs
- # additional insurance premiums on cover acquired specifically for the move
- # hire charges for the use of containers, forklifts and similar machinery to effect the relocation, and
- # expenditure on labour, in the form of salary or wages, or payments to contractors to effect the dismantling, relocation and re-assembly of property.

The interpretation statement expressly does not consider the following:

- # the deductibility of any costs associated with vacating the old premises or preparing the new premises
- # the costs of building alterations or fit-out, except the cost of any walls that may need to be temporarily removed to enable egress for property to be re-sited
- # the deductibility of lease termination or surrender payments, lessee re-instatement costs, legal costs or similar types of expenditure relating to the location itself, as these costs are one step removed from the cost of physically relocating business property
- # the deductibility of relocation costs where the business relocates to another country
- # the deductibility of costs incurred in respect of individual relocations of employees or plant or equipment.

Where employees are relocated as part of the business relocation, the relocation costs covered by the interpretation statement are confined to costs (or allowances) that relate to the actual physical relocation of the employees and their personal moveable property, rather than any inducement or compensation-type payments made to employees for relocating. The employee relocation costs covered by the statement are therefore limited to the cost to the business of:

- # transporting employees to the new location (for example, removal expenses), including the cost of an allowance paid to an employee to cover such costs, and
- # temporary accommodation for employees moved to a new business location, including the cost of an allowance paid to an employee to cover such costs.

The interpretation statement concludes that a business is entitled to claim a deduction for business relocation expenditure if the costs are deductible under s [DA 1\(1\)](#) (the general permission) and if those costs are not excluded under s [DA 2](#) (the capital limitation).

The interpretation statement deals with relocation expenditure collectively, rather than expenditure based on the underlying type of property being moved. This approach has been taken as the Commissioner is of the view that the relocation costs covered by [IS 10/06](#) will all be incurred for the same principal reason, on the occurrence of the same event and therefore should receive the same tax treatment.

Law: IT07 ss [DA 1](#), [DA 2](#)

Last reviewed on 31 December 2025

Deductibility of residential rental interest [¶10-814]

[¶10-814]

[Click to open document in a browser](#)

Interest deductibility from 1 April 2024

From 1 April 2024 interest deductibility is being restored in a phased manner. Reintroduction of deductibility of interest applies to all taxpayers, irrespective of when the residential rental property was acquired. The date of acquisition of the previously “disallowed residential property” does not apply.

Interest deductibility is phased back in as follows:

Date interest incurred	% of interest that can be deducted
1 April 2024 to 31 March 2025	80%
1 April 2025 onwards	100%

From 1 April 2025 subpt DH is substantially repealed. The rules relating to the ability to claim a deduction for interest denied under subpt DH on disposal are retained so that taxpayers who dispose of property that was subject to the rules can claim a full deduction of the denied interest on disposal of that property.

The current rules (below) which determine the types of land and taxpayers subject to the interest limitation rules, including the anti-avoidance rules, will continue to apply while deductibility is being reintroduced.

Interest deductibility from 1 October 2021 to 31 March 2024

Most residential property owners are affected by the interest limitation rules introduced in 2021 in subpt [DH](#). The government’s stated purpose in introducing the rules was to slow down investor interest in the property market and make houses more affordable for first-time home buyers. Keeping good financial records of interest payments made (and retaining these for longer than the statutory requirement of 7 years) is prudent, given that interest that is limited or denied a deduction may later be deductible upon disposal.

Residential rental property purchased on or after 27 March 2021

Broadly, taxpayers who purchased residential rental property (“disallowed residential property” or “DPR”) on or after 27 March 2021 are denied interest deductions on any interest incurred from 1 October 2021 until 1 April 2024. See above for limited deductibility of interest for the 2025 income year.

Residential rental property purchased before 27 March 2021

Interest deductions on loans drawn down before 27 March 2021, for residential rental property acquired before that date, are progressively denied for the following income years. Interest deductibility is denied as follows (s DH 8):

Date interest incurred	% of interest that can be deducted
1 April 2021 to 31 March 2022 (transitional year)	1 April 2021 to 30 September 2021 – 100% 1 October 2021 to 31 March 2022 – 75%
1 April 2022 to 31 March 2023	75%
1 April 2023 to 31 March 2024	50%

1 April 2024 to 31 March 2025*	80% (originally limited to 25%)
1 April 2025 onwards*	100% (originally 0% and fully denied)

The phasing out of interest, along with apportionment, financing and disposal issues, are discussed in more detail below. Special rules apply to companies owning residential rental properties are also discussed below.

* Note that the phasing out of interest was reversed from 1 April 2024. Originally interest deductibility would have been denied completely on or after 1 April 2025.

Disallowed residential property – which properties are caught?

The interest limitation rules deny (or limit) interest deductions incurred for “disallowed residential property” (DRP). This is defined as land in New Zealand to the extent to which it has as a residence or abode (whether it is used as such), including any appurtenances belonging to or enjoyed with the place. Also captured is (i) land where the owner has an arrangement to erect a place configured as a residence or abode on the land, and (ii) bare land that may be used to erect a place configured as a residence or abode under the rules of a relevant operative district plan. This is regardless of whether the bare land will in fact be used as a residence or abode. The definition is broad and encompasses residential homes used for short-stay accommodation such as Bookabach or Airbnb.

Exemption for new builds

Interest incurred in relation to “new build land” is not subject to the interest limitation rules and continue to be fully deductible (s DH 4(1)), subject to a 20-year time limit (see below). In addition, the 10-year bright-line test for residential property dispositions does not apply to new builds. Instead, new builds are only subject to the 5-year bright-line test ([¶17-053](#)). See [¶10-818](#) for detailed commentary on the exemption for new builds.

Exemption for dealers, builders and developers

Interest deductions will continue to be available for those taxpayers who are carrying on business and the land in question is subject to taxation under s [CB 7](#) (s DH 4(2)). This provision taxes land dealers, builders and developers. This exemption is intended to apply to any activity that results in a dwelling that qualifies as a “new build”. See [¶10-817](#) for detailed commentary on the exemption for property development.

Other exemptions

Apart from those mentioned above, there are a number of types of property are exempt from these rules. See [¶10-815](#) for a list of types of land exempt from the interest limitation rule.

Companies

The automatic deduction of interest for companies in s [DB 7](#) is expressly overridden: s [DB 7\(6C\)](#).

Close companies (companies with 5 or fewer natural person or trustee shareholders who hold more than 50% of the shares) will be subject to the new limitation rules, regardless of the proportion of assets that are residential rental properties: s DH 3(a).

Unless one of the exceptions or exemptions outlined at [¶10-815](#) applies, a company is subject to the interest limitation rules if it is a close company ([¶16-010](#)), apart from exempt Māori companies. For companies larger than a close company, the interest limitation rules apply if the company is:

- # a residential land company, or
- # a member of a residential land wholly-owned group.

An exception, as noted above, is an “exempt M#ori company”. These are defined as a company that is not a residential land company or a residential land wholly-owned group member and is a M#ori authority or eligible to be a M#ori authority, or wholly-owned by a M#ori authority or a company or trust that is eligible to be a M#ori authority.

An “exempt M#ori company” is a company that is a M#ori authority ([¶24-288](#)) or wholly owned by a M#ori authority and is not a residential land company or a member of a residential land wholly-owned group.

A “residential land company” is essentially a company where the combined value of its “disallowed residential property” (DRP) (excluding DRP subject to the land business or development exemptions) and the shares it holds in other residential land companies makes up more than 50% of the value of its total assets. Similarly, a “residential land wholly-owned group member” is a member of a wholly-owned group where the combined value of its DRP (excluding DRP subject to the land business or development exemptions) and the shares it holds in other residential land companies makes up more than 50% of the value of its total assets (s DH 5(8)(11)).

In both cases, the 50% threshold is measured on a daily basis, so that a company may become a residential land company if it meets or exceeds the 50% threshold on any given day during the income year. See Example from *Tax Information Bulletin* [¶345-105 Vol 34, No 5](#), June 2022 at 46 to illustrate the application of the rules.

Companies that are subject to the interest limitation rules are required to trace their interest expenditure. See further below under the heading *Phasing out of interest – “grandparented residential interest”*.

Phasing out of interest – “grandparented residential interest”

Interest on loans first drawn down before 27 March 2021 — for residential rental property (DRP) acquired before that date — are referred to as “grandparented residential interest”. Deductions are limited and apply on these dates regardless of a taxpayer’s balance date:

- # 1 April 2021 to 30 September 2021 — 100% deductible
- # 1 October 2021 to 31 March 2022 — 75% deductible
- # 1 April 2022 to 31 March 2023 — 75% deductible
- # 1 April 2023 to 31 March 2024 — 50% deductible
- # 1 April 2024 to 31 March 2025 — 80% deductible.

Also captured in this phased approach are:

- # Loans first drawn down on or after 27 March 2021 if the person acquired an estate or interest in the DRP before that date (which in most cases means the purchaser had a binding sale and purchase agreement pre-27 March but settlement did not occur until after that date).
- # Loans drawn down on or after 27 March 2021 if the acquisition of the DRP resulted from an offer made on or before 23 March 2021 that became irrevocable before 27 March 2021 (which is a common scenario when property is purchased by way of a tender).

Any loans denominated in a foreign currency do not qualify for the phased approach and are therefore fully non-deductible from 1 October 2021. (Refinancing in New Zealand dollars is an option for such taxpayers – see below.)

Refinancing

Refinancing on loans on or after 27 March 2021 is subject to the phased approach, provided the original loan was drawn down pre-27 March 2021. A foreign denominated loan will also qualify for phased deductions if the loan is refinanced in New Zealand dollars (effective from the time that the New Zealand dollar loan is drawn down).

Calculating interest on variable balance or revolving loans

A special rule exists for taxpayers with “variable balance” loans (also variously described as “revolving credit facilities”, “overdraft facilities” or “revolving loans”, among other things). To simplify the calculations required

to work out the amount of interest to be phased out, a “high water mark” rule is available for taxpayers if they choose to use it.

Broadly, the balance of the loan on 26 March 2021 in relation to disallowed residential property is the benchmark against which a subsequent loan balance is measured. All interest can be treated as “grandparented” and the phased approach (outlined above) used if:

- # the loan has been used solely for DRP, and
- # the loan balance remains at or below the loan balance at on 26 March 2021, all interest can be treated as “grandparented” and the phased approach (outlined above) used.

If the loan has been applied to mixed purposes such as DRP and private (not deductible), or DRP and commercial (fully deductible) the calculation is more complex. Refer to *Tax Information Bulletin* ¶1345-105 Vol 34, No 5, June 2022 for a detailed explanation.

Tracing loans – difficulty in identifying relevant interest

The interest on pre-27 March 2021 loans that are used for both residential rental property (DRP) and non-residential property needs to be traced in order to separate out and quantify the DRP portion (as interest deductibility is phased out between 1 October 2021 and 31 March 2025). See *Tax Information Bulletin* ¶1345-105 Vol 34, No 5, June 2022 at 90 for a number of examples demonstrating the application of the rules.

Interposed entities: funds to acquire interest in a company or trust

Special rules concerning “interposed entities” exist to prevent a person from claiming an interest deduction when borrowing funds to acquire shares in a company (or to become a beneficiary of a trust) that holds disallowed residential property. Without the interposed entity rules, it would be a simple matter to circumvent the interest limitation rules via a company or trust.

The rules deny interest deductions for taxpayers who indirectly hold DRP through an interposed residential property holder (IRPH) and borrow money to acquire ownership interests in, or become a beneficiary of, the IRPH. An IRPH is a company or trust that has DRP as a percentage of its total assets that exceeds the percentage of disqualifies assets over total assets. If the only asset held is a disallowed residential property, then 100% of the interest incurred by the IRPH will be disallowed.

Refer to *Tax Information Bulletin* ¶1345-105 Vol 34, No 5, June 2022 at 113 for more detail. Further reading around the amendments made to s DH 6 can be found in *Tax Information Bulletin* ¶1356-102 Vol 35, No 6, July 2023 at 121, and includes discussion around how s DH 6 affects mixed-use assets.

Rollover relief for certain types of land transfers

If ownership of a residential rental property changes during the period that interest deductions are being phased out (ie 1 October 2021 to 31 March 2025), rollover relief exists in cases where the economic ownership essentially remains unchanged. Rollover relief, in this instance, means that the transferee can continue to deduct interest during the phasing out period as if they were in the shoes of the transferor. In all cases, the loan amount transferred must be equal to or less than the loan balance of the transferor at the time of the transfer.

The following transfers of DRP are eligible for rollover relief:

- # a settlement of relationship property
- # on death, a transfer to an executor/administrator or to a beneficiary of a deceased estate
- # to and from a look-through company or a partnership (ie to and from people within that entity, in a different capacity)
- # from a person to a M#ori trustee, or from a M#ori trustee back to the original settlor

from an amalgamating company to an amalgamated company under a resident's restricted amalgamation.

Also eligible for rollover relief are transfers of DRP to or from trustees in circumstances where a family trust meets the definition of a "rollover trust", that is:

- # all relevant transfers to the trustees of the trust must be by beneficiaries, and at least one of those beneficiaries is a principal settlor of the trust
- # all principal settlors must be beneficiaries of the trust
- # all principal settlors must be close family associates, and
- # all beneficiaries are either "close family beneficiaries" or trustees of another trust and at least one beneficiary of the other trust is a close family associate of a beneficiary of the trust in question.

For a detailed analysis of the operation of the rollover relief for interest limitation see *Tax Information Bulletin* [1356-102 Vol 35 No 6](#), July 2023.

Disposal of property affected by the interest limitation rules

If a residential property is subject to tax on disposal, interest deductions denied under the interest limitation rules may be claimable under a wash-up calculation when the disallowed residential property is disposed of:

- # If the disposal is taxable under the bright-line test (s [CB 6A](#) or [CZ 39](#)), interest deductions are treated as part of the cost of the property under s [DB 23](#) and be deducted in the year of disposal. (If a net loss arises, this is ring-fenced but may be carried forward.) See s DH 11(1).
- # If the disposal is taxable under one of the other land disposal provisions in ss [CB 6](#)–[CB 14](#), interest deductions are permitted in the year of disposal under s DH 11(2). The residential ring-fencing rules apply ([17-365](#)).

Loans denominated in foreign currency

Originally interest incurred on loans denominated in foreign currency was non-deductible: s DH 9. There was no phasing out of interest deductions for these types of loans, the government noting that the rules around such loans would be overly complex. However, s DH 9 was repealed with retrospective effect because foreign currency loans were already excluded from the application of s DH 8(2) because they cannot generate grandfathered residential interest.

Law: IT07 ss DH 1, 2, 3, 5, 6, 7, 8, 9, 10, 11, 12, [FB 3A](#), [FC 3](#), FC 9B, FC 9C

Last reviewed on 31 December 2025

Deductibility of residential rental interest — exemptions [¶10-815]

[¶10-815]

[Click to open document in a browser](#)

As discussed in [¶10-814](#), generally deductions for interest connected to residential rental properties is disallowed. There are a number of residential properties that are excluded from the general rule.

Which residential properties are not caught by the rules?

“Excepted residential land” is not subject to interest limitation rules. Interest can be claimed in respect of these properties if the usual principles of deductibility are met. Excepted residential land is listed in Sch [15](#), being land to the extent to which it is:

- # the person's main home — [¶10-816](#)
- # business premises (excluding business premises that are used or available for use in a business of supplying accommodation, unless it is also the person's main home) — [¶10-817](#)
- # farmland (including farmhouses and working quarters) — [¶10-817](#)
- # a hospital, convalescent home, nursing home, or hospice — [¶10-817](#)
- # a boarding establishment (as defined) — [¶10-817](#)
- # a hotel, motel, inn, hostel, or camping ground — [¶10-817](#)
- # a rest home or retirement village — [¶10-817](#)
- # student accommodation — [¶10-817](#)
- # employee accommodation — [¶10-817](#)
- # Māori excepted land — [¶10-817](#)
- # build-to-rent land — [¶10-819](#).

Which residential properties are not caught by the rules

Further exemptions to the interest limitation rules are specifically listed in s DH 4:

- # new build land — [¶10-818](#)
- # land acquired for the purposes of business under s [CB 7](#) — [¶10-817](#)
- # land acquired for development, division or building to create new build land — [¶10-817](#)
- # social, emergency, transitional, and support housing — [¶10-817](#)
- # council housing — [¶10-817](#)
- # Kainga Ora-Homes and Communities — [¶10-817](#).

Lastly, land outside New Zealand is not caught by the interest limitation rules.

Law: IT07 s DH 4, Sch [15](#)

Last reviewed on 31 December 2025

Deductibility of residential rental interest — main home exemption [¶10-816]

[¶10-816]

[Click to open document in a browser](#)

The rule that disallows interest deductions for residential properties ([¶10-814](#)) does not apply to a person's main home. A deduction is not allowed for a person's mortgage interest under the private limitation under s [DA 2\(2\)](#) where the sole purpose of the property is the primary residence. However, where a portion of the home is rented out, a deduction may be permitted.

Main home not subject to interest limitation rules

A person's main home means, for a person, the one dwelling:

- # that is used as a residence by the person (a home), and
- # with which the person has the greatest connection, if they have more than one home.

The effect of this is that if a person lives in the main home and rents out part of it to flatmates, boarders, or for short-term stays, the person can claim an interest deduction for that portion of the home. The same applies to a person using part of the house for business use.

The Commissioner has confirmed in [QB 23/08](#) "Income tax – deductibility of expenditure – renting to flatmates" that a dwelling that a taxpayer uses as their residence and rents out to a flatmate may still fall within the definition of a "main home". The item acknowledges that there may be some doubt as to whether a dwelling can be excluded from the interest limitation rules where considerable areas of the dwelling are for the exclusive use of a flatmate. However, the Commissioner's view is that the definition for the purpose of the interest limitation rules does not require that the owner has full use and enjoyment of the dwelling, nor does it use any language of apportionment. Provided that the dwelling is used as the owner's residence, it may qualify for the main home exclusion and therefore excluded from the interest limitation rules. The Commissioner's view is based on the following assumptions:

- # the owner of the property is the person renting the dwelling to a flatmate, and the person is not carrying on a rental business
- # the property concerned has a single dwelling on it, and the land is not new build land as set out in s DH 4
- # the property in question is the person's only home, and
- # the flatmate pays a market value rent.

While the main home exception is aimed at natural persons, shareholders of look-through companies (LTCs) who live in a residential property owned by the LTC can also utilise the exemption. The exception can also apply to trusts if a beneficiary of the trust uses the land as their main home and either:

- # a principal settlor of the trust does not have a main home, or
- # the place is the principal settlor's main home.

In other words, a property falls within the main home exception if the property is the main home of one of the trust's beneficiaries and a principal settlor does not have a different main home of their own.

For properties with more than one dwelling on the title, the main home exception would apply only to the dwelling that is used as the owner's main home. Examples of such properties would be a house and a "granny flat" that is let out, or a 2-storey house that is in 2 separate units.

Law: IT07 ss [DA 1](#), [DA 2\(2\)](#)

Last reviewed on 31 December 2025

Deductibility of residential rental interest — other exemptions [¶10-817]

[¶10-817]

[Click to open document in a browser](#)

Generally, interest expense incurred in connection to residential rental property is denied (¶10-814). The legislation makes exceptions to this general rule for a number of taxpayers and types of land. The complete list is found at ¶10-815. Below is a discussion on the other exemptions.

Exemption for dealers, builders and developers

Interest deductions continue to be available for those taxpayers who are carrying on business and the land in question is subject to tax under s CB 7 (s DH 4(2)). This provision taxes land dealers, builders and developers. See ¶17-055 for a discussion on s CB 7. These taxpayers are specifically exempt from the interest limitation rules to the extent that any interest paid is in relation to their business. This exemption is intended to apply to any activity that results in a dwelling that qualifies as a “new build”.

The exemption is permitted for business-related land even if no work is being actively carried on at the relevant time. The exemption also applies to land dealers who may not necessarily increase housing stock (ie those who purchase land and renovate or remediate the building and then on-sell as part of their business).

If a property development business acquires residential property, however, for a purpose other than property development, then the interest limitation rules will apply. If the use of this land later changes and the land is developed, then interest related to the land will become deductible under the development exemption.

A person undertaking development activity will switch from the development exemption to the new build exemption once code compliance certificates are issued for the new dwellings. See Example in *Tax Information Bulletin*, ¶345-105, Vol 34, No 5, June 2022 at 69 to illustrate the application of the exemption.

Land development

There is also an exemption from the rules limiting deductibility if a taxpayer carries out a scheme or undertaking involving development, subdivision or building for the purpose of creating a new build land (s DH 4(3)). This exemption is designed for those taxpayers who are not in business as contemplated by s CB 7 but who carry out development work that results in a new build.

This exemption does not apply to a taxpayer merely purchasing a residential property for renovation and on-selling with the purpose of making a profit (as opposed to carrying on a business). Such a taxpayer may, however, qualify for an interest deduction when the property is disposed of if the disposal is taxable.

The development exemption applies to interest incurred in relation to land that is, or was, subject to a person's undertaking or scheme involving development, division, or building for the purpose of creating new build land. Once the land becomes new build land, if the person retains the land, the development exemption would no longer apply and the new build exemption would instead apply to the land.

Initially when the legislation was drafted the development exemption would not apply once the new build land was disposed of. The final version of the s DH 4(3) allows the development exemption to continue to apply after the land has been disposed of. The development exemption only applies to the developer and not to the new owner of new build land.

Example: Land transitions from development exemption to new build exemption

Amber and Sandy buy a large section in Orewa. They purchase the land with the intention of adding new builds to the land, renting these out for a short period, and then selling them off for a profit. Once they start an undertaking or scheme to develop and build on the land to add new builds, they qualify for the development exemption. After construction is complete, the new builds receive their CCCs. At this point, the development exemption ceases to apply to the land, and instead, the new build exemption starts to apply.

The new build exemption will continue to apply to the land until 20 years have passed from the date the new builds received their CCCs. Three years after the residences receive their CCCs, Amber and Sandy sell the land to James. The new build exemption continues to apply to the land, but it will only apply for another 17 years – the 20-year exemption period does not reset when the land is sold.

Example reproduced from the “Special report on the interest limitation and additional bright-line rules” published in March 2022 by Inland Revenue.

The new build exemption can apply for the purchaser of a new build at the same time the land business or development exemption applies for another taxpayer that is developing the land. This will usually occur where a new build is purchased off the plans. This is because the developer (or builder) may qualify for the development exemption while they erect the new build, and the purchaser may also qualify for the new build exemption as they have acquired an interest in land and incurred mortgage interest when they acquired the land off plan.

Flowchart 5 from the “Special report on the interest limitation and additional bright-line rules” published in March 2022 by IR demonstrates how to apply the development exemption.

The exemption applies from the date an undertaking or scheme to develop, subdivide or build on the land for the purpose of creating new build land begins. It will end for the person undertaking the development once the land becomes new build land if the person retains the land. Land would generally become “new build land” when a CCC is issued for a self-contained residence or abode that has been added to the land, provided the CCC is issued on or after 27 March 2020.

Business premises not subject to interest limitation rules

“Business premises” is defined as a person’s normal business premises or a temporary workplace, but excluding premises established mainly for the purpose of enjoying entertainment. Therefore, interest can be claimed as an expense on all property used for commercial purposes (such as shops, offices, entertainment venues, warehouses and factories).

Farmland and farmhouses not subject to interest limitation rules

Farmland is not subject to the interest limitation rules. Farmland is defined as land that is being worked in the landowner’s farming or agricultural business (including forestry, horticultural and pastoral businesses) or land that, because of its area and nature, is capable of being worked as an economic unit as a farming or agricultural business. Inland Revenue notes that farmhouse and workers quarters located on the farmland are also excluded from the rules (*Tax Information Bulletin* [1345-105 Vol 34, No 5](#), June 2022).

Boarding establishments

Boarding establishments are not subject to the interest limitation rules. A “boarding establishment” is defined, for the purposes of the interest limitation rules, as premises used in a business of supplying accommodation if the premises are managed by the business and has:

- # at least 10 boarding rooms that are not self-contained, and
- # shared living facilities available as appropriate to all residents.

Student accommodation

“Student accommodation” is defined as commercial boarding premises used for the accommodation of students enrolled at a registered school or premises described in s 5B of the Residential Tenancies Act 1986 (including premises used mainly, but not exclusively, for the accommodation of students). This definition

encompasses halls of residence and hostels, either owned by tertiary education providers or by entities that have a specific arrangement with a tertiary education provider.

Employee accommodation

“Employee accommodation” falls outside the interest limitation rules as it falls within the definition of “excepted residential land” (see s DH 5(3) read with Sch [15](#)).

It is defined as property that an employer provides to their employees or other workers for accommodation in connection with their employment or service. The property may be owned by the employer, or if the employer is a company, it may be owned by another company in the same wholly-owned group of companies as the employer. The inclusion of property provided to a person's employees takes into account corporate group scenarios where the company employing the workers may not be the same company that holds the residential property.

However, it does not include accommodation provided to employees (or other workers) that are associated to the employer, unless it is necessary to provide accommodation because of the nature or remoteness of a business carried on.

Māori excepted land

“Māori excepted land”, which falls outside the interest limitation rules, means:

- # Māori customary land, Māori freehold land, Crown land reserved for Māori, or land set aside as a Māori reservation

- # land provided as a residence to a Māori shareholder or beneficiary of a Māori authority (or an entity eligible to be one) to the extent the land is partly or wholly owned, directly or indirectly, by that Māori authority, or

- # land, owned directly or indirectly by a Māori authority (or an entity eligible to be one) to the extent to which the land is from a Treaty of Waitangi settlement, including by exercising a right of first refusal under such a settlement.

Social, emergency, transitional and council housing

Land used to provide social, emergency, transitional and council housing is exempt from the interest limitation rules. The owner of the property does not need to be the same entity that provides the housing and has the relationship with the tenant. See Example in *Tax Information Bulletin* ¶1345-105 Vol 34, No 5, June 2022 at 42 to demonstrate the application of this rule.

Law: IT07 ss DH 4, [DH 5](#), Sch [15](#)

Last reviewed on 31 December 2025

Deductibility of residential rental interest — new build land exemption [¶10-818]

[¶10-818]

[Click to open document in a browser](#)

“New build land” is exempt from the interest limitation rules for 20 years (s DH 4(1)). The exemption attaches to the property, not the landowner, so the exemption transfers to subsequent purchasers within that 20-year period. Generally, the 20-year period starts the day the code of compliance certificate (CCC) is issued. See Examples in *Tax Information Bulletin* [¶345-105 Vol 34, No 5](#), June 2022 pp 73–74 to demonstrate the application of this exemption.

New build land is land:

- # to the extent to which it has a place configured as a self-contained residence or abode on it, and
- # for which a CCC has been issued on or after 27 March 2020.

“To the extent” means that the definition encompasses not until new residential buildings but also land that might include a new build alongside an existing building (eg adding a new residence or a modular home, or relocating home to the land) and conversions (eg converting an existing residence into 2 or more self-contained residences, and converting a commercial building into self-contained residences). See below for a discussion on apportionment.

Also included in the definition of new build land are:

- # areas that are used exclusively by residents of the new build
- # areas that are shared by a new build and a non-new build (eg a shared driveway or garden area)
- # new builds bought off the plans
- # former hotel and motel units that are converted into self-contained units or apartments
- # residential properties that were previously on the earthquake-prone buildings register that have been remediated and removed from the register
- # leaky buildings that been remediated.

In every case a CCC must have been issued on or after 27 March and/or noted in the local authority’s records or building consent.

Although not a defined term, a “self-contained” residence or unit should include its own essential facilities such as a kitchen and bathroom. A sleepout without a kitchen and bathroom would not qualify as a new build. Hotels and motels that are converted into self-contained residences also qualify, as do modular and relocated homes.

Exemption start date

The 20-year period runs from the earliest of the following dates:

- # the date on which the CCC is issued, or
- # the date that, in the local authority or building consent records, the relevant conversion or remediation is recorded as having been “completed” (where applicable), or
- # the date that the relevant building works is entered into the records of a local authority or building consent authority as “substantially completed”, in the case of a CCC being issued subject to a building consent waiver or modification under clause B2.3.1 of the Building Code under the Building Act 2004 (where applicable).

Example: Exemption applies to all interest for new build land

Iona owns land that qualifies for the new build exemption. The new build on the land is always rented out. During the period the exemption applies, Iona decides to add a new deck to the new build. Iona will be able to deduct the interest she incurs on the loan she takes out to add the deck.

Ten years after the new build receives its CCC, Iona decides to repaint it. She takes out another loan to pay for repainting the new build. The interest she incurs on that loan would also be deductible. If Iona is still incurring interest in relation to the new build land after the exemption expires (20 years after the CCC was issued), she will not be able to deduct that interest because the interest limitation rule will apply.

Example reproduced from the “Special report on the interest limitation and additional bright-line rules” published in March 2022 by Inland Revenue.

Once the 20 years have elapsed, interest incurred will be treated as non-deductible in accordance with the general rule on interest limitation. See [¶10-814](#).

New build land: exception for off-the-plans acquisitions

Off-the-plans acquisitions are an important part of a common funding model for property developers. Deposits for new builds acquired off the plans may be debt-funded by the purchaser, which may result in the purchaser acquiring the new build and incurring interest before a CCC is issued for the new build. A special rule is therefore included for new builds acquired off the plans, so that a taxpayer who acquires such a new build can access the exemption from the date they enter into an agreement to acquire it. If the interest would be deductible under existing tax rules, then interest may be deducted from the date of acquisition for new builds acquired off the plans.

New build land: exception for hotel and motel conversions

The definition of new build land is sufficiently wide enough to cover situations where hotel or motel units are converted to residential accommodation. As hotel and motel units are used for short-stay accommodation and often already have some cooking facilities and bathrooms, less work may be required to convert them into places suitable for long-term accommodation compared to other conversions (for example, conversions of commercial office blocks into apartments). As a result, a CCC may not be issued in these types of conversions. In such cases, the new build exemption applies from the date that the local authority or building consent authority records indicate the conversion was completed.

Impact of B2.3.1 modification on exemption period for interest deductibility

Clause B2.3.1 of the Building Code concerns the durability of a building once it is completed. Normally the period for which a building is durable is counted from the date a CCC is issued for building work. However, where a CCC is significantly delayed (usually by more than 5 years), the CCC will often be issued subject to a B2.3.1 modification. The effect of a B2.3.1 modification is the durability period for the building is counted from the date the building work for the building was substantially completed, which could be a number of years before the CCC was issued.

Where a CCC is issued subject to a B2.3.1 modification, the exemption will end earlier because the 20-year period is counted from the date the building work to add the new build to the land was substantially completed.

The purpose of the B2.3.1 modification rule is to ensure there is no tax benefit from significantly delaying the issuance of a new build's CCC.

Example: B2.3.1 modification rule

Rip owns a large section that has a residential rental property on one half of it. The rental was built on the land in the 1980s, so interest deductions would be progressively denied from 1 October 2021 under the interest limitation rules. However, Rip decides to develop the other half of the section to add a new build to it. He claims interest deductions in respect of the portion of the land he is developing under the development exemption. Although the building work for the new build is substantially completed by 24 October 2021, Rip decides he probably wants to sell the property sometime in the next ten years, so he deliberately holds off getting a CCC for the new build to maximise its potential value to a subsequent debt-financed purchaser.

Eight years later, Rip decides he wants to sell the land. Rip gets in touch with his local council to request a CCC for the new build. The council issues a CCC for the new build on 24 October 2029 but issues it subject to a B2.3.1 modification. On the CCC, the substantial completion date for the new build is recorded as being 24 October 2021, which is the date the durability of the building is counted from (instead of the date the CCC was issued). Since Rip's new build's CCC was issued subject to a B2.3.1 modification, the 20-year period for the new build exemption would be counted from the date of substantial completion (24 October 2021), rather than the date the CCC for the new build was issued (24 October 2029), under proposed new section DH 4(1)(b)(iii). This means that Rip would gain no tax advantage by delaying the CCC for his new build. The new build exemption would still end on 23 October 2041, even though the CCC was not issued until 24 October 2029.

Example reproduced from Commentary on SOP 64 first published in October 2021 by Policy and Regulatory Stewardship, Inland Revenue.

Relationship between the new build land, land business and development exemptions

Table 1: Comparing the land business, development, and new build exemptions

Exemption	What does it apply to?	Example	Start of the exemption	End of the exemption	Application to subsequent purchasers
Land business exemption	Interest incurred in relation to land held by a taxpayer in a s CB 7 land business (that is, a land building, development, subdivision, or dealing business).	<i>Interest incurred in relation to land held by a professional property developer.</i>	When land is acquired.	Ends when the taxpayer's s CB 7 land business ceases.	Does not transfer to subsequent purchasers. Subsequent purchasers can qualify if they themselves meet the criteria for the land business exemption.
Development exemption	Interest incurred in relation to land that the land business exemption does not apply to, but which is held by a taxpayer who has an undertaking or scheme to develop, build or subdivide land for the purpose of creating new build land.	<i>Interest incurred in relation to land being developed by a person who has a rental property business, but who is not a professional property developer themselves.</i>	When the person's undertaking or scheme begins.	Ends the earlier of when the land is disposed of or when it becomes new build land (in which case the new build exemption applies). Exceptions apply in rare cases.	Does not transfer to subsequent purchasers. Subsequent purchasers can qualify if they themselves meet the criteria for the development exemption.
New build exemption	Interest incurred in relation to new build land if it is incurred within 20 years of the new build being added to the land (usually the date the CCC for a new build on the land was issued).	<i>Interest incurred by a person who has bought land with a new build on it from a property developer and rents that new build out.</i>	When the land becomes new build land (normally when a new build's CCC is issued, unless the new build is purchased off the plans, when the exemption will apply from time of purchase).	Generally, for a taxpayer, ends the earlier of when the taxpayer disposes of the land, or when 20 years have passed from the date the new build's CCC was issued.	Transfers to subsequent purchasers within the 20-year period the exemption applies for.

Exemption for development and division of new build land

Related to the “new build” exemption is the exemption for an undertaking or scheme involving development, division or building for the purpose of creating new build land. The existing meaning of “undertaking and scheme” used in ss [CB 12](#) and [CB 13](#) applies. See [¶7-116](#). This exemption from the interest limitation rules applies from the date an undertaking or scheme begins and ends once the land becomes “new build land” (which is usually when the CCC has been issued).

Exemptions may apply concurrently. The new build exemption can apply for the purchaser of a new build at the same time the land business or development exemption applies for the developer that is developing the land. Usually this would occur where a new build is purchased off the plans (that is, before it is constructed) and the purchaser has borrowed in order to finance the purchase of the new build land.

Apportionment for new builds

The exceptions and exemptions to the interest limitation rules expressly contemplate apportionment by use of the words “to the extent that” in s DH 5(7). For example, the new build exemption applies to the extent that the property qualifies as new build land. If the interest on borrowings is incurred in relation to both new build land and other land that does not qualify as new build land, an apportionment of interest will be required. Apportionment should be carried out using a reasonable method, which can include a valuation-based apportionment or a land area apportionment method.

Example:

Cicillia owns a home and income property. It is on a 950m² section in Auckland. She lives in the larger home on the property and rents out a smaller self-contained unit, which received its CCC in June 2021. Both dwellings are one storey. The land is made up of the following areas:

Description	Land area	Used by	New build land?
Floor area of the main home	200m ²	Main home	No
Outdoor areas exclusively used by residents of the main home	300m ²	Main home	No
Front garden area shared by residents of both the main home and the unit	200m ²	Main home and unit	Yes – 100m ²
Driveway and parking area shared by residents of both the main home and the unit	100m ²	Main home and unit	Yes – 50m ²
Floor area of the unit	100m ²	Unit	Yes – 100m ²
Outdoor areas exclusively used by residents of the unit	50m ²	Unit	Yes – 50m ²
Total new build land area			300m ²

Exclusive areas attributable to the unit are considered new build land. This includes the floor area of the unit itself (100m²) plus the unit's exclusive outdoor areas (50m²). The unit shares the front garden area and driveway/parking area with just one other home, so it is reasonable to attribute 50% of those shared areas to the unit. Applying this approach, 300m² of Cicillia's land is considered new build land. The remaining 650m² is not considered new build land.

Example reproduced from *Tax Information Bulletin* [¶345-105 Vol 34, No 5](#), June 2022.

Law: IT07 ss DH 4, DH 5(7)

Last reviewed on 31 December 2025

Deductibility of residential rental interest — build-to-rent exclusion [¶10-819]

[¶10-819]

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The general rule against the deductibility of residential rental interest ([¶10-814](#)) does not apply to build-to-rent land. For build-to-rent dwellings that meet the asset class definition below, there is an in-perpetuity exclusion from the interest limitation rules. However, if the land fails to meet the definition at any point, the interest limitation rules apply, and interest is no longer able to be deducted in relation to that residential rental property.

The requirement is that the land must continually meet the requirements. If there was a period of time where the land failed to meet the requirements and then met the requirements at some point in the future, the build-to-rent exemption cannot apply as the land must continuously meet the statutory requirements.

For the exclusion to apply, land must meet the following build-to-rent asset class definition:

- # the land must be development or subdivision land (as described in ss [CB 12](#) and [CB 13](#))
- # tenants must be offered a fixed-term tenancy of at least 10 years with the ability to give 56 days' notice of termination but they may agree to or request other tenancy offers (Note that in order to qualify as build-to-rent, a tenant does not have to accept a 10-year tenancy offer. A build-to-rent development will satisfy this requirement as long as a 10-year tenancy term is offered.)
- # at least 20 dwellings in one or more buildings that comprise a single development, on either a single parcel of land or multiple contiguous parcels
- # the dwellings and any common land or facilities for those dwellings have a single owner
- # dwellings can be held in one or more titles
- # the building that a build-to-rent dwelling is in can include other dwellings or commercial premises that do not form part of the build-to-rent development (for example, an apartment block that has shops on the ground floor)
- # the dwellings are used or available for rent under the Residential Tenancies Act 1986
- # explicit personalisation policies must be offered, over and above the Residential Tenancies Act 1986, and
- # approval must be granted by Te Tūhono Kōwhiri (Ministry of Housing and Urban Development) that the development has met the asset class definition.

Although the exclusion was introduced in March 2023, the exclusion is effective from 1 October 2021 when the interest limitation rules for residential rental property was enacted. Therefore, taxpayers who held existing build-to-rent assets are not be subject to the interest limitation rules for the short period of 1 October 2021 to 31 March 2022 and will continue to be exempt in perpetuity. For new build-to-rent assets, initial investors are able to deduct interest for as long as they hold an asset and operate it as a build-to-rent development. Any subsequent investors can deduct interest for as long as the asset is held and operated as a build-to-rent development.

Exemption applies to existing dwellings that meet the definition by 1 July 2023

The policy is intended to apply to both new and existing build-to-rent developments. However, in reality, landlords are unlikely to have any existing developments would have offered 10-year tenancies to all tenants. Therefore, existing build-to-rent assets have until 1 July 2023 to comply with the tenure and personalisation policy requirements included in the above definition of “build-to-rent land” and qualify for the exemption.

Configuration of land

The definition is structured in a way that allows the 20 or more dwellings to be held in one or more titles. The parcels of land could be adjoining each other. As the rationale is to increase community living spaces, it is envisioned that mixed property types, like commercial property, may be part of the development. If commercial property forms part of the development, then an apportionment must be applied between the residential land and the commercial land.

Deductibility “to the extent”

The exemption will apply to the extent that the land meets the definition. Determination must be made of the extent that each individual dwelling meets the definition as well as the overall development. Only interest which relates to the portion of the development that meets the build-to-rent definition can claim a deduction under this exemption. The balance of the development may or may not be able to deduct interest under another provision.

To illustrate when a development qualifies “to the extent” it meets the definition, see examples in the [“Special Report on build-to-rent exclusion from interest limitation rules”](#), April 2023.

Law: IT07 s [YA 1](#) (“build-to-rent land”), Sch [15](#)

Last reviewed on 31 December 2025

Remitted amounts [¶10-820]

[¶10-820]

[Click to open document in a browser](#)

An amount allowed as a deduction may subsequently be remitted to create an item of assessable income ([¶15-340](#)). However, if subsequently the amount in question is actually paid despite the remission, a deduction becomes available for the amount paid. The deduction is allowed in the year of payment.

The provisions allowing the deduction do not extend to amounts subject to the financial arrangements rules. The outcome may be that the provisions apply, for example, to a debt for the purchase of trading stock.

Law: IT07 s [DB 47](#)

Last reviewed on 31 December 2025

Deductibility of rent [¶10-830]

[¶10-830]

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Rent can be expected to be allowed as a deduction as a usual working expense of a business.

A deduction in full may be less certain in a situation where the rent is associated with an ability to acquire the leased premises. The taxpayer in *FC of T v South Australian Battery Makers Pty Ltd* [78 ATC 4412](#) leased premises on terms which included an option to purchase granted in favour of a sister subsidiary company. If the option was exercised, the purchase price was to take into account the rent which had been paid. The Commissioner contended that the rent paid should not be deducted in full but should be reduced to reflect the component that would be applied to reduce the purchase price if the option was exercised. This approach was rejected and the rent allowed as a deduction in full. The advantage sought by the taxpayer in paying the rent was the conventional one of the right to use the premises for business purposes. The taxpayer did not obtain a possible collateral advantage if another party exercised the option and paid a reduced purchase price.

Under a sale and leaseback arrangement, the parties expected that the vendor/lessee would repurchase the plant at the end of the lease term. That possibility did not operate to prevent the payments of rent being allowed as deduction in full. The lessee had no legal right to repurchase the premises. See *FC of T v Metal Manufactures Ltd* 2001 ATC 4152.

Inadequate rent

If the Commissioner exercises the power to substitute a market rent where the parties have agreed on an inadequate rent, the substituted rent rather than the actual rent is potentially allowed as a deduction. See public binding ruling [BR Pub 06/02](#). In relation to partnerships, see [¶23-134](#).

Law: IT07 ss [DB 59](#), [GC 5](#)

Last reviewed on 31 December 2025

Deductibility of repairs and maintenance expenditure [¶10-840]

[¶10-840]

[Click to open document in a browser](#)

Expenditure on the repairs and maintenance of an asset may be allowed as a deduction if the general permission is satisfied and the capital limitation does not apply. Note that if the repairs and maintenance expenditure relates to an asset falling within the mixed-use asset rules in subpt [DG](#) (being certain assets used for both business and private purposes), an apportionment of the expenditure will be necessary under those rules ([¶10-035](#)).

The Commissioner has issued an interpretation statement, [IS 12/03](#), "Income tax — deductibility repairs and maintenance expenditure — general principles" and the principles outlined in [IS 12/03](#) are summarised below.

In determining whether repairs and maintenance expenditure is deductible, the expenditure must first satisfy the general permission (in other words, there must be a sufficient nexus with the derivation of assessable income). The Commissioner considers that, in certain circumstances, the general permission may not be satisfied.

Example:

Jack owns a rental property. Jack's tenant has just moved out. Although Jack advertised the property, he is experiencing difficulty finding a new tenant. He concludes that the reason he cannot find a new tenant is that the property is too run down. Jack decides to tidy up the property to make it more attractive to potential tenants. The property is temporarily unavailable for rental while Jack arranges to have the property repaired, cleaned, and painted. Once this work has been done, Jack will look for a new tenant. The expenditure that Jack incurs will have a sufficient nexus to Jack deriving assessable income from his rental activity.

Example adopted from [IS 12/03](#), "Income tax — deductibility repairs and maintenance expenditure — general principles" (29 June 2012).

Example:

Tina owned a residential rental property for several years. Two years ago she decided to move into the house and use it as her home. This year she has undertaken repairs on the property and had it fully repainted. Tina seeks to claim a deduction for the cost of the repairs to her house on the basis they related to damage sustained when the house was tenanted. However, the repair costs are not deductible because the rental activity has ceased and the house is no longer being used to derive assessable income. At the time the expenditure was incurred it did not have the necessary nexus to Tina's assessable income.

Example adopted from [IS 12/03](#), "Income tax — deductibility repairs and maintenance expenditure — general principles" (29 June 2012).

Example:

A taxpayer company owned a motel business which it wound down. The motel units were refurbished substantially and sold as individual units in a retirement complex. Although most of the expenditure items the taxpayer claimed as deductible were not capital items (eg painting, repapering, rewiring and plumbing repairs), the expenditure was incurred at a time when the units had been withdrawn from the assets of the motel business and put to one side as an asset to be upgraded and sold. The TRA ruled that the expenditure was not deductible. See Case U20 ([1999](#)) [19 NZTC 9,194](#).

Once the general permission is satisfied, it is still necessary to establish whether the capital limitation applies to deny a deduction. Here, a 2-stage approach is adopted:

- # the first step is to identify the relevant asset that is being repaired
- # the second step is to assess the nature and extent of work done to the asset.

Identify relevant asset

Identification of the relevant asset is important in order to measure the extent of the work undertaken to the particular asset and, therefore, whether the work undertaken is revenue or capital in nature. Identifying

what the relevant asset is will depend upon the facts of each case. This stage involves what the courts have labelled the “entirety test”, in other words “a physical thing which satisfies a particular notion”. An asset may be a separate physical thing or a component part of a wider asset. In determining whether an asset is a separate physical asset, factors such as size, location and function may have to be considered.

Example:

Frank is an owner-operator taxi driver. He has driven the same taxi for the past 5 years. Until recently the taxi has been reliable and overall is in good condition. Frank has had his taxi serviced regularly but his mechanic has advised him that the engine is now seriously worn. The mechanic recommends that the worn engine be replaced with a reconditioned engine. The asset in this case is the taxi. The engine is a subsidiary part of that asset, and is physically and functionally connected to that larger asset. The engine is integral to the taxi.

Example adopted from [IS 12/03](#), “Income tax — deductibility repairs and maintenance expenditure — general principles” (29 June 2012).

Nature and extent of work undertaken on asset

If the nature and extent of the work undertaken means that the work is of a capital nature, then a deduction will not be permitted for the repairs and maintenance expenditure. The following principles apply in this regard:

- # Work that has resulted in the reconstruction, replacement or renewal of the asset, or substantially the whole of the asset is capital in nature.
- # Expenditure incurred to repair or maintain the asset, over and above making good wear and tear, that has the effect of changing the character of the asset will be capital in nature. Expenditure incurred to repair or maintain the asset without changing its character will be deductible.
- # The use of new materials does not necessarily mean that an asset is improved, unless, as a result, the asset is more advantageous or performs or functions better or differently than it did previously. If the use of better materials results in an asset which is more advantageous, or performs or functions better, then this may indicate that the character of the asset has changed, with the result that the expenditure may be capital in nature. Where new materials are used extensively so that the asset, or substantially the whole of the asset, is reconstructed, replaced or renewed, the cost of the work done will be capital expenditure regardless of the choice of materials.
- # Changes to an asset's value, its earning capacity, its useful life, function or operating capacity, whether or not a goal of the work done, cannot be relied on in isolation to establish the nature of the work done to the asset.

Example:

Peter and Alice own a residential rental property in Wellington that was built 30 years ago. After a cold snap, their tenants complain that the insulation in the house has deteriorated and is no longer effective. Peter and Alice arrange for new insulation to be inserted into the house. The cost of the insulation is revenue in nature on the basis that it is a repair to the property and does not change the character of the asset. Nor does it result in a replacement or renewal of substantially the whole of the house. The work done only restores the property to its former condition.

Example adopted from [IS 12/03](#), “Income tax — deductibility repairs and maintenance expenditure — general principles” (29 June 2012).

Example:

Ralph and Bridget own a residential rental property that has never been insulated. Their tenants have been asking for years for the walls and floors to be insulated. Finally, Ralph and Bridget agree and insulation is installed. The cost of this new insulation is capital expenditure. It is not a repair to the rental property. The addition of insulation to the house improves the house and changes its character.

Example adopted from [IS 12/03](#), “Income tax — deductibility repairs and maintenance expenditure — general principles” (29 June 2012).

Example:

Work involved the demolition of a shell race track and the construction on the same site of a limestone track. The work on the new track included strengthening the foundation, altering the levels, grading of bends and approaches, and replacement of retaining walls and running rails. The court found that this work involved more than just repairs or alterations. To demolish the old track and construct on the same site a new, better and different track was a total reconstruction. The expenditure was, therefore, not deductible. See *Auckland Trotting Club (Inc) v C of IR* [1968] NZLR 967.

Example:

A gas company that embarked on a programme of installing new synthetic pipes into its existing network of cast iron and steel pipes was found by the Court of Appeal and the Privy Council to have incurred non-deductible capital expenditure. The Court found that the old mains and pipes had been effectively abandoned as a conveyer of gas and relegated to the role of housing for the new pipeline. The Court of Appeal overturned the High Court judgment in *Auckland Gas Co Ltd v C of IR* (1997) 18 NZTC 13,408 which had wrongly concluded that the synthetic pipe insertion was a repair and thus deductible. See *C of IR v Auckland Gas Co Ltd* (1999) 19 NZTC 15,011 (CA) and *Auckland Gas Co Ltd v C of IR* (2000) 19 NZTC 15,702 (PC). See the next example for a case with remarkably similar facts but where a different result was reached.

Example:

Expenditure incurred on the insertion of polyethylene liners into existing cast iron pipes that were part of an integrated gas transport system operated by the taxpayer was held to be of a revenue nature and deductible. The work was based on a risk assessment of which pipes were most liable to fracture, there was no significant increase in the capacity of the pipe system as a result of the work and the work was not related to any changes in either the type of gas carried or the pressure at which it was carried. About 4% of the old metal pipe system was replaced over the 4-year period covered by the case. See *Transco plc v Dyll* (HMIT) (2002) Sp C 310.

Example:

The cost of conversion from overhead to underground power reticulation was held by the Court of Appeal to be capital expenditure and non-deductible for tax purposes. The Court found that the work overall on the undergrounding programme was so substantial and was intended to produce such a different and operationally superior asset for the power board that it was impossible to regard it as anything but a capital improvement. See *Poverty Bay Electric Power Board v C of IR* (1999) 19 NZTC 15,001 (CA). See also the High Court judgment in *Hawkes Bay Power Distribution Ltd v C of IR* (1998) 18 NZTC 13,685, a case linked to [Poverty Bay Electric Power Board](#).

Notional repairs

The Commissioner also confirms in [IS 12/03](#) that no deduction is permitted for notional repairs. No deduction can be claimed for work that has not been carried out.

Essential repair of recently acquired asset

Question we've been asked, [QB 25/17](#), "Income tax: Can I claim a deduction for expenses I incur on repairing a recently acquired capital asset?" sets out whether a taxpayer can claim a deduction or not. It is the Commissioner's view that the capital limitation in s [DA 2\(1\)](#) applies and denies a deduction for essential initial repairs. However, if the capital asset is an item of depreciable property, then a taxpayer may be able to claim a depreciation loss based on the amount of expenditure.

There is detailed discourse on what constitute "essential initial repairs" and when work undertaken involves such repairs: see [20] onwards of the item. Each determination of whether an item of repair expenditure falls into this category depends on the facts and circumstance. The item lists a range of considerations that may be relevant to the enquiry:

- # the amount of time that has elapsed between acquiring the capital asset and undertaking the repairs
- # the state of repair or disrepair of the asset at the time the taxpayer acquired it
- # whether the asset was in a fit state for use as intended in the taxpayer's business or income-earning activities

- # the price of the asset or its value at acquisition and whether this was, or can be assumed on a reasonable basis to have been, affected by the state of repair or disrepair of the asset
- # the previous use of the asset in comparison with the taxpayer's intended use
- # the nature and extent of the repair work carried out, and
- # whether the taxpayer has made any use of the asset before or during the period between acquisition and when the relevant work is completed (which may be relevant to any questions over whether the repairs arose from that use or in respect of apportionment).

Note that [QB 25/17](#) replaces parts of [IS 12/03](#) in relation to repair of newly acquired assets.

The item also covers the distinction between essential initial repairs and deferred repairs at [35].

Commercial fit-out

Note that when the definition of building was changed to allow building fit-out to be depreciable property, an oversight produced an unintended policy outcome that may have allowed the replacement of an item of commercial fit-out to be immediately deductible as repairs and maintenance. Section [DB 22B](#) (originally enacted as s [DA 5](#)) was introduced with retrospective effect to ensure that the improvement or replacement of a previously separately depreciated item of commercial fit-out is capitalised and depreciated over its estimated useful life.

Distribution networks

A distribution network is a network for conveying electricity, gas, water or telecommunications. For example, for an electric lines company, the distribution network is the electricity distribution network, and its components include poles, cables, transformers, and switches. When repairs and maintenance expenditure is incurred by a utilities distribution network operator in relation to either a utilities distribution asset or a utilities distribution network, the expenditure is treated as relating to the utilities distribution asset rather than the utilities distribution network (s [DB 68](#)).

Law: IT07 ss [DB 22](#), [DB 68](#), [YA 1](#) (“[utilities distribution network](#)”).

Last reviewed on 31 December 2025

Research and development deductions [¶10-850]

[¶10-850]

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A deduction may be allowed under the general permission for expenditure on scientific research that is part of business activities.

A taxpayer incurred expenditure on scientific research in the course of identifying medical products for commercial exploitation. The court thought that there was much to be said for the view that the expenditure was on revenue account. For a company engaged in developing new technology, expenditure on research becomes a part of the regular cost of trading operations and of the process by which regular returns are obtained. See *Goodman Fielder Wattie Ltd v FC of T* [91 ATC 4438](#).

Scientific research

A deduction is allowed under s [DB 33](#) for expenditure incurred in connection with scientific research carried on for the purpose of deriving assessable income. There is an exclusion from deduction for expenditure incurred on an asset that the research does not create and that confers a deduction for a depreciation loss.

Research or development

A deduction is allowed under s [DB 34](#) for expenditure incurred on research or development where one of the following applies:

- # the expenditure is expensed either under paragraph 68(a) of NZIAS 38 *Intangible Assets*, applying, for the purposes of that paragraph, paragraphs 54 to 67 of NZIAS 38, or under paragraph 5.1 or 5.2 of Financial Reporting Standard No 13, 1995 or because paragraph 5.4 of that Standard applies, or
- # the expenditure is written off for financial reporting purposes because it is immaterial but that expenditure would be required to be expensed under paragraph 68(a) of NZIAS 38 or paragraph 5.1 or 5.2 of Financial Reporting Standard No 13, 1995 if it were material, or
- # the expenditure for the year does not exceed \$10,000, it is immaterial and it has been expensed for financial reporting purposes.

No deduction is allowed for expenditure on property to which all the following apply:

- # the property is used in carrying out research or development
- # the property is not created from the research or development, and
- # the property is one of the following kinds:
 - # depreciable property
 - # otherwise amortisable under a provision outside subpt [EE](#)
 - # land
 - # intangible property (not being depreciable intangible property), or
 - # property its owner chooses not to depreciate.

To prevent a double deduction for the expenditure relating to a patent, the cost of the patent does not include the research or development expenditure allowed as a deduction.

NZIAS 38 defines “development” as “the application of research findings or other knowledge to a plan or design for the production of new or substantially improved materials, devices, products, processes, systems or services before the start of commercial production or use”. “Research” is defined as “original and planned investigation undertaken with the prospect of gaining new scientific or technical knowledge and understanding”.

Timing of research and development deductions

Taxpayers can choose to allocate certain research and development (R&D) deductions to income years after the income year in which the expenditure was incurred.

This flexibility creates a better timing match between the recognition of income from R&D and the recognition of the expenditure. The allocation rule reflects the growth cycle of many technology companies and means that the deductions of such companies will not be adversely affected by changes in shareholding arising from technology companies bringing in new equity investors after the initial development phase.

Types of research and development deductions

Three types of R&D deductions are able to be allocated to income years after the income year in which the deduction was incurred. These are as follows:

- # Expenditure allowed as a deduction under s [DB 34](#) (s [DB 34\(7\)](#)).
- # Depreciation losses for property used in carrying out R&D or for market development for an R&D product (s [EE 1\(5\)](#)).
- # Market development expenditure allowed as a deduction (s [EJ 22](#)).

Expenditure allowed as a deduction under s [DB 34](#) can include overhead costs (eg rent and power), or a portion of the overhead costs if the taxpayer is not exclusively in the business of R&D. Interest expenditure is specifically excluded from the allocation rule.

Taxpayers can choose how much of a qualifying deduction will be allocated to a future income year. The unallocated amount can be claimed as a deduction in the year the expenditure was incurred. Taxpayers can choose not to allocate any of their expenditure to future income years but instead apply the ordinary rules.

Allocation of deductions

Deductions that qualify must be allocated to an income year in which assessable income is derived that would not have been derived but for the R&D expenditure or the use of or disposal of property used in carrying out R&D.

The amount of qualifying deductions allocated to a particular income year is the lesser of:

- # the amount of assessable income derived that would not have been derived but for the R&D expenditure (or depreciation), and
- # the amount of qualifying deductions that has not already been allocated to an income year.

This means that taxpayers who choose to allocate deductions to future income years can only allocate the qualifying deductions to the extent of any R&D income derived in that year. Under s [EJ 23](#), the deductions cannot be allocated against non-R&D income. However, this does not prevent the taxpayer being able to claim qualifying deductions in the current year if the loss-carry forward rules in Pt [I](#) are satisfied. See [11-320](#) and [11-330](#).

A taxpayer's decision as to the allocation of deductions under the rule is reflected in the tax position taken in the annual tax return. A position taken in a tax return is binding on a taxpayer.

Derecognised non-depreciable assets

A taxpayer who has developed an intangible asset (recognised for accounting purposes) that is not depreciable for tax purposes is allowed an income tax deduction for capitalised development expenditure they have incurred on the asset (s [DB 34\(3\)](#)). This only applies for expenditure incurred on development of an intangible asset on or after 7 November 2013 and before the asset is derecognised or written off. The deduction is allowed upon the intangible asset being derecognised or written off for financial reporting purposes (other than due to its disposal). The deduction is allowed irrespective of whether the asset was useful for a period or the R&D was unsuccessful, and is allowed in the income year in which the relevant intangible asset is derecognised for financial reporting purposes.

Interpretation statement

Interpretation statement [IS 17/05](#) “Income tax — treatment of New Zealand patents” discusses the income tax treatment of patents, including the treatment of R&D expenditure, and also provides examples of the operation of the provisions.

The statement discusses the application of ss [DB 33](#) and [DB 34](#). In relation to derecognition, the statement highlights that a taxpayer can only deduct expenditure they incur in carrying out development of an intangible asset. Expenditure incurred on purchasing a non-depreciable intangible asset is not deductible to the purchasing taxpayer on derecognition of the asset for financial reporting purposes. However, such a purchasing taxpayer can claim a deduction on derecognition of the asset for any development expenditure they incurred on further developing the asset after purchasing it. The following example from the statement illustrates this point:

Example:

Business A begins an R&D project during March 2016. After 24 months of R&D, Business A recognises an intangible asset for financial reporting purposes, which has been created from the R&D. In the 6 months after recognising the intangible asset for financial reporting purposes, Business A incurs \$200,000 in capitalised development expenditure further developing the asset. The intangible asset is not listed in [Sch 14](#), so it is not depreciable for tax purposes.

Business A then sells the incomplete intangible asset to Business B (which intends to continue the R&D and complete the asset) for \$10 million. Business A is not in the business of buying and selling those intangible assets (that is, the intangible assets are not trading stock). Business A makes an untaxed capital gain of \$9.8 million from the sale. Business B incurs \$300,000 in capitalised development expenditure further developing the asset before abandoning the project and derecognising the asset for financial reporting purposes.

Business B is allowed a deduction under s [DB 34\(3\)](#) for the \$300,000 it incurred in capitalised development expenditure. Business B is not allowed a deduction for the \$10 million cost of purchasing the asset from Business A.

Clawback provision

A clawback provision, s [CG 7C](#), applies to a taxpayer if they have been allowed a deduction under the changes to s [DB 34](#), and the previously derecognised intangible asset is:

- # disposed of in an income year for consideration that is not income under any other provision of the Act, or
- # rerecognised for financial reporting purposes in an income year.

In the case of a disposal for consideration, the amount that is clawed back as income is the lesser of the consideration derived for the disposal and the amount of the deduction previously taken.

In the case of the asset being rerecognised for financial reporting purposes, the entire amount of the deduction previously taken is clawed back as income. For the purposes of the depreciation rules, the taxpayer is treated as never having had the deduction. Therefore, if the taxpayer eventually acquires an item of depreciable intangible property to which the expenditure relates (for example, if the intangible asset rerecognised by a taxpayer is an invention they subsequently patent), they will be able to deduct the expenditure over time as depreciation.

Any income arising under s [CG 7C](#) arises in the income year in which the previously derecognised intangible asset is disposed of for consideration, or is rerecognised for financial reporting purposes, as the case may be.

Law: IT07 ss [CG 7C](#), [DB 33–DB 35](#), [EE 1\(5\)](#), [EJ 22](#), [EJ 23](#)

Last reviewed on 31 December 2025

Deductibility of resource consent applications [¶10-860]

[¶10-860]

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Unsuccessful and aborted applications for resource consents

A deduction is allowed for expenditure incurred in making an unsuccessful application for the grant of a resource consent. The application must have been made and then withdrawn or rejected and the expenditure must be such that it would have been part of the cost of depreciable property, or otherwise allowed as a deduction, if the application had been granted. The deduction is allowed in the income year in which the application is withdrawn or rejected.

A deduction is also allowed where a taxpayer incurs expenditure on an intended application for a resource consent that they decide not to lodge or on a grant that is obtained but not used before it lapses or is surrendered. The deduction is allowed in the income year in which the taxpayer decides not to lodge the application, withdraws the application or is refused the grant, or the income year in which the resource consent lapses or is surrendered. In addition, s [CG 7B](#) provides that deductions that have been taken for an aborted or unsuccessful application for the grant of a resource consent are clawed back as income if the taxpayer subsequently disposes of the abandoned application property or uses it in obtaining the grant of a resource consent. In the latter case, the clawed back amount is included in the cost of the intangible property to be depreciated over the life of the depreciable asset.

Interpretation statement on resource consent expenditure

Interpretation statement, [IS 18/06](#), “Income tax — treatment of costs of resource consents” discusses whether deductions for the expenditure incurred in obtaining environmental and land consents are available and on what basis. The ability to deduct or depreciate expenditure on a resource consent depends on the type of expenditure, the type of consent and the resulting asset. See further at [¶13-585](#).

In relation to the application of s [DB 19](#), the statement emphasises that s [DB 19](#) does not allow a deduction when the costs would not have been depreciable or otherwise deductible. This means:

- # s [DB 19](#) applies to environmental consents because they are always capable of being depreciated
- # deductibility of expenditure on land consents depends on whether the cost would have been deductible if the project went ahead, ie s [DB 19](#) will apply where the expenditure would have been depreciable as a cost of an item of depreciable property.

Law: IT07 ss [CG 7B](#), [DB 19](#)

Last reviewed on 31 December 2025

Deduction for payment of restitution [¶10-870]

[¶10-870]

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A payment of restitution is allowed as a deduction where the stolen property had given rise to an item of assessable income. The deduction is allowed in the income year in which the restitution is made.

Law: IT07 s [DB 44](#)

Last reviewed on 31 December 2025

Deductibility of payment made for restrictive covenant breach [¶10-880]

[¶10-880]

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An employee who receives an assessable receipt for a restrictive covenant, and who subsequently becomes liable to pay compensation for a breach of their undertaking, is allowed a deduction for the amount paid. The amount of the deduction cannot exceed the receipt for the restrictive covenant that was previously part of the employee's assessable income. The deduction is allowed in the year in which the payment is made.

Law: IT07 s [DB 48](#)

Last reviewed on 31 December 2025

Deductibility of seismic assessment costs [¶10-885]

[¶10-885]

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QWBA [QB 16/08](#), “Income tax — deductibility of the costs of obtaining a detailed seismic assessment of a building” considers whether the cost of obtaining a detailed seismic assessment (DSA) on a building is deductible. The item acknowledges that in most circumstances the cost of obtaining a DSA will be deductible.

A DSA is most commonly obtained when a city or district council has identified a building as potentially earthquake prone. An earthquake-prone building is often described as one that has an earthquake rating of less than 34% of the new building standard. The Earthquake-prone Buildings Amendment Act 2016 requires city and district councils to actively identify and require owners to take action on earthquake-prone buildings.

A DSA may also need to be obtained when a building consent is required under the Building Act 2004 to alter a building (s [112](#) of the Building Act). It may also be required when the use of a building changes (s [115](#) of the Building Act).

Taxpayers may also choose to obtain a DSA:

- # as part of a project to seismically strengthen a building
- # to satisfy existing or potential tenants of a building's safety
- # to get insurance or to reduce insurance premiums
- # to identify possible damage after an earthquake
- # to evaluate the safety of someone else's building where the safety of that building may impact on the taxpayer's business.

The Commissioner considers that, from a practical or business point of view, expenditure on a DSA in the situations described above is incurred to obtain information so as to determine whether a building is earthquake prone (and by how much it fails or exceeds the required standard). Such expenditure should be treated as revenue in nature and deductible. However, the exception is where a DSA is obtained as part of a capital project (such as a capital project to seismically strengthen a building), in which case the costs will be capital in nature and non-deductible.

The item covers DSA costs incurred by taxpayers who are in the business of renting out commercial or residential buildings, who own buildings used for their own businesses, and who get DSAs on someone else's building where the safety of that building may impact on the taxpayer's business. Note that the Commissioner also states that the same considerations and conclusions will apply to the costs of other less detailed seismic assessments (including initial seismic assessments) when they are obtained by taxpayers in the same situations as those identified in the item.

Last reviewed on 31 December 2025

Deductibility of software as a service (SaaS) configuration and customisation costs [¶10-887]

[¶10-887]

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SaaS is a cloud-based software licensing and delivery model giving the customer a right to access the provider's software that runs on the provider's cloud infrastructure. Examples of SaaS applications are payroll processing, customer relationship management (CRM), enterprise resource planning (ERP), human resources management, content management and database management systems.

Configuration and customisation costs (C&C costs) incurred with SaaS arrangements are typically incurred by a customer to:

- # assist integrating the application with their existing system, or
- # add extra functionality or features not included in the application.

Interpretation guideline [IG 23/01](#) "Deductibility of software as a service (SaaS) configuration and customisation costs" concludes that depending on the circumstances, C&C costs may be deductible:

- # under the general permission under s [DA 1](#) ([¶10-021](#))
- # as development expenditure under s [DB 34](#) ([¶10-021](#)), or
- # as depreciable intangible property ([¶13-440](#)).

The guideline covers the following main points:

- # The income tax treatment of SaaS C&C costs is complex due to the many variations in contractual arrangements and the nature of the services provided. Therefore, the tax outcomes depend on the specific facts of each situation.
- # While it is generally the case that there is a nexus between incurring C&C costs while carrying on a business or deriving income, the capital limitation usually operates to deny a deduction. This is because taxpayers incur C&C costs to transform or enhance their business structure and therefore receive an enduring benefit.
- # However, in cases in which configuration and customisation activities occur continuously during the term of the SaaS arrangement and the taxpayer incurs regular costs to cover these, the recurrent nature of the payments suggests they are revenue in nature.
- # In some cases, the configuration or customisation activities may be in-house "development" (as defined in s [DB 35](#)) activities, in which case some IFRS reporting taxpayers may be able to claim an immediate deduction for C&C costs under s [DB 34](#). This provision allows a taxpayer to make a deduction for "internally generated" research or development costs recognised as an expense for financial reporting purposes under paragraph 68(a) of NZ IAS 38.
- # A depreciation deduction may be available to the extent that C&C costs are not deductible under s [DA 1](#) or [DB 34](#). The right to use software under a SaaS arrangement is depreciable intangible property. The terms of each SaaS agreement will determine whether the taxpayer should depreciate this right under the depreciable property (s [EE 62](#)) or the "fixed-life intangible property" rules (s [EE 67](#)).

Law: IT07 ss [DA 1](#), [DB 34](#), Sch [14](#)

Last reviewed on 31 December 2025

Deductibility of payments to spouse, civil union or de facto partner [¶10-900]

[¶10-900]

[Click to open document in a browser](#)

No deduction is allowed for a payment by a taxpayer to their spouse, civil union partner or de facto partner unless approved by the Commissioner before the deduction is claimed. In the case of a payment for services, before approving the deduction, the Commissioner must be satisfied that the payment is for services rendered, not being domestic services or other services connected with the home, and is incurred exclusively in the derivation of the taxpayer's assessable income. For a payment for something other than services, the Commissioner must be satisfied that the payment is genuine, as well as incurred exclusively in deriving assessable income.

The Commissioner is further authorised to disallow the deduction claimed to the extent that it is regarded as excessive (¶23-142). The usual practice is to obtain the Commissioner's agreement on quantum as part of the approval process.

An application for the Commissioner's approval of proposed payments should include the following information:

- # the nature of the business in which the spouse, civil union partner or de facto partner is employed
- # precise and full details of the duties to be performed
- # number of hours worked by the employed spouse, civil union partner or de facto partner during the average week and the number of weeks worked during the year
- # particulars of other labour employed and wages paid other than to the spouse, civil union partner or de facto partner
- # the method of payment to the spouse, civil union partner or de facto partner, such as whether in cash or by credit to a bank account, and
- # wages to be paid to the spouse, civil union partner or de facto partner.

Examples of situations in which favourable treatment of an application could be expected are:

- # the spouse, civil union partner or de facto partner who assists with client entertainment
- # a farmer's spouse, civil union partner or de facto partner who prepares meals for workers or contractors engaged in tasks about the farm.

Question we've been asked

QWBA [QB 19/01](#), "What are the requirements for claiming tax deductions for payments to family members for services?" deals with the requirements for claiming income tax deductions for payments to spouses and partners, as well as other family members. The item emphasises that to claim a deduction it must be shown that the family member provides services to the business, even if prior approval for a deduction has been obtained from the Commissioner. Relevant types of evidence include a wage book, employment contract, vehicle logbook, bank statements, etc.

The amount paid must not be excessive for the services the family member provides. If the amount paid is excessive, the Commissioner may reallocate the income of the business based on what is considered reasonable and, in the case of a company, treat the excess as a dividend derived by the family member. The Commissioner considers payments to family members for services to be excessive when the amount paid is more than a reasonable amount for the services provided. This is explained in [QB 14/09](#), "Income tax — meaning of 'excessive remuneration' and 'excessive profits or losses' paid or allocated to relatives, partners, shareholders or directors" — discussed in detail at [¶16-070](#), [¶19-210](#) and [¶23-142](#).

If the family member is the person's spouse or partner, the Commissioner's prior approval is required for a deduction, unless the business is run through a company. [QB 19/01](#) states:

“10. Approval may be granted only if:

- # the Commissioner considers the payment is for services rendered;
- # the services are not domestic services or otherwise services connected with the home, although, if you are a farmer, the Commissioner may approve a deduction for amounts you pay your spouse or partner to cook for farm employees;
- # the services are provided in earning income from your business;
- # a deduction for the payment has not been claimed.

...

12. You may apply for approval to deduct payments you have already made during an income year. You have up until the time you file your tax return to get approval. However, it may be a good idea to apply before you start paying your spouse or partner. The Commissioner cannot backdate approval after a deduction has been claimed in your tax return. Even if the amount paid is not excessive, a deduction claimed without prior approval is denied and your spouse or partner will still need to treat the payment as income.

13. You must make a new application for approval if you increase the amount you pay your spouse or partner. Otherwise, you do not have to make a new application for approval every year.”

The item confirms that to apply for approval the details set out above must be provided to the Commissioner. A number of examples are included in the item.

Law: IT07 ss [DB 57](#), [DC 5](#)

Last reviewed on 31 December 2025

Deductibility of interest payable under stapled stock [¶10-905]

[¶10-905]

[Click to open document in a browser](#)

No deduction is allowed to a company for interest payable under, expenditure (or loss) incurred in connection with, or expenditure (or loss) incurred in borrowing money secured by or owing under a stapled debt security to which s [FA 2B](#) applies. See *Tax Information Bulletin* [¶218-126 Vol 21, No 8](#), October/November 2009 at 100 for a detailed analysis.

Debt securities stapled to a share are treated as equity for tax purposes. This recharacterisation of debt instruments, which would previously have given rise to a deduction, is aimed at preventing loss to the revenue base through the practice of companies using stapled stock instruments with debt components to pay shareholder substituted dividends while claiming tax deductible interest.

The main features of the rules are:

- # Debt securities stapled to ordinary shares will be treated as shares rather than debt for most tax purposes.
- # The debt security component of the stapled stock instrument continues to be treated as debt under the thin capitalisation rules ([¶126-620](#)) unless it is stapled in proportion to the available subscribed capital of all participating shares.
- # Excluded from the rules are:
 - # debt securities stapled prior to 25 February 2008
 - # debts stapled to fixed-rate shares, and
 - # debts of a non-widely held company stapled under a shareholder's agreement.

Law: IT07 ss [DB 10B](#), [FA 2B](#)

Last reviewed on 31 December 2025

Deductibility of subscriptions [¶10-910]

[¶10-910]

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A deduction may be allowed under the general permission for membership dues paid by a business or a self-employed person. This would be on the basis that membership of the particular professional or trade association can be said to assist with the generation of assessable income. That may be the case, for example, where the association disseminates information amongst members that assists with the updating of technical knowledge.

An employer who pays professional membership dues on behalf of employees could expect to be allowed a deduction for the payments made. The outgoings would be deductible along with other forms of employee remuneration. That the dues may be owed personally by the employee/member would not operate to prevent deductibility for the employer's payment.

Last reviewed on 31 December 2025

Deductibility of taxes [¶10-915]

[¶10-915]

[Click to open document in a browser](#)

No deduction is allowed for the payment of:

- # income tax
- # ancillary tax, including further income tax, imputation penalty tax and qualifying company election tax (but excluding those listed specifically below)
- # a civil penalty paid under the Tax Administration Act 1994
- # an amount withheld under s 1471 or 1472 of the US Internal Revenue Code (relating to the Foreign Account Tax Compliance Act (FATCA) ([¶126-280](#)))
- # a foreign tax, penalty or interest on unpaid tax that is substantially the same as those items under New Zealand law, or
- # a tax imposed in a country or territory outside New Zealand that is one or more of the following:
 - # substantially the same as income tax
 - # based on Articles 2.1 to 2.2 of the global anti-base erosion model rules ([¶126-608](#))
 - # based on Articles 2.4 to 2.6 of the global anti-base erosion model rules ([¶126-608](#))
 - # a qualified domestic minimum top-up tax (defined in Article 10.1.1 of the global anti-base erosion model rules)
 - # substantially the same as multinational top-up tax payable under the global anti-base erosion model rules (from 1 January 2026).

Excluded from the prohibition on deductibility are payments of fringe benefit tax and employer's superannuation contribution tax (see [¶10-292](#) for the timing of these deductions) as well as PAYE, RWT and NRWT.

The prohibition on the deduction of income tax probably reflects the general law. Income tax could not be regarded as an expense of earning assessable income. It represents a charge on assessable income, once the income has been earned.

Law: IT07 s [DB 1](#)

Last reviewed on 31 December 2025

Deductibility of tax return expenses [¶10-920]

[¶10-920]

[Click to open document in a browser](#)

A deduction is allowed for expenditure incurred by a taxpayer in connection with:

- # calculating or determining the year's income tax liability
- # calculating or determining GST payable
- # preparing, instituting or presenting an objection, challenge or appeal to an income tax or GST determination or assessment
- # making a contribution to another person's challenge or appeal costs to an income tax or GST determination or assessment.

There are some specific exclusions. No deduction is allowed for costs incurred in connection with:

- # a matter arising from an income tax or GST return that was fraudulent or wilfully misleading
- # an offence under any of the Inland Revenue Acts
- # a shortfall penalty
- # an objection, challenge or appeal that is inconsequential or frivolous, or
- # a GST matter to the extent to which it relates to a taxable activity that does not constitute a business for income tax purposes.

The provisions authorising the deduction can be expected to allow a deduction for accounting fees payable for the preparation of GST and income tax returns. Legal fees for advice on issues associated with the inclusion or exclusion of an item in a return, and for the conduct of tax litigation, can also be expected to be allowed as a deduction.

To be allowed as a deduction, there must be a connection between the expenses and preparation of the tax return. That test was not able to be satisfied by a taxpayer who travelled 200km to discuss his affairs with a consultant. See *Case E84* (1982) 5 NZTC 59,441. Similarly in relation to a taxpayer who claimed to deduct the cost of travelling out of town to discuss with relatives an objection to an income tax assessment. The travelling expenses were too remote and not sufficiently relevant to the lodgement of the objection. See *Yurjevich v C of IR* (1991) 13 NZTC 8,185.

The deduction for tax return expenses may be regarded as overruling the general law. Under the general law, no deduction was allowed for the costs incurred in pursuing before the courts the deductions claimed by a business for various expenses. The preparation of accounts for tax purposes was not regarded as money spent by the trader to earn profits. The costs were incurred for the purpose of ascertaining the amount of tax to be paid out of the year's profits. See *Smith's Potato Estates Ltd v Bolland (I of T)* (1948) 30 TC 267.

The effect of the specific deduction provisions can be seen to authorise a deduction not otherwise available for expenses incurred in determining a tax liability. Specific provisions are necessary because the expenses relate to distributing profits rather than the earning of profits.

Outside of the context of determining the year's tax liability, it may be that the general permission authorises a deduction for costs incurred in complying with taxation obligations. For example, the general permission may allow a deduction for the cost of obtaining assistance to ensure compliance with withholding tax obligations as part of the necessity to conduct business activities in a lawful manner. There is no complexion to the exercise of quantifying a division of the year's profits between the business and the Crown. The 2 deduction provisions may be seen to have a complementary operation in the sense that one may allow a deduction for costs that the other does not permit.

Law: IT07 s [DB 3](#)

Last reviewed on 31 December 2025

Deductibility of telephone rental expenses [¶10-930]

[¶10-930]

[Click to open document in a browser](#)

IR policy on deductions for rental of telephone equipment and lines when a business is based at the taxpayer's home is set out in *Tax Information Bulletin* [¶512-105 Vol 5, No 12](#), May 1994 at 2.

IR will allow deductions for up to 50% of the cost of telephone rental for businesses based at home if the home has only one telephone line. This will apply regardless of whether the rental charged is at the domestic or commercial rate. IR will allow a deduction of more than 50% if the taxpayer can show that the actual use of the telephone supports a higher percentage of business use. If the home has 2 telephone lines, one charged at the domestic rate and the other at the commercial rate, 100% of the commercial rental is an allowable deduction. In this case, no part of the domestic rental is deductible.

The policy does not apply to toll calls or to reimbursement of employee telephone rental by employers. The policy is applicable for both income tax and GST purposes.

Interpretation statement [IS 17/02](#) "Income tax — deductibility of farmhouse expenses" withdraws and replaces a number of concessions for farmers with effect from the beginning of a farmer's 2017–18 income year ([¶27-015](#)). With regard to the deductibility of telephone expenses, the statement now applies the above policy to farmers. Thus, all farmers who operate their business from home will apply the policy.

Last reviewed on 31 December 2025

Deductibility of losses from theft [¶10-935]

[¶10-935]

[Click to open document in a browser](#)

A deduction is allowed under s [DB 42](#) for a business which suffers a loss from a misappropriation of property. This applies if the loss is not deductible under some other provision. The misappropriation of trading stock, for example, may effectively be a deduction in the valuation of the stock, so that it would not be necessary to rely on s [DB 42](#).

No deduction is allowed if the misappropriation is by a person associated with the person who carries on the business.

The deduction is allowed in the income year in which the loss is ascertained. Alternatively, it may be allowed in earlier years if the Commissioner considers that that would be fair.

The deduction also extends to a misappropriation of property by a person who provides services to the business.

Law: IT07 s [DB 42](#)

Last reviewed on 31 December 2025

Deductibility of travel expenses [¶10-940]

[¶10-940]

[Click to open document in a browser](#)

Travelling expenses incurred in the course of earning assessable income can be expected to be allowed as a deduction. This is provided the capital limitation or the private limitation does not have application. The latter may apply to travelling expenses incurred on travel between home and the place of work ([¶10-710](#)).

Example:

A taxpayer was allowed a deduction for the costs of an aircraft used in his rural practice. The deduction was allowed irrespective of the taxpayer's means of travel. See *Garrett v FC of T* [82 ATC 4060](#).

Example:

Travel to other cities to attend auditions and appear in productions was deductible by an actress because the expenses were necessarily incurred in carrying on her business for the purpose of gaining assessable income. See Case G77 [\(1985\) 7 NZTC 1,353](#).

Example:

An investor who owned 5 properties which were located in districts away from his place of residence was allowed a deduction for costs associated with his annual visit to inspect and supervise the properties. It was accepted that it was reasonably necessary for the taxpayer from time to time to visit the properties so as to manage his income-earning activities. See *FC of T v Green* [\(1950\) 81 CLR 313](#).

The Commissioner may request that a claim for travel expenses be supported by records.

Travel and capital expenses

Generally, travel expenses incurred in connection with the purchase of plant or other items of fixed capital are regarded as expenditure of a capital nature and therefore not deductible. The expenses are looked upon as part of the cost of the machinery, and thus should be capitalised and depreciated at the appropriate rate. However, a deduction is allowed for travel expenses incurred on trips undertaken to make a general survey of new machines or new processes. A deduction is also allowed if the object of the travel is to buy trading stock. See Case F72 [\(1984\) 6 NZTC 59,924](#).

Overseas travel expenses

The Commissioner's current policy on the deductibility of overseas travel expenses is set out in part in [QB 22/06](#) "Deductibility of overseas travel expenses" and in "Questions we've been asked" [QB 13/05](#) "Income tax — deductibility of a companion's travel expenses". Both items contain a number of examples.

[QB 22/06](#) states that income tax deductions for overseas travel costs (other than meal costs) can be claimed, but only to the extent that they have a connection with deriving assessable income or carrying on a business and none of the general limitations (private, capital, exempt income or employment) apply. Prepayments are also discussed, deductions for which can be spread over a number of income years. This applies to prepaid travel and accommodation over \$14,000, or to bookings that relate to a date more than 6 months after balance date. See further at [¶10-056](#).

Where the trip contains a private or capital element, an apportionment of the costs may be necessary (ie part of the costs deductible and part not deductible). One method of apportionment is based on the number of days spent on business as a fraction of the total number of days spent on travel. The Commissioner will accept other methods of apportionment if they are reasonable in the circumstances.

Whether apportionment is necessary will depend on the particular facts, but generally speaking:

- # no deduction — work-related aspect incidental to holiday
- # apportionment — 2 purposes, truly separate, and
- # 100% deduction — holiday aspect incidental to work element.

[QB 13/05](#) deals with claims for the overseas travel expenses of a companion or family member. The Commissioner's view is that, in most cases, a companion's travel expenses will not be deductible. If the companion is accompanying the taxpayer simply for companionship or to attend social functions, this expenditure will not have a sufficient nexus with the assessable income of the taxpayer's business. However, a deduction may be permitted where the companion supports the taxpayer, to a reasonably substantial degree, in the business being undertaken. The companion does not need to be an expert in the affairs of the business, but they do need some knowledge of the business being undertaken or they must possess some special skill or expertise to be able to provide support in a material way. If these qualities are present, the Commissioner considers a sufficient nexus will exist between the companion's travel expenses and the assessable income of the taxpayer's business. The Commissioner no longer considers that a companion's travel expenses would be deductible where the companion is travelling with the taxpayer because of ill health. In such cases there is likely to be an insufficient nexus with the taxpayer's business or income-earning activity and the expenses would likely be of a private or domestic nature. The companion might arguably be providing the taxpayer with support to a reasonably substantial degree, but that support relates to the taxpayer's personal circumstances and not to the business being undertaken.

Investor's travel expenses

In some instances an investor may be able to claim a deduction for the travel expenses incurred in connection with the management or administration of investments. The investor would need to show that there is a sufficient connection between the travel expenses and the derivation of assessable income.

Example:

A taxpayer was originally a national of another country, "Redland", but in 1966 he emigrated with his family to New Zealand. The exchange control laws of Redland prohibited the export of capital and so the taxpayer was forced to leave behind his capital of almost \$500,000 in various investments. Management of the investments was left in the hands of an accountant but, by 1974, it had become evident to the taxpayer that the accountant was managing matters to his own personal advantage by making loans on very favourable terms to his relatives. Accordingly, in 1974 the taxpayer went back to Redland and spent 6 weeks restructuring his affairs to enable him to assume full control of management of the investments. Further visits were made in 1975 and 1976 in pursuit of that object. The TRA held that the taxpayer was able to claim a deduction for the travelling expenses incurred on each of the 3 trips back to Redland. After noting that there was a steady increase in the taxpayer's income from his investments in the years 1973–1977, the authority found that although there was some consequential restructuring of capital assets, the taxpayer's main purpose in making the first trip was to increase the income to which he was entitled and which could be sent out to him in New Zealand. The other trips undertaken were in furtherance of that objective. See Case D55 [\(1980\) 4 NZTC 60,830](#).

Example:

A taxpayer claimed a deduction for vehicle expenses and depreciation incurred in the course of visiting farms and a beach property owned by companies in which the taxpayer had an interest. The deduction was disallowed on the ground that the expenditure was of a private or domestic nature. The TRA affirmed the Commissioner's assessments and held that the dominant purpose of the visits was not to earn assessable income. The taxpayer was merely protecting his capital investment; therefore, the necessary relationship between the visits and the gaining or producing of assessable income had not been established. See Case G7 [\(1985\) 7 NZTC 1,018](#).

Last reviewed on 31 December 2025

Deduction for new investment assets — investment boost [¶10-945]

[¶10-945]

[Click to open document in a browser](#)

#Note: The Taxation (Annual Rates for 2025–26, Compliance Simplification, and Remedial Measures) Bill proposes the following remedial amendments to the investment boost regime:

- # to restore the \$1,000 low-value asset threshold as this has been inadvertently raised to \$1,250 for asset eligible for a new investment asset deduction.
- # to clarify a new asset transferee only inherits the new asset investment deduction when they otherwise are treated as having taken the pre-transfer amounts of depreciation loss under another provision of the IT07.
- # to confirm that when depreciable assets are sold between associated persons the purchaser's depreciation loss is limited to the vendor's original cost and that cost is calculated before any new investment asset deduction claimed by the vendor.
- # to clarify when an asset has never previously been used or available for use in New Zealand for the purposes of the investment boost policy.

As part of the 2025 Budget, the coalition government introduced a new tax incentive where taxpayers can claim 20% deduction on expenditure incurred on a new investment asset. The objective of this rule is to encourage capital investment and raise productivity in New Zealand.

Definition of “new investment assets”

A “new investment asset” is defined as an asset acquired and owned by a person in the following categories (s [DI 4](#)):

- # all depreciable property for which the person is allowed a depreciation deduction, including commercial buildings, but excluding residential dwelling and fixed life intangible property (FLIP)
- # deductible improvements made by a person in relation to a farming business (s [DO 4](#)), aquacultural business (s [DO 12](#)), or a forestry business (s [DP 3](#))
- # assets acquired as petroleum development expenditure and mining development expenditure but excluding rights, permits or privileges
- # deductible planting costs incurred by a person on planting listed horticultural plants.

For a new investment asset that is a depreciable property, the investment boost deduction may be claimed provided the asset first becomes available for use in New Zealand on or after 22 May 2025 (other than as trading stock). If the person already owns the asset, the investment boost deduction may be available provided the asset first becomes available for use on or after 22 May 2025.

For a new investment asset that is not a depreciable property, the deduction may be claimed provided the person incurs expenditure in relation to the asset on or after 22 May 2025.

Calculation of the investment boost deduction

Under s [DI 5](#), the investment boost deduction may be claimed in the income year an asset becomes a new investment asset is calculated using the following formula:

$$0.2 \times (\text{expenditure} \# \text{contribution})$$

where:

expenditure is the expenditure incurred in acquiring the asset, excluding any expenditure incurred prior to 22 May 2025 on an asset that is not depreciable property

contribution is the total amount of capital contribution under s [DB 64](#) and government grants under s [DF 1\(3\)](#). Section [DI 5](#) overrides the capital limitation but other limitations still apply.

The amount of the deduction calculated under s [DI 5](#) reduces the relevant adjusted tax value, base value, cost or value (as appropriate) for the purposes of calculating depreciation under the depreciation rules (s [DI 6\(a\)](#)). A person is able to claim both the investment boost deduction and depreciation in the year that the depreciable property first becomes available for use in New Zealand.

Note for depreciable property, the investment boost deduction may be recovered if the depreciable property is disposed of for more than its adjusted tax value (s [EE 48\(1B\)](#) and [113-300](#)).

Apportionment for mixed-use assets and changes to business-use portion

If a new investment asset is used for both business and private use, the deduction available under subpt [DI 1](#) is apportioned to reflect business use of the asset. If business use of an asset reduces by 25% or more in subsequent income years, assessable income may arise (s [CC 15](#)).

For practical examples illustrating the application of the investment boost rules, see *Tax Information Bulletin* [1377-102](#) Vol 37, No 7, August 2025 at 4–7.

Law: IT07 ss [CC 15](#), [DI 1](#), [DI 2](#), [DI 3](#), [DI 4](#), [DI 5](#), [DI 6](#)

Last reviewed on 31 December 2025